

Small Cap Cyber Preview: Cautiously Approaching 1Q Prints

Our 1Q cyber survey indicated seasonal softness which is likely to constrain broad-based result upside. We expect in-line 1Q results and few material CY26 revisions. Cyber shares have seen an encouraging recovery the past few weeks, but in our view, investors appear to be waiting for a path to growth stabilization/acceleration to further step in. We view GEN, RDWR & VRNS as having the most achievable set-ups for our small cap coverage.

Cyber Sentiment. Cyber sentiment has remained under pressure (average coverage name down 19% YTD) amidst a flurry of AI induced uncertainties. Investor conversations continue to center around avoiding LLM headline risk and determining which pockets of cyber should see potential acceleration first. While we remain highly confident in the LT benefits Cyber will see from AI adoption, we see 1Q seasonality, our moderating survey performance, and investor uncertainty as broadly constraining share performances in the near term unless we see idiosyncratic fundamental inflection.

Quarterly VAR Survey - Seasonal Softness. Our VAR survey indicates a small downtick in the demand environment in C1Q vs C4Q (even when adjusting for C1Q being seasonally weak). While the avg 160 bps sequential decline in performance to plan vs 4Q may be concerning on the surface, note it is only 40 bps worse than 1Q25, indicating that results are likely more indicative of seasonal softness than widespread degradation in performance (see Chart 1).

VRNS, Buy, \$40 PT. VRNS guided to \$665M of SaaS ARR in 1Q, implying \$26M (up 3% yoy) in incremental SaaS ARR (ex. conversions), which seems achievable. We expect upside to CY26 SaaS ARR guidance (ex. conversions is for 18-20% yoy growth), given it embeds \$22M less incremental new SaaS logo ARR vs CY25. We're tactically positive on the print and view VRNS as attractive at 3.0x CY26E revenue on seemingly prudent estimates, though we recognize that transition overhang and margin pressures are likely to persist until CY27.

GEN, Hold, \$21 PT. Consensus expectations are for 23% yoy total revenue growth in F4Q, which seems reasonable given core GEN would only have to grow 3.0% yoy (vs 4.0% in 3Q on an 80bps tougher comp), based on our assumption of 33% yoy growth (vs 36% in 3Q) for MoneyLion. Consensus FY27 revenue growth of 6% yoy also appears beatable even when accounting for one less week, and we look for incremental color on the AI opportunity/Trellis acquisition. Our \$21 PT implies 4x EV/2026E revenue and 10x EV/2026E FCF.

AVPT, Buy, \$16 PT. Consensus ARR growth of 26% yoy in 1Q implies \$18.4M incremental ARR qoq vs the \$15.7M organic signed in 1Q25. This 18% yoy growth is a significant deceleration vs the 48% seen in 4Q25, on a 27 pt tougher comp. Note that our survey work moderated qoq and there are potential FX ARR headwinds that could pressure reported 1Q ARR upside (cc results should be fine). We expect AVPT to modestly raise cc FY26 ARR guidance (in-line with beat), given the guide already implies an 8pt acceleration in organic cc NNARR growth yoy. Shares trade at 3.5x CY26E revenue based on estimates of 22.5% growth, which remains attractive.

Checks, Survey Data, Company Previews (AVPT, GEN, QLYS, RDWR, RPD, TENB, VRNS) embedded in note.

KEY STOCKS FEATURED INCLUDE:

TICKER	RATING	PRICE TARGET
VRNS	BUY	\$40.00
QLYS	HOLD	\$95.00
RPD	HOLD	\$6.00
TENB	HOLD	\$22.00
RDWR	HOLD	\$30.00

KEY CHANGES INCLUDE:

TICKER	RATING	PRICE TARGET
VRNS	BUY	↗ \$40.00 (\$50.00)
QLYS	HOLD	↘ \$95.00 (\$135.00)
RPD	HOLD	↘ \$6.00 (\$9.00)
TENB	HOLD	↘ \$22.00 (\$24.00)

Chart 1 - 1Q Average performance to plan QoQ Performance (Adjusting for Seasonality)

	1Q26 Performance		1Q25 Performance		1Q26 vs 1Q25
	Delta QoQ		Delta QoQ		
CYBR	2.1%		-0.9%		3.0%
NET	-0.4%		-2.0%		1.6%
VRNS	-1.8%		-3.4%		1.5%
MSFT	-1.4%		-2.8%		1.3%
ZS	-0.8%		-1.2%		0.4%
S	-0.2%		-0.4%		0.2%
OKTA	-1.3%		-0.9%		-0.4%
Average	-1.6%		-1.2%		-0.4%
QLYS	-2.5%		-1.8%		-0.6%
CRWD	-1.3%		-0.5%		-0.7%
FTNT	-2.3%		-0.7%		-1.5%
CHKP	-1.4%		0.2%		-1.6%
RPD	-4.2%		-1.9%		-2.3%
PANW	-3.4%		-0.6%		-2.8%
TENB	-3.4%		-0.5%		-2.9%
SAIL	-0.9%			N/A	
RDWR	-2.1%			N/A	

Source: Jefferies Proprietary Security VAR Survey (Apr '26, Jan '26, Apr '25, Jan '25, N=25)

Joseph Gallo * | Equity Analyst

(212) 336-7402 | jgallo@jefferies.com

Brent Thill * | Equity Analyst

(415) 229-1559 | bthill@jefferies.com

Stefan Schwarz * | Equity Associate

+1 (212) 778-8256 | sschwarz1@jefferies.com

Grant Darling * | Equity Associate

+1 (646) 352-5603 | gdarling@jefferies.com

Summary of Changes

Company	Rating	Price ^A	Price Target	Rev. (MM)Estimates			P/Rev. (MM)		
				2024	2025	2026	2024	2025	2026
Varonis VRNS	BUY	\$24.53	\$40.00	\$551.0	\$623.5	\$726.2	3.9x	3.5x	3.0x
			↓ -20%						
Previous			\$50.00	\$551.0	\$623.5	\$726.2			
Qualys QLYS	HOLD	\$84.34	\$95.00	\$607.6	\$669.1	\$721.2	4.3x	3.9x	3.6x
			↓ -30%						
Previous			\$135.00	\$607.6	\$669.1	\$721.2			
Rapid7 RPD	HOLD	\$5.95	\$6.00	\$844.0	\$859.8	\$839.0	1.0x	1.0x	1.0x
			↓ -33%						
Previous			\$9.00	\$844.0	\$859.8	\$839.0			
Tenable TENB	HOLD	\$20.02	\$22.00	\$900.0	\$999.4	\$1,070.1	2.6x	2.3x	2.2x
			↓ -8%						
Previous			\$24.00	\$900.0	\$999.4	\$1,070.1			
Radware RDWR	HOLD	\$26.16	\$30.00	\$274.9	\$301.9	\$327.5	2.6x	2.4x	2.2x
AvePoint AVPT	BUY	\$9.85	\$16.00	\$330.5	\$419.5	\$513.9	5.4x	4.3x	3.5x
Gen Digital GEN	HOLD	\$19.04	\$21.00	\$3,800.0	\$3,935.0	\$4,966.6	5.1x	5.0x	3.9x
			↓ -22%						
Previous			\$27.00	\$3,800.0	\$3,935.0	\$4,966.6			

^APrior trading day's closing price unless otherwise noted.

QLYS, Hold, PT \$95. Consensus 1Q current billings expectations are for 8.3% yoy growth vs 6.3% yoy on a 6 pt easier comp, implying organic new business growth up 14% yoy (a material acceleration from down 18% reported in 4Q on a 3 pt tougher comp). Cons FY26 revenue implies 8% yoy growth which seems achievable vs the 10% yoy growth seen in FY25. Despite the recent share slide, negative survey results (even when adjusting for seasonality) and inconsistency of results (missed cons billings 5 of last 8 quarters) make us less enthusiastic into the print. Valuation of 3.6x EV/NTM recurring revenue should be relatively defensive, although for shares to work, acceleration in NRR (103%) is needed to alleviate the bearish VM investor narrative.

TENB, Hold, PT \$22. Cons estimates for 9.0% yoy current billings growth in 1Q represents a 50bps acceleration from 4Q on a 240 bps easier comp. Cons implies low single digit yoy organic new business growth which is an acceleration vs 4Q organic new business growth of down high single digits on a tougher comp. Our anecdotal checks continue to show vulnerability management is constrained, with survey results also indicating a large qoq decline in performance which may pressure upside. TENB trades at a defensive 2.3x EV/NTM recurring revenue, although an overwhelmingly negative investor sentiment will be tough to change until billings/NRR acceleration materializes.

RDWR, Hold, \$30 PT. Cons estimates 10.9% yoy ARR growth in 1Q (vs 10.6% in 4Q on a 1.4 pt harder comp). Consensus 1Q26 ARR implies approximately \$4M of incremental ARR which appears attainable (vs \$3M in 1Q25), especially given the momentum RDWR exhibited in 4Q (\$11M signed). Consensus FY26 revenue also remains reasonable, currently implying 9% yoy growth vs 10.6% yoy total ARR growth in FY25, which should be feasible especially as Cloud ARR scales with management targeting 25%+ growth. We continue to monitor RDWR's GTM success and S&M investments, which are evidence that it is prioritizing growth over margins in FY26. While RDWR has been a relative outperformer ytd and our survey work moderated, we believe the set-up is achievable (valuation also defensible at 2.2x EV/2026E revenue).

RPD, Hold, PT \$6. Cons estimates (0.9%) yoy ARR growth in 1Q, implying new business yoy decline very modestly improves from (31)% yoy in 4Q to (28)% yoy in 1Q (accounting for churn). Performance will continue to be dependent on the health of the VM business (survey results skewed negative) as well as the growth of D&R (MDR has decelerated past two quarters). Additionally, a tougher bar for FY26 (consensus implies ~13 pts of new business growth acceleration) and potential prudence from new CFO is likely to cap any dramatic near term revisions, despite supportive valuation of 1.0x EV/NTM revenue.

C1Q Estimates Look Achievable. C1Q guides appear reasonable, with the average new business on a 2-Year stack decelerating by 2pts to 16% yoy growth. Our analysis when accounting for comps indicates AVPT & VRNS have the most reasonable C1Q set-ups, while QLYS, RPD, & TENB have more risk implied in guidance. See Chart 2 below.

CY26 new business implied by consensus appears very reasonable broadly for most of our coverage. It now looks more achievable vs prior to C4Q results. We attribute part of this to C4Q outperformance, but also to companies setting reasonable expectations entering the year. See our broader note with commentary across our cyber coverage universe [here](#).

Chart 2 - 2YR Stack New Business Growth (yoy) Implied by Consensus

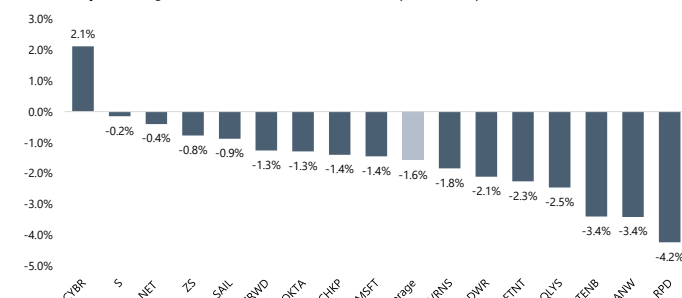
2YR Stack - Subscription							
	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	1Q vs 4Q Delta
NET	37%	50%	68%	75%	57%	34%	-23%
AVPT	47%	48%	42%	39%	60%	41%	-20%
OKTA	38%	23%	21%	25%	28%	11%	-17%
ZS	-	-	-	9%	34%	18%	-16%
SAIL	13%	65%	81%	29%	49%	37%	-12%
VRNS	57%	50%	43%	29%	18%	8%	-10%
CRWD	13%	21%	17%	35%	30%	24%	-6%
PANW	16%	28%	26%	3%	10%	15%	5%
TENB	-19%	1%	-7%	-3%	-14%	-8%	6%
RPD	-16%	-33%	-36%	-58%	-50%	-38%	12%
S	9%	-2%	29%	18%	20%	39%	18%
QLYS	38%	8%	54%	16%	-18%	16%	34%
Average	21%	24%	31%	18%	19%	16%	-2%
Median	16%	23%	29%	21%	24%	17%	-7%

Source: Jefferies, Factset
January Year End Assumed Calendarized. PANW & ZS represent calendar years, not fiscal. New business represents reported billings for QLYS & ZS, and ARR for NET, SAIL, S, CRWD, VRNS, RPD & TENB and Next-gen ARR for PANW, cRPO Bookings for OKTA

Quarterly VAR Survey - Seasonal Softness. Our VAR survey indicates a small downtick in the demand environment in C1Q vs C4Q (even when adjusting for C1Q being seasonally weak). 2026 growth expectations were modestly lowered from C4Q (implying some decel from 2025 performance), with SASE/Identity/Cloud vendors expected to grow fastest.

While the avg 160 bps sequential decline in performance to plan vs 4Q may be concerning on the surface, note it is only 40 bps worse than 1Q25, indicating that results are likely more indicative of seasonal softness than widespread degradation in performance (See Chart 4). That said, it reinforces that the benefit related to securing AI is still off in the future. See VAR Security Survey note [here](#).

Chart 3 - Average performance to plan delta was down 1.6%
Jef Survey: Average Performance to Plan Delta (1Q vs 4Q)



Source: Jefferies Proprietary Security VAR Survey (Apr '26 & Jan '26, N=25)

Chart 4 - Average performance to plan delta was down 1.2% in 1Q25; VRNS posted the 3rd strongest seasonally adjusted performance to plan delta; TENB and RPD were among the weakest

	1Q26 Performance Delta QoQ	1Q25 Performance Delta QoQ	1Q26 vs 1Q25
CYBR	2.1%	-0.9%	3.0%
NET	-0.4%	-2.0%	1.6%
VRNS	-1.8%	-3.4%	1.5%
MSFT	-1.4%	-2.8%	1.3%
ZS	-0.8%	-1.2%	0.4%
S	-0.2%	-0.4%	0.2%
OKTA	-1.3%	-0.9%	-0.4%
Average	-1.6%	-1.2%	-0.4%
QLYS	-2.5%	-1.8%	-0.6%
CRWD	-1.3%	-0.5%	-0.7%
FTNT	-2.3%	-0.7%	-1.5%
CHKP	-1.4%	0.2%	-1.6%
RPD	-4.2%	-1.9%	-2.3%
PANW	-3.4%	-0.6%	-2.8%
TENB	-3.4%	-0.5%	-2.9%
SAIL	-0.9%		N/A
RDWR	-2.1%		N/A

Source: Jefferies Proprietary Security VAR Survey (Apr '26, Jan '26, Apr '25, Jan '25, N=25)

March CIO AI Survey. Not a single one of our surveyed 30 CIOs and other decision makers for IT & AI budgets expect cybersecurity to be a top three area of reallocation for increased AI spend (increases confidence in cyber fundamentals/insulation from risk).

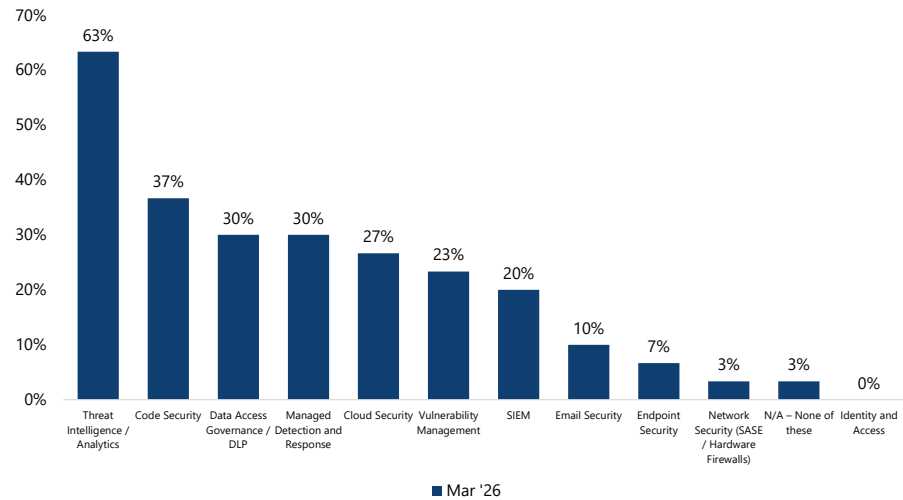
63% of respondents selected Threat Intelligence/Analytics as an area (note respondents could select up to three areas) of cyber they would be most willing to purchase from an LLM provider if they were to offer a solution, making it the overwhelming top pick. Code Security followed at 37%, while Data Access Governance and Managed Detection & Response were tied as the third highest, at 30%.

None of the respondents selected Identity & Access Management as a top three area they would be willing to purchase from an LLM provider. Similarly, Network Security (3% of respondents), Endpoint Security (7%), and Email Security (10%) were among areas with low respondent willingness to purchase from LLM providers. See Chart 5.

See CIO AI Survey note [here](#).

Chart 5 - Threat Intel and Code Security most prone to AI disruption; Identity, Network Security, and Endpoint most insulated

What area(s) of cybersecurity would you be most willing to consider purchasing from an LLM provider (Anthropic/OpenAI) if they were to offer a solution in the future? Select up to three.



Source: Jefferies Proprietary CIO AI Survey, Mar '26, N=30

A Very Positive Cyber Channel Consultant. C1Q accelerated in line with expectations, driven by strong enterprise demand (Fortune 2000) and incremental improvement in the mid-market. Federal is seeing catch-up spend, with good performance in C1Q, while SLED remains weak. C2Q pipeline is strong (supported by AI & Cloud momentum) and implies a larger acceleration in C2Q vs C1Q. TENB and QLYS growth was relatively stable qoq, while RPD continues to face significant headwinds/uncertainty. See full note [here](#).

Varonis (VRNS: Buy, \$40 PT) - Given VRNS's ongoing SaaS transition, we would expect investor focus to be on SaaS ARR, which VRNS guided to \$665M in 1Q, implying \$26M in incremental SaaS ARR (excluding conversions), or up 3% yoy, which seems reasonable. That said, we are watchful for a potential uptick in churn (given the forced EOL) which could pressure total ARR. Additionally, while management guided to 0 conversions in 1Q (which could provide a very modest source of upside), our survey's moderation (albeit improved when seasonally adjusted) reduces our expectation of meaningful ex. conversion SaaS ARR upside in 1Q. We continue to see the FY26 setup as constructive, however, with current guidance embedding a \$22M decrease yoy in new SaaS logo ARR, which should be achievable. VRNS is trading at 3.0x CY26E revenue or 20.9x CY26E FCF on consensus estimates of 16.5% revenue growth in 2026.

- 1Q Set Up.** VRNS guided 1Q SaaS ARR to \$665M, growing 64% yoy vs 88% yoy growth seen in 4Q (32% yoy ex conversions). This implies \$26M in incremental SaaS ARR (excluding conversions) which is only up 3% yoy, seemingly achievable. We note that VRNS has guided to no conversions in 1Q, only providing an annual guide, which could also be a slight source of SaaS ARR quarterly upside. That said, ex conversions, we don't expect more than a few million of upside given our seasonally moderating survey (qoq performance to plan was actually modestly better when comparing to 1Q25 seasonality) & 1Q is typically a smaller NNARR Q.
 - Total ARR a Bit Trickier.** We expect the focus of the print to be fixated on SaaS ARR (especially ex conversions given that is the long term sustainable trajectory). Cons ARR of \$759M would imply about \$94M of term/maintenance ARR vs the \$107M in 4Q25 which seems reasonable as it only embeds \$13M of churn (we expect VRNS to be reasonably successful converting customers to SaaS with no ASP uplift). We will be watchful of churn given the forced transition, although our survey work has been positive in that regard.
- CY26 SaaS ARR Set Up.** '26 SaaS ARR guidance implies 29% yoy growth including \$50-\$75M in conversions benefit. Guidance excluding conversions is for 18-20% yoy growth and implies \$121.5M in SaaS ARR ex conversions added (growing 11% yoy vs \$109.5M added in CY25). Management believes this is very conservative given SaaS NRR (110% in CY25) and new Logos (which contributed \$80M or 24 pts of CY25 SaaS ARR growth). Mgmt further endorsed the growth in NNARR given the sales rep prioritization (previously focused on conversions).
 - If we assume that SaaS NRR stays consistent in CY26 at 110%, then VRNS would only need to sign \$58M in new SaaS logo ARR vs the \$80M seen in CY25, making it likely that material upside remains feasible.
- Thinking Through Transition Math.** If we assume no ASP uplift (which we feel is fair given how aggressive VRNS is at targeting conversions) then this guide for \$50-75M of conversions implies a 47-70% conversion rate. We would expect VRNS to come in at least at the midpoint of this range (supported by our previous 4Q survey which saw 87% of VARs expecting conversions). That said, the toughest conversions are always the last ones, and we expect that overall ARR upside will come from core SaaS over conversions in CY26.
- Margins.** Consensus expectations of 14% FCF margins in CY26 would represent a 7pt decline from CY25 margins of 21%. This is mainly attributable to lingering costs related to the EOL, which management noted represents a \$30-50M headwind. While margin compression is logical, we view this as conservative given that ARR and revenue are expected to grow in '26, and therefore we would expect that VRNS should be able to continue to collect cash on new business signed at a similar cadence as in prior years. That said, while VRNS has beat its opening FCF guide by \$25M + on average the past three years (including headwinds from this year), we still expect margin pressures to persist through CY26 with inflection in CY27.
- Valuation.** VRNS is trading at 3.0x CY26E revenue or 20.9x CY26E FCF on consensus estimates of 16.5% revenue growth in 2026. We believe VRNS' valuation skews towards upside, given the

Chart 6 - VRNS Preview

Varonis Systems <i>in millions except for per share items, unless otherwise noted</i>			
Mar-26E	Jefferies	Consensus	Guidance
ARR	734.9	758.8	
Total Revenue	164.8	165.5	164-166
Non-GAAP Operating Income	(10.5)	(10.1)	(11.0)-(10.0)
Non-GAAP Operating Margin	(6.4%)	(6.1%)	
Non-GAAP EPS	(0.06)	(0.05)	(0.06)-(0.05)
Deferred Revenue	446.7	425.9	
Cash Flow from Ops	61.7	60.9	
Free Cash Flow	58.6	58.7	
Jun-26E	Jefferies	Consensus	Guidance
ARR	764.1	779.6	
Total Revenue	177.2	176.3	
Non-GAAP Operating Income	(0.4)	(0.9)	
Non-GAAP Operating Margin	(0.3%)	(0.5%)	
Non-GAAP EPS	0.01	0.01	
Deferred Revenue	462.4	458.6	
Cash Flow from Ops	17.2	18.8	
Free Cash Flow	13.8	15.4	
CY26E	Jefferies	Consensus	Guidance
ARR	822.5	822.1	805-840
Total Revenue	726.2	726.3	722-730
Non-GAAP Operating Income	2.1	4.1	0.0-4.0
Non-GAAP Operating Margin	0.3%	0.6%	
Non-GAAP EPS	0.08	0.08	0.06-0.10
Deferred Revenue	564.9	779.1	
Cash Flow from Ops	115.8	117.9	
Free Cash Flow	102.0	103.5	100-105
CY27E	Jefferies	Consensus	Guidance
ARR	951.7	946.7	
Total Revenue	856.8	855.0	
Non-GAAP Operating Income	41.6	48.0	
Non-GAAP Operating Margin	4.9%	5.6%	
Non-GAAP EPS	0.33	0.40	
Deferred Revenue	645.9	978.5	
Cash Flow from Ops	170.2	169.7	
Free Cash Flow	153.9	156.5	

Source: Jefferies, Factset, Company data

potential to deliver mid to high teens ARR growth in CY27 & inflecting profitability post SaaS transition uncertainty.

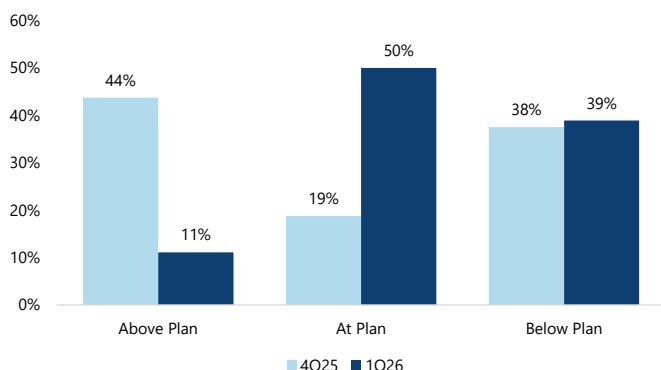
- **Jefferies vs. Street.** For 1Q, we expect total revenue of \$164.8M (vs. consensus at \$165.5M), non-GAAP operating margin of (6.4)% vs. cons. (6.1)%, and non-GAAP EPS of (\$0.06) vs. cons. (\$0.05).

Jef Survey - Varonis: For our 1Q survey, 11% of respondents indicated that their Varonis related business was performing above plan over the past three months (Jan through Mar) while 50% said they were at plan. Meanwhile, the percentage of surveyed partners that indicated performing below plan was 39%. This Q was more negative than our 4Q survey at 44%, 19% and 38% above, at and below plan, respectively (Chart 7).

The net percentage, which we calculate as the total percentage above plan minus the total percentage below plan, see Chart 8, was negative 28% this quarter, which is below the average across all 16 vendors of positive 1%. Alternatively, if we dissect the responses relative to plan and assume the average rate for each bucket (above, below and at plan), we derive an average 1.1% below plan which compares to the average of 0.4% above plan seen by all 16 vendors in this survey. This 1.1% below plan in 1Q is worse than in our 4Q survey where we tracked VRNS at 0.8% above plan. Note that this sequential drop of 190 bps is still better than the 340 bps drop seen in 1Q25 (Chart 9). Again, remember this does not weigh by VAR size but is a framework for which to gauge momentum in the business.

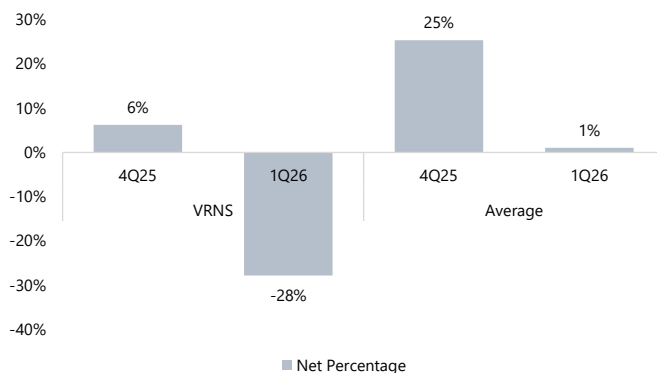
Net Neutral.

Chart 7 - VRNS 1Q business sentiment less positive vs 4Q



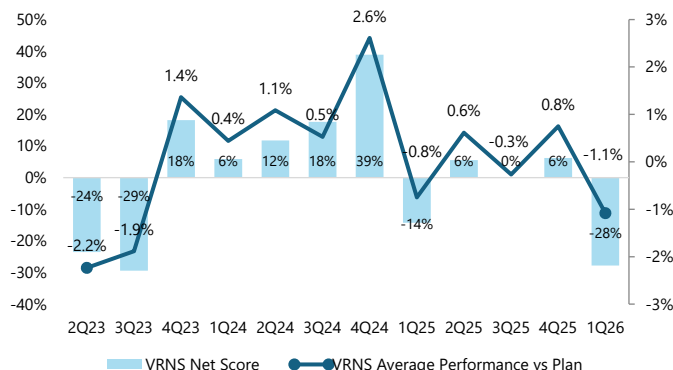
Source: Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=18), Jan '26 (N=16))

Chart 8 - 1Q Survey - VRNS Net Percentage: Above Plan - Below Plan = Down 28%; Declined QoQ



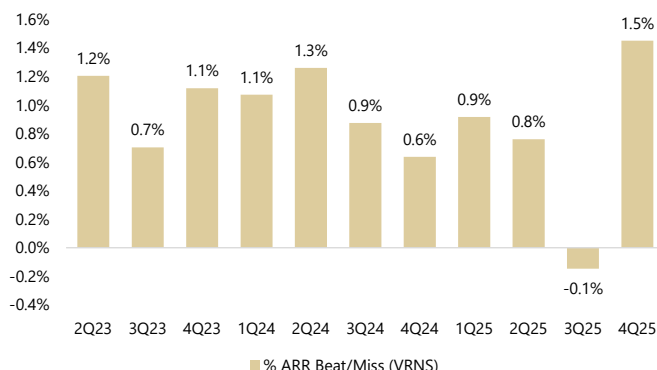
Source: Jefferies Proprietary Security VAR Survey (Jan '26 (N=16), Oct '25 (N=17))

Chart 9 - VRNS Average Performance vs Plan Downticks QoQ in 1Q



Source: Jefferies Proprietary Security VAR Survey (Jul '23, Oct '23, Jan '24, Apr '24, Jul '24, Oct '24, Jan '25, Apr '25, Jul '25, Oct '25, Jan '26, Apr '26)

Chart 10 - % Beat/Miss VRNS ARR (quarters correspond to chart on the left)



Source: Jefferies, Factset

AvePoint (AVPT: Buy, \$16 PT) - Consensus estimates 26% yoy ARR growth in 1Q or \$18.4M incremental ARR qoq vs the \$15.7M organic signed in 1Q25 representing 18% yoy growth (below 48% yoy growth in 4Q on 27 pt tougher comp). Note that our survey work moderated qoq and there are potential FX ARR headwinds that could pressure reported 1Q ARR upside. That said, we expect strong CC ARR performance.

We believe AVPT's FY26 guidance is already impressive given it embeds 26% yoy cc ARR growth (in-line with FY25), or an 8pt acceleration in organic cc NNARR growth. Given this, we wouldn't expect to see a considerable raise to guidance, outside the magnitude of any potential 1Q cc ARR beat. FY26 is set to be an investment year, which will weigh on margins, though we see this as justifiable given AVPT's prime position to capture the inflecting AI opportunity. AVPT trades at 3.5x CY26E rev based on rev ests of 22.5% growth, which is attractive.

- 1Q ARR Setup Manageable.** Consensus estimates 26% yoy ARR growth in 1Q or \$18.4M incremental ARR qoq vs the \$15.7M organic signed in 1Q25 representing 18% yoy growth. This 18% yoy growth is a significant deceleration vs the 48% seen in 4Q25, although the comp is 27 pts tougher. We expect a very modest beat but note that FX headwinds and moderating survey results could pressure reported results.
 - FX Complication.** While we don't know the intricacies of the reported ARR calculation with FX, it is important to note that the Euro & the Singapore dollar both declined about 2% vs the dollar from the time AVPT reported 4Q results in Feb until March 31. While both have rebounded since then (buoy to reported guide), there is the potential that this impacts the reported ARR estimates in 1Q.
- Thoughts on FY26 Guidance.** AVPT's FY26 ARR guide (\$528.1M at the midpoint) implies 27% yoy growth. The FY26 ARR growth guide embeds 26% yoy cc which is impressively consistent with the 26% in FY25. This also implies an acceleration in organic cc NNARR growth from 24% yoy in FY25 to 32% in FY26. While this acceleration raises some execution risk, management noted it was maintaining its guidance philosophy and believes the business is at a fundamental inflection. Even more positively, we don't believe that the heavy investments AVPT is making in GTM are necessary to meet guide. That said, we would expect AVPT to only flow through the constant currency F1Q beat, given NNARR already embeds strong growth yoy.
- 1Q Margins.** Consensus 1Q non-GAAP operating margins of 17.3% implies ~270 bps qoq contraction but ~280 bps yoy expansion. We model AVPT's 1Q non-GAAP op margin roughly in line with consensus at 17.2%. AVPT has beat non-GAAP op margin guidance by an average of 4.0% over the past four quarters which gives us confidence in potential upside (although we expect less upside than CY25 given the heavy investments & some FX related headwinds to reported results in 1Q).
- FY26 Margins.** FY26 non-GAAP op margins were guided to 18.4% at the midpoint which would be a ~50bps contraction from FY25. Management noted FY26 as an investment year, with heavier spend in S&M and on technology (dev/operational, AI, automation). While we expect this to have a temporary impact on profitability, we believe AVPT is still positioned to progress toward its long-term operating margin target (27.5% by FY29) and that this spend is justifiable given the inflecting AI opportunity.
- Copilot Adoption.** As Office Copilot traction increases, AVPT expects to eventually see revenue contribution (still currently early innings). We believe AVPT along with VRNS could be large potential beneficiaries, and that ramping AI adoption serves as a tailwind to sustain future growth (current Copilot paid seat count is 15M, which we expect to ramp in future quarters).
- Valuation.** Shares currently trade at 3.5x CY26E rev estimates of 22.5% growth. (vs. the high growth cohort median at 5.4x on rev growth of 20.6%) which in our opinion represents a positive risk reward.

Chart 11 - AVPT Preview Table

Avepoint (AVPT) <i>in millions except for per share items, unless otherwise noted</i>			
Mar-26E	Jefferies	Consensus	Guidance
ARR	435.3	435.2	
yoy % growth	26%	26%	
Total Revenue	115.9	116.1	115.0-117.0
yoy % growth	24%	25%	25%
Non-GAAP Operating Income	19.9	20.1	19.5-20.5
Non-GAAP Operating Margin	17.2%	17.3%	17.2%
Free Cash Flow	11.9	9.1	
Margin	10%	8%	
Jun-26E	Jefferies	Consensus	Guidance
ARR	462.2	462.1	
yoy % growth	26%	26%	
Total Revenue	122.7	124.6	
yoy % growth	20%	22%	
Non-GAAP Operating Income	22.7	21.6	
Non-GAAP Operating Margin	18.5%	17.3%	
Free Cash Flow	22.4	22.4	
Margin	18%	18%	
FY26E	Jefferies	Consensus	Guidance
ARR	528.2	528.4	525.1 - 531.1
yoy % growth	27%	27%	27%
Total Revenue	513.9	514.1	509.4-517.4
yoy % growth	23%	23%	22%
Non-GAAP Operating Income	94.5	95.4	92.6-96.6
Non-GAAP Operating Margin	18.4%	18.6%	18.4%
Free Cash Flow	98.2	101.1	
Margin	19%	20%	
FY27E	Jefferies	Consensus	Guidance
ARR	647.5	656.6	
yoy % growth	23%	24%	
Total Revenue	625.8	616.5	
yoy % growth	22%	20%	
Non-GAAP Operating Income	123.1	125.7	
Non-GAAP Operating Margin	19.7%	20.4%	
Free Cash Flow	123.4	127.5	
Margin	20%	21%	

Source: Jefferies, Company data, FactSet

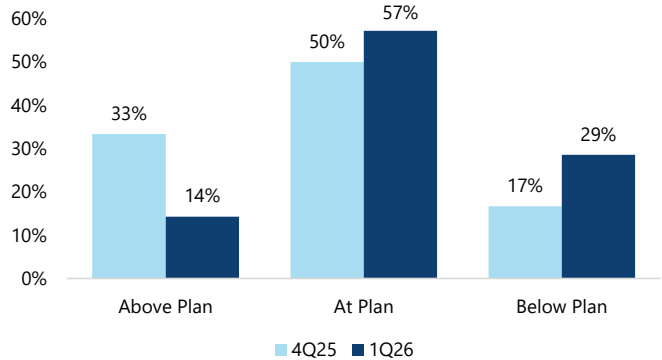
- Jefferies vs. Street.** For 4Q, we expect total revenue of \$115.9M (vs consensus \$116.1M), total ARR of \$435.3M (vs consensus \$435.2M), and non-GAAP operating margin of 17.2% (vs consensus 17.3%).

Jef Survey - AvePoint: For our 1Q survey, 14% of respondents indicated that their AvePoint related business was performing above plan over the past three months (Jan through Mar) while 57% said they were at plan. Meanwhile, the percentage of respondents that indicated performing below plan was 29%. This compared to our 4Q survey at 33%, 50% and 17% above, at and below plan respectively (Chart 12). Note that number of respondents declined to 7 from 12 in 4Q, which increases the weight of each response.

Alternatively, if we dissect the responses relative to plan and assume the average rate for each bucket (above, below and at plan), we derive an average 0.2% above plan. The 0.2% above plan in 1Q represents a decrease from the 1.6% above plan for AVPT in our 4Q survey (Chart 13). Again, remember this does not weigh by VAR size but is a framework for which to gauge momentum in the business.

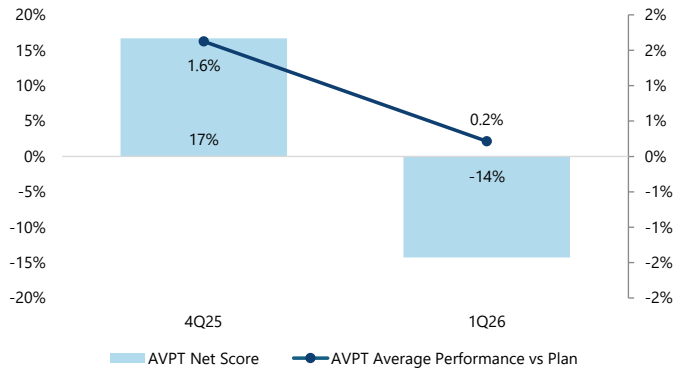
Net Mildly Negative.

Chart 12 - AVPT business sentiment less positive vs 4Q



Source: Jefferies Proprietary Survey (Apr '26 (N=7), Feb '26 (N=12))

Chart 13 - AVPT's Average Performance vs Plan - Decline in 1Q



Source: Jefferies Proprietary Survey (Apr '26 (N=7), Feb '26 (N=12))

Rapid7 (RPD: Hold, \$6 PT) - Cons estimates (0.9%) yoy ARR growth in 1Q, implying new business yoy decline very modestly improves from (31)% yoy in 4Q to (28)% yoy in 1Q (accounting for churn). While this appears feasible on the surface, note that our survey massively downticked in 1Q for RPD and performance will be dependent on the health of the VM business as well as the growth of the D&R business (MDR decelerated past two quarters). Likewise, we believe a tougher bar for 2026 (consensus implies ~13 pts of new business growth acceleration) and a new CFO (likely to exhibit prudence; joined Dec 2025) will likely cap any dramatic near term revisions.

- **1Q ARR Setup.** Consensus estimates (0.9%) yoy ARR growth in 1Q or down \$10M qoq. If we assume no change in gross retention rates, then the implied new business growth rate is down 28% yoy which is relatively in-line with the trajectory of 3Q/4Q (potentially implying only limited upside potential). We highlight that RPD did not guide to FY26 ARR (historically guides to FY instead of Q). It remains unclear to us if 1Q churn is expected to uptick or if this is just a prudent guide on new business. Note that RPD was the worst performer in our survey qoq which will likely continue to pressure results.
- **Thinking Through FY26.** Consensus ARR of \$833M implies (1)% yoy growth in FY26 vs flat in FY25. When accounting for churn, Consensus ARR growth embeds new business growth to improve from (21)% yoy in FY25 to (7)% in FY26, which is already a high bar. That said, this could be feasible provided RPD's ability to maintain the MDR business at HSD+ growth, though upside is likely limited.
- **Leadership Likely to Keep Conservative Guide.** Given the recent CFO transition (December 2025), we would not expect to see much upside change to the trajectory of ARR growth. RPD continues to invest into its D&R business, and we remind investors this can lead to choppy execution, as good things do take time.
- **1Q Margins.** Consensus estimates are for 10.0% non-GAAP op margins in F1Q, which implies ~540 bps contraction yoy, accounting for the moderating top line and heavy investments. This seems feasible, though we wouldn't be surprised to see some GM pressure to help stabilize topline results. That said, we would expect RPD to ultimately lean more into profitability if execution doesn't improve over the next few Qs.
- **Valuation.** RPD trades at 1.1x EV/NTM recurring revenue (Jef estimate), well below TENB's 2.3x & QLYS's 3.6x. Our PT of \$6 implies 1.4x EV/NTM recurring revenue (Jef estimate).
- **Jefferies vs. Street.** For 1Q, we expect total revenue of \$208.0M (vs consensus at \$207.9M), total ARR of \$830.0M (vs consensus \$830.0M), non-GAAP operating margin of 9.6% (vs consensus at 10.0%), and non-GAAP EPS of \$0.30 (in line with consensus).

Chart 14 - RPD Preview

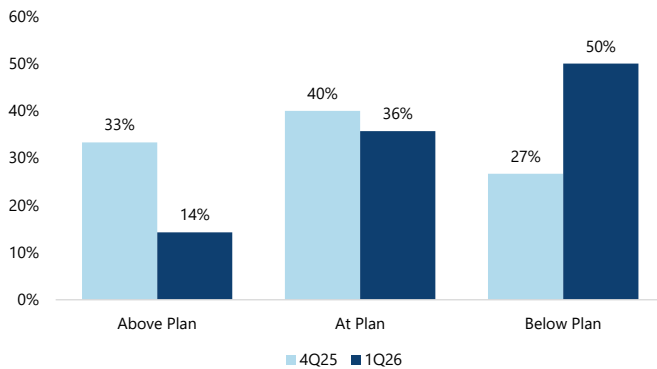
Rapid7 Inc (RPD) <i>in millions except for per share items, unless otherwise noted</i>			
Mar-26E	Jefferies	Consensus	Guidance
ARR	830.0	830.0	~830
yoy % growth	-0.9%	-0.9%	(1%)
Total Revenue	208.0	207.9	207-209
yoy % growth	-1.0%	-1.1%	(2)%-(1%)
Non-GAAP Operating Income	20.0	20.8	19-21
Non-GAAP Operating Margin	9.6%	10.0%	
Non-GAAP EPS	0.30	0.30	0.29-0.32
Free Cash Flow	24.1	23.9	
FCF Margin	11.6%	11.5%	
Jun-26E	Jefferies	Consensus	Guidance
ARR	830.4	829.7	
yoy % growth	-1.2%	-1.3%	
Total Revenue	208.9	208.7	
yoy % growth	-2.5%	-2.6%	
Non-GAAP Operating Income	27.3	26.5	
Non-GAAP Operating Margin	13.1%	12.7%	
Non-GAAP EPS	0.39	0.38	
Free Cash Flow	44.4	34.5	
FCF Margin	21.2%	16.5%	
FY26E	Jefferies	Consensus	Guidance
ARR	831.5	832.6	
yoy % growth	-1.0%	-0.9%	
Total Revenue	839.0	838.7	835-843
yoy % growth	-2.4%	-2.4%	(3)%-(2%)
Non-GAAP Operating Income	112.0	113.1	108-116
Non-GAAP Operating Margin	13.4%	13.5%	
Non-GAAP EPS	1.55	1.55	1.50-1.60
Free Cash Flow	130.4	129.7	125-135
FCF Margin	15.5%	15.5%	
FY27E	Jefferies	Consensus	Guidance
ARR	833.4	836.0	
yoy % growth	0.2%	0.4%	
Total Revenue	839.5	844.8	
yoy % growth	0.1%	0.7%	
Non-GAAP Operating Income	120.1	120.4	
Non-GAAP Operating Margin	14.3%	14.3%	
Non-GAAP EPS (Diluted)	1.57	1.57	
Free Cash Flow	138.7	131.9	
FCF Margin	16.5%	15.6%	

Source: Jefferies, Factset, Company data

Jef Survey - Rapid7: For our 1Q survey, 14% of respondents indicated that their Rapid7 related business was performing above plan over the past three months (Jan through Mar) while 36% said they were at plan. Meanwhile, the percentage of surveyed partners that indicated performing below plan was 50%. This compared to our 4Q survey at 33%, 40% and 27% above, at and below plan respectively (Chart 15).

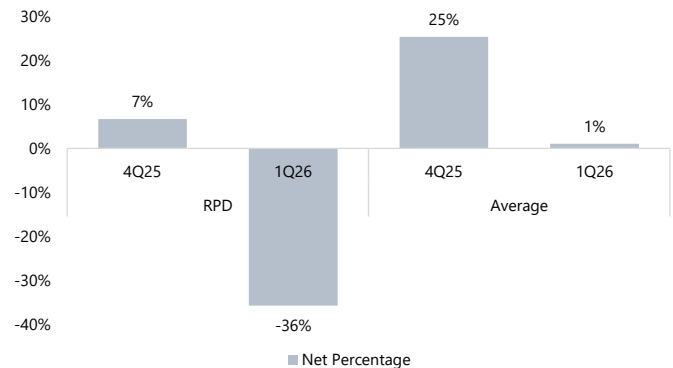
The net percentage, which we calculate as the total percentage above plan minus the total percentage below plan, see Chart 16, was negative 36% this quarter, which is well below the average across all 16 vendors of positive 1%. Alternatively, if we dissect the responses relative to plan and assume the average rate for each bucket (above, below and at plan), we derive an average 2.3% below plan which is below the average of 0.4% above plan seen by all 16 vendors in this survey. The 2.3% below plan in 1Q represents a decrease from the 1.9% above plan for RPD in our 4Q survey (Chart 17). This drop is significantly worse than the seasonal decline in 1Q25 as well. Again, remember this does not weigh by VAR size but is a framework for which to gauge momentum in the business. **Net Negative.**

Chart 15 - RPD 1Q business sentiment more negative vs 4Q



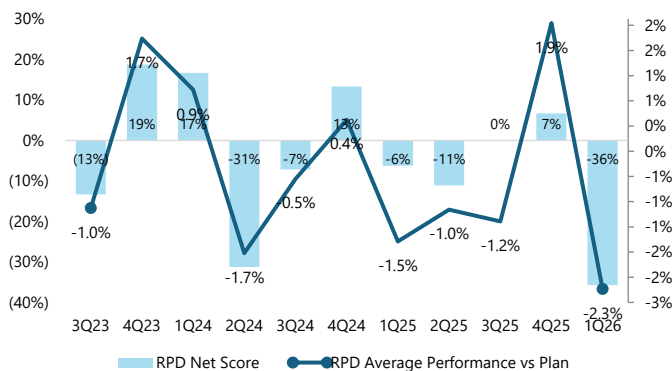
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=14), Jan '26 (N=15))

Chart 16 - 1Q Survey - RPD's Net Percentage: Above Plan - Below Plan = Down 36%; Below 4Qs 7%



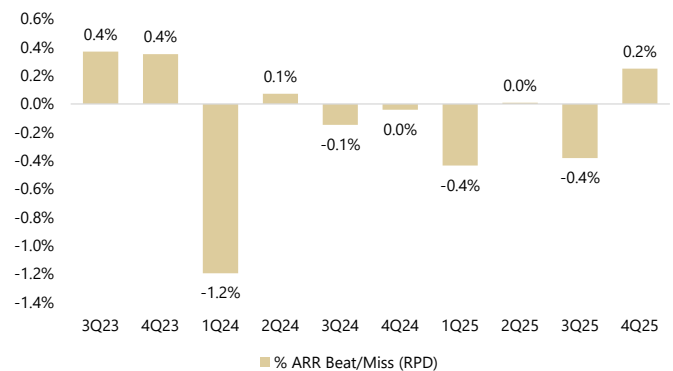
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=14), Jan '26 (N=15))

Chart 17 - RPD's Average Performance vs Plan - Large Decline in 1Q



Source: Jefferies Proprietary Security VAR Survey (Oct '23, Jan '24, Apr '24, Jul '24, Oct '24, Jan '25, Apr '25, Jul '25, Oct '25, Jan '26, Apr '26)

Chart 18 - % Beat/Miss RPD ARR (quarters correspond to chart on the left)



Source: Jefferies, FactSet

Gen Digital (GEN: Hold, \$21 PT) - Core GEN in our view represents a stable and healthy business. We see consensus for both F4Q and FY27 as achievable, given core GEN only needs to grow LSD provided MoneyLion sustains momentum (cross-sell should help). We are watching for more commentary around GEN's AI and Financial Wellness strategies, especially given a slew of AI releases and the Trellis acquisition over the past quarter. GEN trades at 3.8x EV/2026E revenue and 9.3x EV/2026E FCF. Our \$21 PT implies 4x EV/2026E revenue and 10x EV/2026E FCF.

- **F4Q Revenue Setup.** Consensus expectations are for 23% yoy total revenue growth. Our underlying assumption for MoneyLion revenue growth is 33% yoy (vs 36% in 3Q on a flat 2-year avg comp) and 3.0% yoy for core GEN (vs 4.0% in 3Q on an 80 bps tougher comp). We view revenue guide as achievable and expect modest upside.
- **FY27 Guide.** Consensus expectations are for 6% yoy total revenue growth in FY27. If we assume MoneyLion revenue grows 22% yoy in FY27 (vs 36% yoy forecasted in FY26), this would imply core GEN would only need to grow 2.7% yoy (vs our estimate of 6.0% in FY26), which seems very achievable even when factoring in 1 less week in the fiscal year (subtracting benefit reduces core Gen FY26 growth to ~4%). We also expect that the cross-sell opportunity into the MoneyLion customer base should start to materialize. We expect upside remains feasible vs Cons FY27 rev expectations for opening guidance.
 - **Model Seasonality Tweak.** We have updated our model to better reflect revenue seasonality created by the extra week in F1Q26 in our F1Q27 estimates. While this will lead to a more modest F1Q guide (when compared yoy to F1Q26; we have lowered our rev estimates in F1Q27 to \$1.265B vs \$1.272B previously), we have maintained our overall FY27 revenue estimates and continue to believe they are reasonable.
- **F4Q26 and FY27 Non-GAAP Op Margin.** Consensus estimates F4Q non-GAAP op margins of 50.9%, which implies 7 pts of yoy contraction (impact of MoneyLion acquisition). This would be a 30bps improvement qoq, which feels reasonable as GEN continues to become better acquainted with MoneyLion and some synergies materialize.
- **Commentary on AI and Financial Wellness.** We would expect to hear more commentary around GEN's use of AI as well as the build out of its financial wellness platform. GEN has notably announced AI Agent Protection in Norton 360 and the acquisition of Trellis, an insurance platform, since 3Q close. We think continued commentary around these areas could bolster investor confidence regarding integration/execution success especially since the cross-sell opportunity between GEN and Trellis is easier to visualize (if we assume high net worth people purchase consumer security, the synergies with an insurance broker is easier to comprehend).
- **Jefferies vs. Street.** For F4Q, we expect total revenue of \$1,249.6M (vs. consensus at \$1,245.3M), non-GAAP operating margin of 51.0% (vs. cons. 50.9%), and non-GAAP EPS of \$0.65 (in line with consensus).
- **Valuation.** GEN trades at 3.8x EV/2026E revenue and 9.3x EV/2026E FCF. Our \$21 PT implies 4x EV/2026E revenue and 10x EV/2026E FCF.

Chart 19 - GEN Preview

Gen Digital (GEN)				
in millions except for per share items, unless otherwise noted				
Mar-26E	Jefferies	Previous Jefferies	Consensus	Guidance
Total Revenue	1,249.6	1,249.6	1,245.3	1,240 - 1,260
yoy % growth	23.7%	23.7%	23.3%	
Non-GAAP Operating Income	637.5	637.5	633.3	
Non-GAAP Operating Margin	51.0%	51.0%	50.9%	
Non-GAAP EPS	0.65	0.65	0.65	0.64 - 0.66
Billings	1,273.7	1,273.7	1,341.5	
Free Cash Flow	591.0	591.0	598.5	
Margin	47%	47%	48%	
Jun-26E	Jefferies	Previous Jefferies	Consensus	Guidance
Total Revenue	1,265.0	1,271.8	1,271.4	
yoy % growth	0.6%	1.2%	1.1%	
Non-GAAP Operating Income	642.2	645.6	647.6	
Non-GAAP Operating Margin	50.8%	50.8%	50.9%	
Non-GAAP EPS	0.66	0.66	0.68	
Billings	1,244.8	1,251.6	1,215.1	
Free Cash Flow	400.0	408.3	273.8	
Margin	32%	32%	22%	
FY26E	Jefferies	Previous Jefferies	Consensus	Guidance
Total Revenue	4,966.6	4,966.6	4,963.0	4,955 - 4,975
yoy % growth	26.2%	26.2%	26.1%	
Non-GAAP Operating Income	2,539.5	2,539.5	2,535.6	
Non-GAAP Operating Margin	51.1%	51.1%	51.1%	
Non-GAAP EPS	2.55	2.55	2.55	2.54-2.56
Billings	4,973.7	4,973.7	5,057.5	
Free Cash Flow	1,638.0	1,638.0	1,473.3	
Margin	33%	33%	30%	
FY27E	Jefferies	Previous Jefferies	Consensus	Guidance
Total Revenue	5,243.1	5,243.1	5,249.6	
yoy % growth	5.6%	5.6%	5.8%	
Non-GAAP Operating Income	2,688.4	2,688.4	2,692.1	
Non-GAAP Operating Margin	51.3%	51.3%	51.3%	
Non-GAAP EPS	2.77	2.77	2.84	
Billings	5,259.4	5,259.4	5,214.0	
Free Cash Flow	1,690.7	1,690.7	1,494.7	
Margin	32%	32%	28%	

Source: Jefferies, Factset, Company data

Tenable (TENB: Hold, \$22 PT) - Cons estimates for 9.0% yoy current billings growth in 1Q represents a 50bps acceleration from 4Q on a 240 bps easier comp. Cons implies low single digit yoy organic new business growth which is an acceleration vs 4Q organic new business growth of down high single digits on a tougher comp. Our anecdotal checks continue to show vulnerability management is constrained, with survey results also indicating a large qoq decline in performance which may pressure upside. TENB trades at a defensive 2.3x EV/NTM recurring revenue although an overwhelmingly negative investor sentiment will be tough to change until billings/NRR acceleration materializes.

- **1Q Current Billings Setup.** Consensus estimates 9.0% yoy current billings growth in 1Q which is an acceleration from 8.5% yoy in 4Q. This implies low single digit yoy organic new business growth which is an acceleration vs 4Q organic new business growth of down high singles. This set up and our pressured survey work leads us to be more cautious in to the 1Q print (don't expect material upside).
- **FY26 Setup.** Management guided FY26 revenue to \$1.070B at the midpoint, implying 7.1% yoy growth in FY26 vs 11.0% yoy growth in FY25. While management will no longer guide to CCB, it did positively endorse cons CCB dollars (implies 7% yoy growth). We have forecast in line with that, which implies a modest acceleration in TENB's net new ACV growth from down 4% yoy in FY25 to flat to up modestly yoy in FY26. Investors remain apprehensive about the decel implied by rev guide (7% yoy in '26 vs 11% exit rate) which we attribute primarily to conservatism, although it will certainly take time for Tenable One (1/3 of business) to become a large enough mix of the business to offset the very modest growth seen in core VM.
- **Fed Stability Expected in CY26.** TENB noted that it saw stability in its federal business in 4Q. Expectations for CY26 are that the federal business performs in-line with the remainder of the business. Our anecdotal checks have shown some catch-up spend with US Fed which could help support top line growth.
- **Tenable One Momentum.** In 4Q, Tenable One comprised 46% of total new sales. TENB has previously noted that the Tenable One platform recorded some of the highest selling prices, close rates, and renewal rates of their offering. Management remains highly focused on driving customer adoption of Tenable One, followed by driving expansion once customers are on the platform. We continue to see Tenable One adoption as a driver of growth, especially as it becomes a larger portion of the overall business.
- **Takes Out of RSA.** We visited the TENB booth with CFO Matt Brown and Head of IR Erin Karney and saw a demo of Hexa AI, TENB's AI agent for exposure management, which will be GA soon. This product certainly addresses a need, reducing hours of human labor. Notably, Hexa AI is only included in Tenable One, which is a 10-80% ASP uplift from standalone VM. Hexa AI is currently only for VM products, but will be made available for the rest of the portfolio in the future. The roadmap is still a work in progress with regard to remediation, but TENB is moving that direction, and we think the sensors and remediation will drive the moat vs large LLMs. This will take time, but the company is hopeful for NRR acceleration (we view this as key for driving the stock performance).
- **Valuation.** TENB trades at 2.3x EV/NTM recurring revenue (Jef estimate) well below our implied 5.4x base value. Our PT of \$22 implies 2.5x EV/NTM recurring revenue (Jef estimate).
- **Jefferies vs. Street.** For 1Q, we expect total revenue of \$258.4M (vs consensus at \$258.8M), current calculated billings of \$230.8M (vs. consensus \$234.8M), non-GAAP operating margin of 21.1% (vs consensus at 21.4%), and non-GAAP EPS of \$0.41 (in line with consensus).

Chart 20 - TENB Preview

Tenable Holdings (TENB)			
in millions except for per share items, unless otherwise n			
Mar-26E	Jefferies	Consensus	Guidance
Total Revenue	258.4	258.8	257-260
yoy % growth	8.0%	8.2%	
Non-GAAP Operating Income	54.5	55.4	53.0-56.0
Non-GAAP Operating Margin	21.1%	21.4%	21.1%
Non-GAAP EPS (Diluted)	0.41	0.41	0.39-0.42
Unlevered Free Cash Flow	96.9	84.4	
Margin	37.5%	32.6%	
Calculated Current Billings	230.8	234.8	
yoy % growth	7.2%	9.0%	

Jun-26E	Jefferies	Consensus	Guidance
Total Revenue	265.6	264.6	
yoy % growth	7.4%	7.0%	
Non-GAAP Operating Income	59.0	59.3	
Non-GAAP Operating Margin	22.2%	22.4%	
Non-GAAP EPS	0.44	0.43	
Unlevered Free Cash Flow	41.7	46.6	
Margin	15.7%	17.6%	
Calculated Current Billings	254.9	257.7	
yoy % growth	6.9%	8.0%	

FY26E	Jefferies	Consensus	Guidance
Total Revenue	1,070.1	1,070.8	1,065-1,075
yoy % growth	7.1%	7.1%	7.1%
Non-GAAP Operating Income	250.1	250.0	245-255
Non-GAAP Operating Margin	23.4%	23.4%	23.4%
Non-GAAP EPS	1.87	1.87	1.81-1.90
Unlevered Free Cash Flow	290.1	290.1	285-295
Margin	27.1%	27.1%	27.1%
Calculated Current Billings	1,124.9	1,124.2	
yoy % growth	7.2%	7.1%	

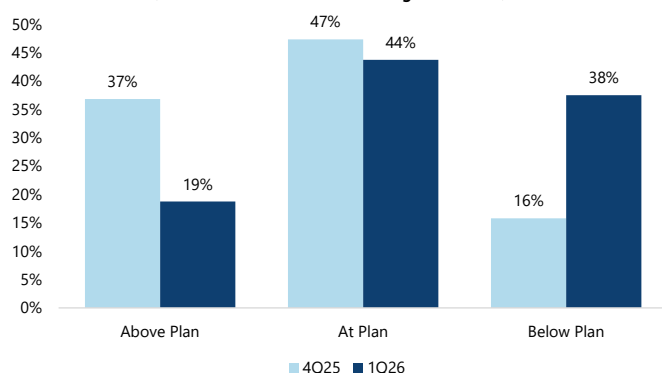
FY27E	Jefferies	Consensus	Guidance
Total Revenue	1,142.1	1,147.2	
yoy % growth	6.7%	7.1%	
Non-GAAP Operating Income	260.2	278.4	
Non-GAAP Operating Margin	22.8%	24.3%	
Non-GAAP EPS	1.99	2.09	
Unlevered Free Cash Flow	321.2	326.8	
Margin	28.1%	28.5%	
Calculated Current Billings	1,200.7	1,204.3	
yoy % growth	6.7%	7.1%	

Source: Jefferies, Factset, Company data

Jef Survey - Tenable: For our 1Q survey, 19% of respondents indicated that their Tenable related business was performing above plan over the past three months (Jan through Mar) while 44% said they were at plan. Meanwhile, the percentage of respondents that indicated performing below plan was 38%. This compared to our 4Q survey at 37%, 47% and 16% above, at and below plan respectively (Chart 21).

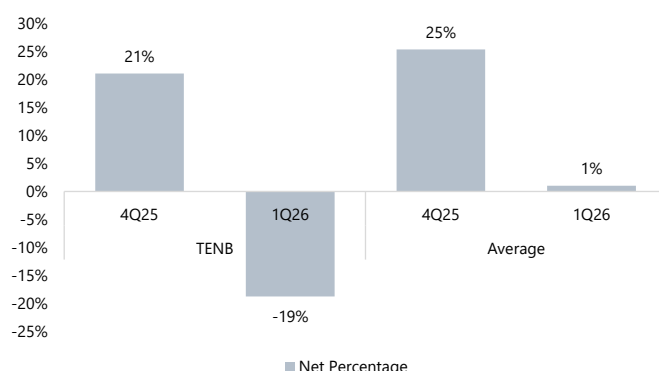
The net percentage, which we calculate as the total percentage above plan minus the total percentage below plan, see Chart 22, was negative 19% this quarter, which is below the average across all 16 vendors of positive 1% and TENB's 21% in 4Q. Alternatively, if we dissect the responses relative to plan and assume the average rate for each bucket (above, below and at plan), we derive an average 1.6% below plan which is below the average of 0.4% above plan seen by all 16 vendors in this survey. The 1.6% below plan in 1Q represents a decrease vs the 1.8% above plan for TENB in our 4Q survey (Chart 23). This drop is also worse than the seasonal decline seen in 1Q25. Again, remember this does not weigh by VAR size but is a framework for which to gauge momentum in the business. **Net Negative.**

Chart 21 - TENB 1Q business sentiment more negative vs 4Q



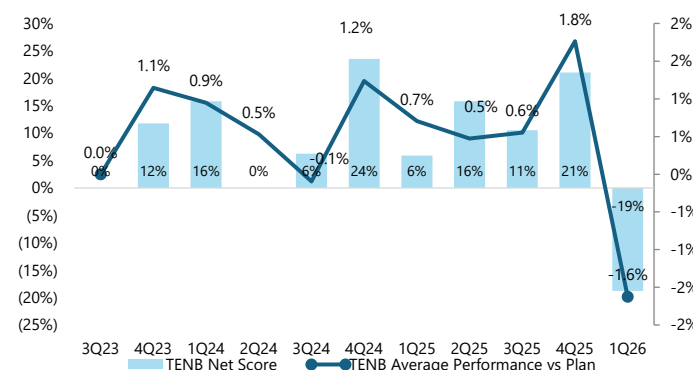
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=16), Jan '26 (N=19))

Chart 22 - 1Q Survey - TENB Net Percentage: Above Plan - Below Plan = Down 19%; Worse Than 4Q's 21%



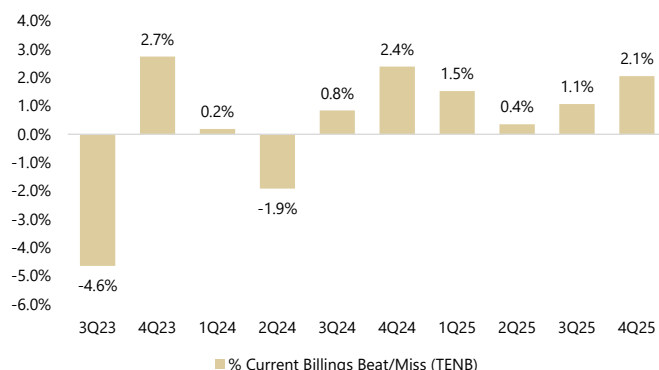
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=16), Jan '26 (N=19))

Chart 23 - TENB's Average Performance vs Plan Saw Large Downtick QoQ



Source: Jefferies Proprietary Security VAR Survey (Oct '23, Jan '24, Apr '24, Jul '24, Oct '24, Jan '25, Apr '25, Jul '25, Oct '25, Jan '26, Apr '26)

Chart 24 - % Beat/Miss TENB Billings (quarters correspond to chart on the left)



Source: Jefferies, FactSet

Qualys (QLYS: Hold, \$95 PT). Consensus 1Q current billings expectations are for 8.3% yoy growth vs 6.3% yoy in 4Q on a 6 pt easier comp. Consensus implies 1Q organic new business growth of up 14% yoy (a material acceleration from down 18% reported in 4Q on a 3 pt tougher comp). We continue to see VM as constrained and note that QLYS had mildly negative survey results (when adjusting for seasonality). We think QLYS' future growth acceleration will likely remain somewhat pressured until adjacent areas of growth outside core Vulnerability management come to the rescue. Valuation of 3.6x EV/NTM recurring revenue should be relatively defensive although for shares to work, acceleration in NRR (103%) is needed to alleviate the bearish VM investor narrative.

- **1Q Billings Setup.** Consensus estimates 8.3% yoy current billings growth in 4Q which is an acceleration vs 6.3% yoy in 4Q (on a 6 pt easier comp). Similarly, this implies an acceleration in organic new business growth to up 14% yoy vs down 18% yoy in 4Q on a 3 pt tougher comp. While we think the 1Q setup is manageable, continued pressure in traditional vulnerability management and a negative inflection in our survey (though impact more muted when adjusting for seasonality) lead us to be more cautious in the print.
- **2026 Setup.** Consensus total revenue of \$721M implies 8% yoy growth in FY26 vs the 10% yoy growth seen in FY25. Current billings estimates of 8% yoy in FY26 also appear reasonable given it embeds a modest deceleration in new business growth from 7% yoy in FY25 to 3% in FY26, although we expect any FY26 topline guides to remain relatively unchanged.
- **NRR.** We believe focus will be paid to QLYS' NRR and any commentary regarding the possibility of future acceleration, which we see as pivotal for investors to underwrite confidence in growth outside of core vulnerability management. QLYS has somewhat struggled with upsell on renewals, though it has longer term aspirations for improvement to be driven by its ETM motion, which we will continue to monitor.
- **Valuation.** QLYS trades at 3.6x EV/NTM recurring revenue (Jef estimate) which is below our implied 5.4x base value. Our QLYS PT of \$95 implies 4.2x EV/NTM recurring revenue (Jef estimate).
- **Jefferies vs. Street.** For 1Q, we expect total revenue of \$173.6M (vs. consensus \$173.7M), current billings of \$164.8M (vs. consensus at \$168.2M), non-GAAP operating margin of 42.7% (vs. consensus 43.9%), and non-GAAP EPS of \$1.79 (vs. consensus \$1.80).

Chart 25 - QLYS Preview

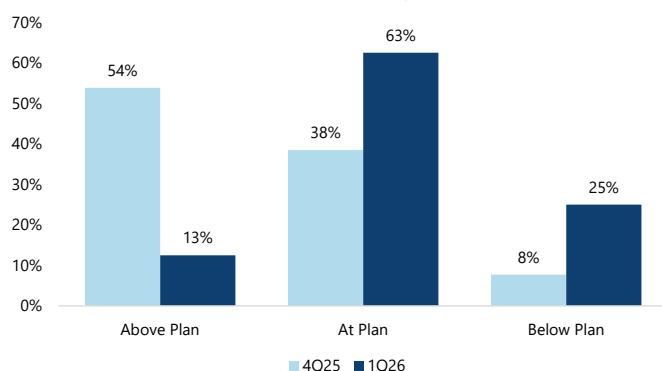
Qualys (QLYS) <i>in millions except for per share items, unless otherwise noted</i>			
Mar-26E	Jefferies	Consensus	Guidance
Total Revenue	173.6	173.7	172.5-174.5
yoy % growth	8.6%	8.6%	8-9%
Non-GAAP Operating Income	74.0	76.3	
Non-GAAP Operating Margin	42.7%	43.9%	
Non-GAAP EPS	1.79	1.80	1.76-1.83
GAAP EPS	1.32	1.34	1.29-1.36
Current Billings	164.8	168.2	
yoy % growth	6.1%	8.3%	
Free Cash Flow	103.4	107.1	
FCF Margin	60%	62%	
Jun-26E	Jefferies	Consensus	Guidance
Total Revenue	177.8	177.1	
yoy % growth	8.4%	7.9%	
Non-GAAP Operating Income	75.5	74.5	
Non-GAAP Operating Margin	42.5%	42.1%	
Non-GAAP EPS	1.78	1.78	
GAAP EPS	1.29	1.34	
Current Billings	162.4	164.3	
yoy % growth	6.7%	8.0%	
Free Cash Flow	35.0	50.0	
FCF Margin	20%	28%	
FY26E	Jefferies	Consensus	Guidance
Total Revenue	721.2	721.2	717-725
yoy % growth	7.8%	7.8%	7-8%
Non-GAAP Operating Income	305.7	311.1	
Non-GAAP Operating Margin	42.4%	43.1%	
Non-GAAP EPS	7.32	7.38	7.17-7.45
GAAP EPS	5.33	5.52	5.20-5.48
Current Billings	751.4	751.7	
yoy % growth	7.5%	7.6%	
Free Cash Flow	299.8	296.7	
FCF Margin	42%	41%	low 40s
FY27E	Jefferies	Consensus	Guidance
Total Revenue	772.4	772.5	
yoy % growth	7.1%	7.1%	
Non-GAAP Operating Income	327.5	332.3	
Non-GAAP Operating Margin	42.4%	43.0%	
Non-GAAP EPS	8.03	7.98	
GAAP EPS	5.83	5.99	
Current Billings	802.4	806.2	
yoy % growth	6.8%	7.3%	
Free Cash Flow	328.9	317.5	
FCF Margin	43%	41%	

Source: Jefferies, Factset, Company data

Jef Survey - Qualys: For our 1Q survey, 13% of respondents indicated that their Qualys related business was performing above plan over the past three months (Jan through Mar) while 63% said they were at plan. Meanwhile, the percentage of surveyed partners that indicated performing below plan was 25%. This compared to our 4Q survey at 54%, 38% and 8% above, at and below plan respectively (Chart 26).

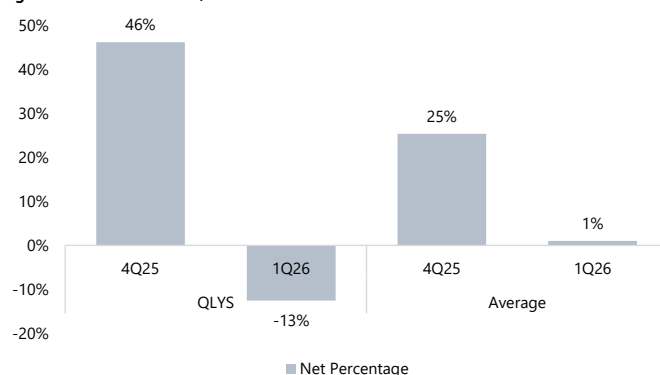
The net percentage, which we calculate as the total percentage above plan minus the total percentage below plan, see Chart 27, was negative 13% this quarter, which is below the average across all 16 vendors of positive 1% (but significantly down vs QLYS' positive 46% in 4Q). Alternatively, if we dissect the responses relative to plan and assume the average rate for each bucket (above, below and at plan), we derive an average 0.4% below plan which is below the average of 0.4% above plan seen by all 16 vendors in this survey. The 0.4% below plan in 1Q represents a large qoq decline vs the 2.1% above plan for QLYS in our 4Q survey (Chart 28). This 250 bps decline sequentially is also worse than the 180 bps decline seen in 1Q25. Again, remember this does not weigh by VAR size but is a framework for which to gauge momentum in the business. **Net Mildly Negative.**

Chart 26 - QLYS 1Q business sentiment more negative vs 4Q



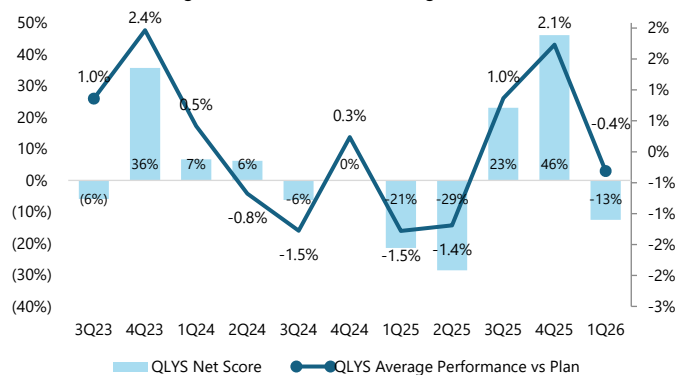
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=16), Jan '26 (N=13))

Chart 27 - 1Q Survey - QLYS' Net Percentage: Above Plan - Below Plan = Down 13%; Big Decline vs 46% in 4Q



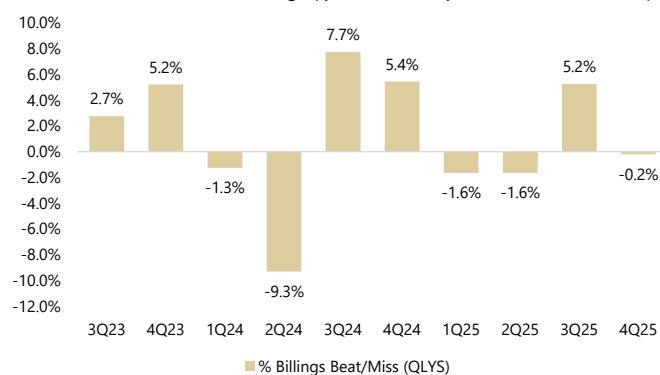
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=16), Jan '26 (N=13))

Chart 28 - QLYS Average Performance vs Plan - Large Decline in 1Q



Source: Jefferies Proprietary Security VAR Survey (Oct '23, Jan '24, Apr '24, Jul '24, Oct '24, Jan '25, Apr '25, Jul '25, Oct '25, Jan '26, Apr '26)

Chart 29 - % Beat/Miss QLYS Billings (quarters correspond to chart on the left)



Source: Jefferies, FactSet

Radware (RDWR: Hold, \$30 PT) - Cons estimates 10.9% yoy ARR growth in 1Q (vs 10.6% in 4Q on a 1.4 pt harder comp). Consensus 1Q26 revenue implies approximately \$4M of incremental ARR which appears attainable (vs \$3M in 1Q25), especially given the momentum RDWR exhibited in 4Q. Consensus FY26 revenue also remains reasonable, currently implying 9% yoy growth vs 10.6% yoy total ARR growth in FY25, which should be feasible especially as Cloud ARR scales with management targeting 25%+ growth. We continue to monitor RDWR's GTM success and S&M investments, which are evidence that it is prioritizing growth over margins in FY26. While RDWR has been a relative outperformer ytd and our survey work moderated, we believe the set-up is achievable (valuation also defensible at 2.2x EV/2026E revenue).

- **1Q Revenue Guide.** Guidance is for revenue of \$78.5M at the midpoint in 1Q, implying 8.9% yoy growth vs 9.9% in 4Q. This looks beatable as it's also on a 160bps easier comp.
- **Cons 1Q Total ARR Expectations Appear Reasonable.** Consensus total ARR of \$255M or 11% yoy growth implies approximately \$4M of incremental ARR in 1Q relative to the \$3M seen in 1Q25. While 1Q tends to be seasonally weaker, we see this as feasible given RDWR exhibited strong momentum in 4Q, with \$11M in incremental ARR.
- **Thinking Through FY26.** Consensus revenue of \$328M implies 9% yoy growth in FY26 vs 10% yoy growth in FY25. 4Q25 Cloud ARR came in impressively at \$95.2M, growing 23% yoy (down from 24% in 4Q25 on a 4 pt tougher comp). Cloud ARR now constitutes 38% of total ARR while management's LT model is targeting 25% yoy growth. As this inevitably becomes a larger part of the business, it increases the chances of potential ARR/revenue acceleration in 2026 and beyond. Cons FY26 total ARR of \$281M implies \$30M of incremental ARR in FY26 vs the \$24M estimated in FY25 which does speak to elevated expectations. Note that RDWR is continuously increasing headcount for sales significantly which we believe also makes FY26 estimates more attainable.
- **2026 Investor Day Recap.** Management believes that 2026/2027 will be the peak years of AI decision-making and consumption, reinforcing the timing of the API solution release and Pynt acquisition. As such, RDWR is focused on leveraging direct touch, OEM partnerships, and MSSP alliances to improve its GTM motion. This is driving strong cloud ARR growth as well as lower churn. RDWR is doubling down on North America (already seeing significant traction), citing new US-based resources, increased S&M investment, and emphasis on its hunter/farmer sales model. Additionally, management outlined its goal to reach \$500M in ARR by 2030, which would require a 15% CAGR from 4Q25 ARR. While this guide is very positive, note that it implies a 25% CAGR in NNARR growth over the next 5 years which seems ambitious. See full note [here](#).
- **Free Cash Flow Forecast.** We model 30% FCF margins in 1Q26 and 13% for FY26, implying margins stay roughly in line yoy (1Q25: 30%; FY25: 14%). While it would be good to see some margin expansion, we are also cognizant of RDWR's current growth first focus.
- **Valuation.** Our PT is \$30, or 2.7x EV/2026 revenue, which we believe is fair given the growth profile and lack of scale.
- **Jefferies vs. Street.** For 1Q, we expect total revenue of \$78.6M (roughly in line with consensus), non-GAAP operating margin of 12.7% (slightly higher than consensus at 12.4%), and non-GAAP EPS of \$0.28 (slightly higher than consensus at \$0.27).

Jef Survey - Radware: For our 1Q survey, 0% of respondents indicated that their Radware related business was performing above plan over the past three months (Jan through Mar) while 60% said they were at plan. Meanwhile, the percentage of surveyed partners that indicated performing below plan was 40%. This compared to our 4Q survey at 40%, 20% and 40% above, at and below plan respectively (Chart 31).

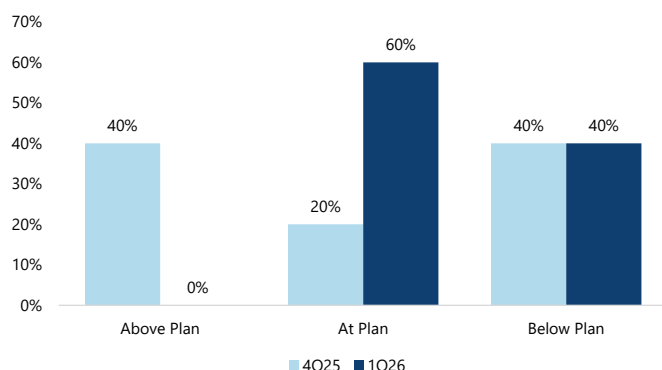
Chart 30 - RDWR Preview

Radware (RDWR) <i>in millions except for per share items, unless otherwise noted</i>			
Q1'26	Jefferies	Consensus	Guidance
ARR		255.0	
yoy % growth		11%	
Total Revenue	78.6	78.7	78.0-79.0
yoy % growth	9%	9%	
Non-GAAP Operating Income	9.9	9.8	
Non-GAAP Operating Margin	12.7%	12.4%	
Non-GAAP EPS	0.28	0.27	0.28-0.29
Free Cash Flow	23.4	23.4	
Margin	30%	30%	
Q2'26	Jefferies	Consensus	Guidance
Total Revenue	80.5	80.7	
yoy % growth	9%	9%	
Non-GAAP Operating Income	9.2	9.4	
Non-GAAP Operating Margin	11.5%	11.7%	
Non-GAAP EPS	0.27	0.27	
Free Cash Flow	11.1		
Margin	14%		
FY26E	Jefferies	Consensus	Guidance
ARR		281.0	
yoy % growth		12%	
Total Revenue	327.5	328.0	326-329
yoy % growth	8%	9%	
Non-GAAP Operating Income	39.2	39.2	
Non-GAAP Operating Margin	12.0%	11.9%	12.0%
Non-GAAP EPS	1.13	1.11	
Free Cash Flow	43.9	43.9	
Margin	13%	13%	
FY27E	Jefferies	Consensus	Guidance
Total Revenue	353.7	352.5	
yoy % growth	8.0%	7.5%	
Non-GAAP Operating Income	52.1	48.3	
Non-GAAP Operating Margin	14.7%	13.7%	
Non-GAAP EPS	1.39	1.25	
Free Cash Flow	56.4	56.4	
Margin	16%	16%	

Source: Jefferies, Factset, Company data

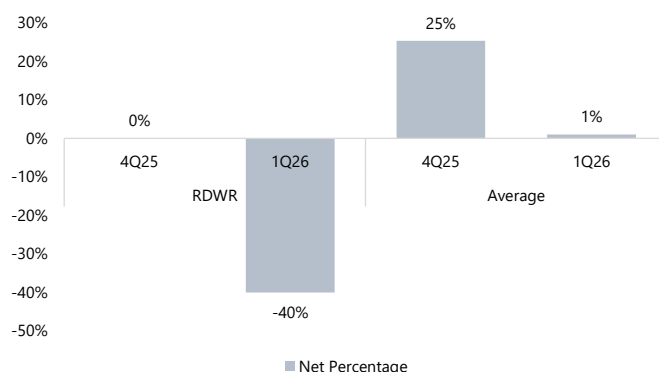
The net percentage, which we calculate as the total percentage above plan minus the total percentage below plan, see Chart 32, was negative 40% this quarter, which is below the average across all 16 vendors of positive 1%. Alternatively, if we dissect the responses relative to plan and assume the average rate for each bucket (above, below and at plan), we derive an average 2.1% below plan which is below the average of 0.4% above plan seen by all 16 vendors in this survey. The 2.1% below plan in our 1Q survey represents a decrease vs the flat performance to plan in our 4Q survey (Performance to plan is in-line with 1Q25; see Chart 33). Again, remember this does not weigh by VAR size but is a framework for which to gauge momentum in the business. **Net Negative**

Chart 31 - RDWR 1Q business sentiment more negative vs 4Q



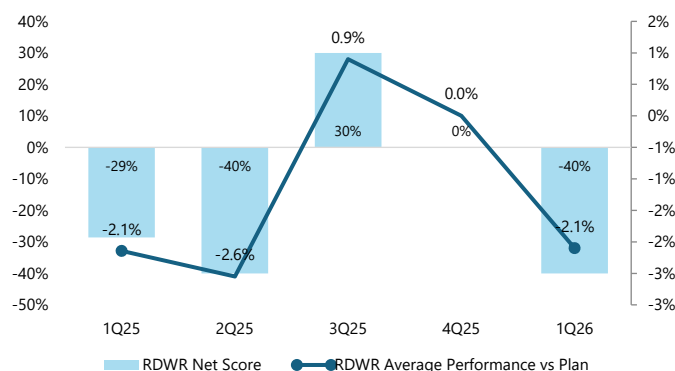
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=10), Jan '26 (N=10))

Chart 32 - 1Q Survey - RDWRs Net Percentage: Above Plan - Below Plan = Down 40%; Worse Than 4Qs Flat



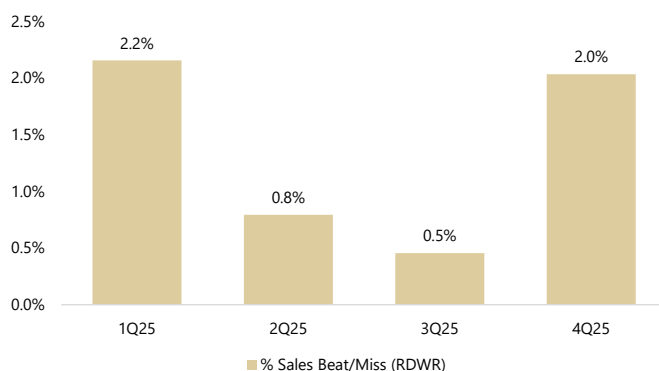
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=10), Jan '26 (N=10))

Chart 33 - RDWR's Average Performance Downticks QoQ in 1Q



Source: Jefferies Proprietary Security VAR Survey (Apr '25, Jul '25, Oct '25, Jan '26, Apr '26)

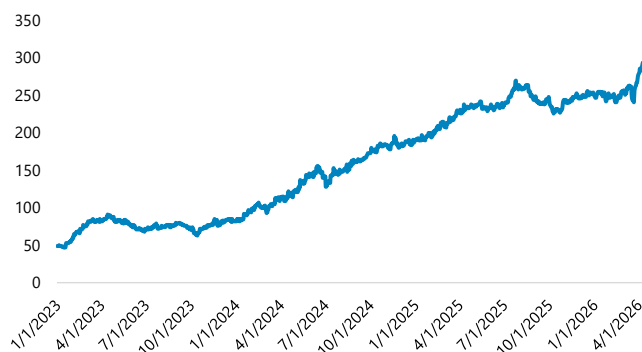
Chart 34 - % Beat/Miss RDWR Sales (quarters correspond to chart on the left)



Source: Jefferies, FactSet

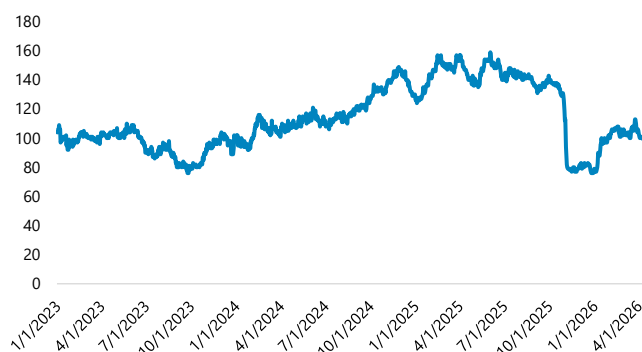
Job Listings Data

Chart 35 - AVPT job listings show major uptick in past month



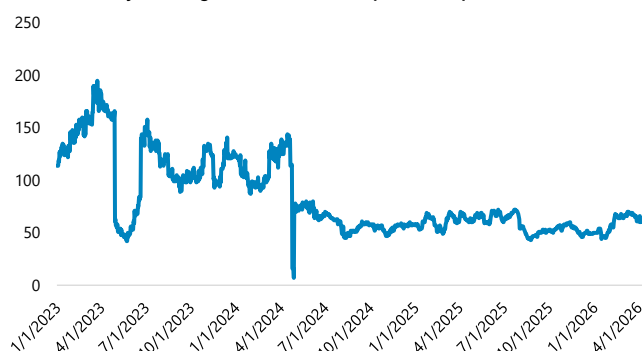
Source: Jefferies, LinkUp; Note: Chart contains job listings data through 4/14/26

Chart 37 - VRNS job listings stabilizing after rapid deceleration in October



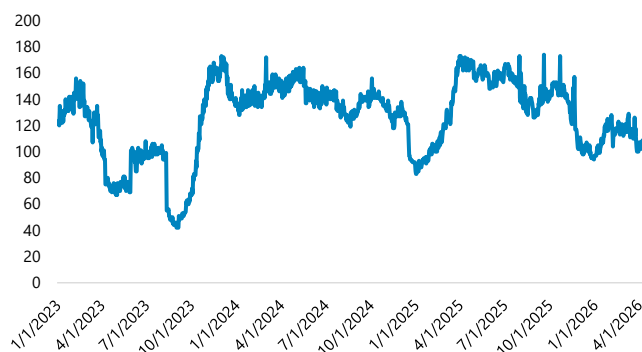
Source: Jefferies, LinkUp; Note: Chart contains job listings data through 4/14/26

Chart 39 - TENB job listings showed modest uptick this quarter



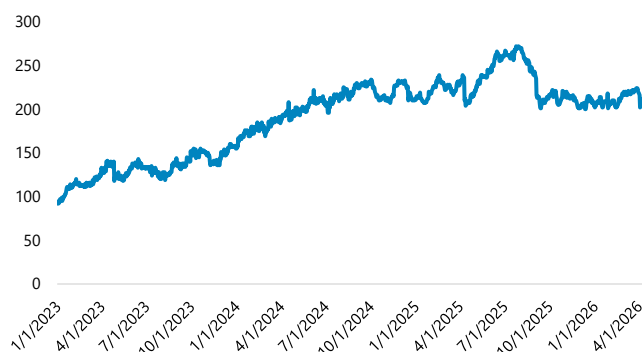
Source: Jefferies, LinkUp; Note: Chart contains job listings data through 4/14/26

Chart 36 - RPD job listings show relative stabilization to start the year



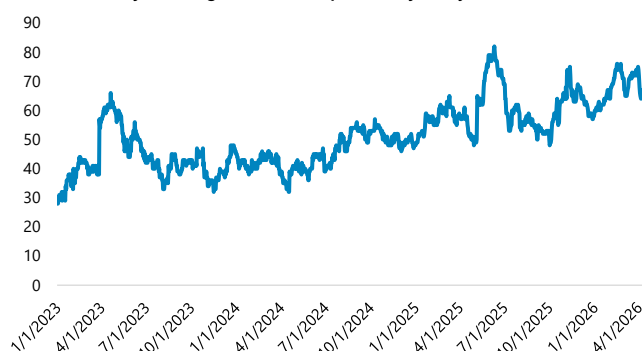
Source: Jefferies, LinkUp; Note: Chart contains job listings data through 4/14/26

Chart 38 - QLYS job listings steady since October



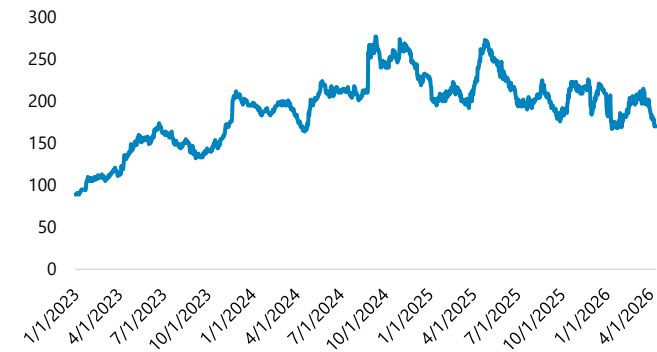
Source: Jefferies, LinkUp; Note: Chart contains job listings data through 4/14/26

Chart 40 - RDWR job listings remain on upward trajectory



Source: Jefferies, LinkUp; Note: Chart contains job listings data through 4/14/26

Chart 41 - GEN job listings choppy to begin 2026



Source: Jefferies, LinkUp; Note: Chart contains job listings data through 4/14/26

Chart 42 - VRNS Non-GAAP Income Statement

Varonis Systems (VRNS)													
Income Statement - Non-GAAP													
(\$ in millions except per share data)													
Fiscal year ending Dec 31													
Non-GAAP Income Statement													
	FY25A Year	FY25A Year	FY25A Year	Mar-25A	Jun-25A	Sep-25A	Dec-25A	Year	Mar-26E	Jun-26E	Sep-26E	Dec-26E	YearE
ARR Reported	465.1	543.9	641.9	664.3	693.3	718.6	748.4	748.4	734.9	764.1	777.6	822.6	822.6
yly change		16.7%	18.2%	18.6%	18.7%	17.8%	16.1%	16.1%	10.6%	10.2%	8.2%	10.3%	10.3%
yly adds		77.90	98.90				103.50					77.08	
Sequential change in ARR	78.00	77.90	98.90	22.40	28.80	25.40	36.80	103.50	(10.40)	29.17	13.54	44.81	77.08
yly change		-0.1%	27.0%	29.2%	20.9%	-7.6%	-16.0%	4.7%	-146.7%	29.17	-46.7%	67.2%	-29.6%
Jefferies SaaS ARR (including Conversions)	122.2	340.2	405.2	405.2	478.2	546.1	638.8	638.8	664.7	712.6	767.7	822.6	822.6
yly change		178.5%	145.1%	145.1%	124.6%	108.2%	87.7%	87.7%	64.1%	49.0%	38.6%	26.6%	29.8%
Total Revenue	473.63	499.16	560.950	158.42	182.16	161.58	173.37	623.63	164.83	177.16	186.64	197.83	726.16
yly change		46.6%	45.7%	-13.0%	11.5%	6.2%	7.3%		-4.9%	7.5%	5.4%	5.6%	
Cost of Revenue, non-GAAP	21.4%	5.4%	10.4%	19.6%	16.7%	9.1%	9.4%	13.2%	20.8%	16.4%	15.5%	13.9%	16.5%
Gross Margin	57.00	62.60	86.76	27.00	29.59	33.31	34.69	124.58	33.79	35.88	37.33	39.51	148.50
% Gross Margin	89.0%	87.5%	84.3%	80.2%	80.6%	80.6%	80.0%	80.0%	79.8%	79.8%	80.0%	79.8%	80.0%
Non-GAAP Gross Profit	416.64	436.56	464.194	109.43	122.58	128.268	138.684	498.95	131.04	141.29	149.31	158.82	579.66
% Gross Margin	88.0%	87.3%	84.3%	80.2%	80.6%	79.4%	80.0%	80.0%	79.5%	79.8%	80.0%	80.0%	79.8%
Operating Expenses:													
Sales and Marketing, non-GAAP	220.64	227.87	243.50	60.37	65.88	65.30	67.99	259.52	74.17	72.64	73.72	76.05	296.58
% of revenue	46.6%	45.7%	44.2%	44.2%	42.3%	40.4%	39.2%	41.6%	45.0%	41.0%	39.5%	38.5%	40.8%
Research and Development, non-GAAP	124.50	133.43	154.98	42.04	44.91	48.54	51.86	187.36	51.10	52.28	54.59	57.28	215.24
% of revenue	26.3%	26.7%	28.1%	30.8%	29.5%	30.0%	29.9%	30.3%	31.0%	29.5%	29.3%	29.0%	29.6%
General and Administration, non-GAAP	41.97	46.51	49.81	13.47	13.70	14.27	14.20	55.72	16.32	16.83	16.80	15.80	65.75
% of revenue	8.9%	9.3%	9.0%	8.9%	9.0%	8.8%	8.2%	8.9%	9.9%	9.5%	9.0%	8.0%	9.1%
Total Operating Expenses, non-GAAP	387.10	407.82	448.29	115.88	124.48	128.11	134.13	502.60	141.59	141.73	145.11	149.13	572.58
Non-GAAP Operating Income	29.53	29.74	15.91	(6.46)	(1.902)	(6.161)	(4.56)	(3.65)	(10.55)	(4.40)	(4.20)	(8.89)	2.10
% Operating Margin	6.2%	5.8%	2.8%	(4.7%)	(1.2%)	(0.1%)	(2.6%)	(0.6%)	(6.4%)	(0.3%)	(2.3%)	(4.5%)	0.3%
Total Other Income (Expense)	6.75	30.90	37.62	11.09	9.97	10.07	9.57	40.71	8.00	7.00	7.00	7.00	28.00
Pretax Income	36.29	59.65	53.53	4.64	8.07	10.23	14.13	37.06	(2.55)	6.56	11.20	15.89	31.10
Income Taxes	13.70	14.00	12.76	3.97	4.24	1.81	2.88	13.00	5.90	5.00	5.00	5.00	20.00
Effective Tax Rate	37.8%	23.3%	23.8%	85.6%	52.5%	17.7%	21.1%	35.1%	(796.1%)	76.3%	44.6%	31.5%	64.3%
Non-GAAP Net Income	22.6	45.6	40.8	0.67	3.829	8.4	11.1	24.06	(7.55)	1.56	6.20	10.89	11.10
Net margin	4.8%	9.1%	7.4%	0.5%	2.5%	5.2%	6.4%	3.9%	(4.6%)	0.9%	3.3%	5.5%	1.5%
Non-GAAP EPS	\$0.16	\$0.36	\$0.31	\$0.00	\$0.03	\$0.06	\$0.08	\$0.18	(\$0.06)	\$0.01	\$0.05	\$0.08	\$0.08
Shares outstanding (basic)	109.27	109.14	111.06	112.65	112.05	114.97	117.85	114.38	119.00	118.30	118.60	120.10	118.75
Shares outstanding (fully diluted)	126.40	126.58	131.08	136.74	135.16	134.11	133.30	134.83	133.44	133.74	134.80	135.54	134.19

Source: Jefferies, Company data

Chart 43 - VRNS Balance Sheet

Varonis Systems (VRNS)																	
Balance Sheet																	
(\$ in thousands, except per share data)																	
	FY18A	FY19A	FY20A	FY21A	FY22A	FY23A	FY24A	FY25A				FY26E					
	Year	Year	Year	Year	Year	Year	Year	Mar-25	Jun-25	Sep-25	Dec-25	YearE	Mar-26	Jun-26	Sep-26	Dec-26	YearE
Current Assets	48.71	68.93	234.99	805.78	604.14	483.92	528.97	587.63	770.88	671.29	883.71	883.71	927.28	928.11	922.42	900.68	900.68
Cash and equivalents	110.21	51.53	64.17	1.85	128.35	48.80	38.45	41.50	36.59	36.63	37.26	37.26	37.26	37.26	37.26	37.26	37.26
Short-term cash investments	83.22	75.05	94.23	117.18	135.98	169.12	162.83	123.58	149.70	142.83	242.82	242.82	155.67	107.32	155.53	300.68	300.68
Restricted cash	18.86	15.06	27.38	34.42	37.19	45.32	118.92	69.28	112.12	110.84	134.77	134.77	255.49	262.20	261.40	288.41	288.41
Accounts receivable, net	238.99	268.58	470.89	899.21	595.86	767.18	678.87	618.09	1,068.36	961.38	1,258.56	1,258.56	1,378.68	1,394.18	1,376.52	1,476.52	1,476.52
Prepaid expenses and other	17.32	18.36	37.16	38.30	39.04	33.96	36.80	31.08	33.09	34.74	36.80	37.15	36.01	36.20	36.80	37.15	37.15
Property and equipment, net	9.49	9.49	141.03	99.03	117.73	86.74	86.74	102.02	99.26	223.23	289.83	289.83	146.11	147.34	143.51	189.57	118.52
Other long-term assets	244.96	510.31	859.48	1,509.92	1,409.73	1,102.91	1,404.28	1,277.69	1,670.61	1,465.08	1,793.81	1,793.81	1,729.09	1,746.94	1,744.01	1,907.88	1,907.88
Current Liabilities	2.62	1.00	0.85	5.32	2.96	6.87	4.31	6.27	7.12	5.26	5.74	5.74	4.26	4.40	3.92	4.48	4.74
Accounts payable	55.99	62.61	83.20	102.23	115.23	125.98	164.93	156.78	190.34	193.07	225.41	225.41	253.74	257.03	256.94	275.64	275.64
Accrued expenses and other ST liabilities	87.73	95.98	98.59	104.22	110.55	181.05	205.11	206.14	227.79	333.58	427.81	427.81	445.05	460.82	462.82	447.94	562.95
Deferred revenue, short-term	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Convertible senior notes	146.34	199.58	182.64	211.77	238.74	356.78	799.39	718.11	771.45	831.91	896.99	896.99	846.31	844.65	843.63	843.63	843.63
Total Current Liabilities	6.49	5.45	2.78	2.57	1.60	0.89	2.21	0.13	0.11	0.93	14.41	14.41	1.66	1.66	1.66	1.66	1.66
Deferred revenue, long-term	-	-	-	-	-	-	-	450.75	451.25	451.75	452.26	452.26	452.26	452.26	452.26	452.26	452.26
Convertible Note	6.79	6.79	67.24	77.25	82.40	67.32	67.32	67.32	67.32	67.32	67.32	67.32	67.32	67.32	67.32	67.32	67.32
Other long-term liabilities	169.81	224.07	461.41	813.84	641.61	616.86	1,404.28	1,299.38	1,571.81	1,465.07	1,793.81	1,793.81	1,166.15	1,281.83	1,199.94	1,461.67	1,361.67
Total Liabilities	183.11	236.31	653.42	1,100.76	1,092.79	1,425.56	2,274.78	1,864.63	2,280.35	2,023.01	2,367.33	2,367.33	1,329.40	1,439.68	1,432.88	1,925.87	1,653.87
Common stock	0.03	0.03	0.47	6.19	(8.45)	(8.54)	2.79	(1.05)	0.11	18.50	0.12	0.12	0.12	0.12	0.12	0.12	0.12
Additional paid-in capital	286.04	310.68	390.41	1,018.01	1,065.05	1,142.58	1,193.02	1,144.73	1,138.85	1,428.04	1,444.89	1,444.89	1,460.78	1,460.78	1,460.78	1,460.78	1,460.78
Retained earnings (accumulated deficit)	(137.87)	(216.73)	(313.74)	(427.80)	(543.47)	(844.39)	(246.16)	(775.84)	(797.27)	(841.70)	(883.48)	(883.48)	(911.16)	(942.03)	(979.14)	(1,010.84)	(1,010.84)
Accumulated other comprehensive income (loss)	(3.93)	(0.45)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other stockholders' equity items	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Stockholders' Equity	125.37	93.53	94.13	988.99	902.13	499.85	495.86	387.74	341.85	404.83	398.99	398.99	572.88	596.21	549.99	548.31	548.31
Total Liabilities & Stockholders' Equity	244.96	510.31	859.48	1,509.92	1,409.73	1,102.91	1,404.28	1,277.69	1,670.61	1,465.08	1,793.81	1,793.81	1,729.09	1,746.94	1,744.01	1,907.88	1,907.88

Source: Jefferies, Company data

Chart 44 - VRNS Statement of Cash Flows

Varonis Systems (VRNS)																					
Cash Flow Statement (\$ in thousands, except per share data) FY ends in December																					
	FY18A	FY19A	FY20A	FY21A	FY22A	FY23A	FY25A				FY26E				FY27E						
	YearA	YearA	YearA	YearA	YearE	YearE	Mar-25E	Jun-25A	Sep-25A	Dec-25A	YearA	Mar-26E	Jun-26E	Sep-26E	Dec-26E	YearE	Mar-27E	Jun-27E	Sep-27E	Dec-27E	YearE
Cash flows from operating activities:																					
Net income	(28.58)	(78.76)	(94.01)	(116.86)	(124.52)	(100.92)	(35.78)	(35.82)	(29.94)	(27.78)	(129.32)	(41.68)	(34.87)	(33.11)	(31.70)	(141.36)	(35.27)	(32.11)	(33.39)	(34.79)	(135.56)
Depreciation	4.16	6.32	10.17	10.89	12.18	11.70	2.42	2.87	2.98	4.30	12.31	3.15	3.15	3.17	3.20	12.68	3.25	3.30	3.36	3.43	13.35
Stock-based compensation	34.36	46.14	68.59	109.78	142.86	139.82	32.29	33.86	31.55	32.58	130.34	34.13	36.43	39.31	42.99	152.45	43.36	43.13	45.95	48.70	181.14
Other non-cash adjustments to net income	(0.03)	-	-	-	-	-	11.55	13.79	13.82	12.96	51.91	11.35	13.79	23.82	22.96	71.92	11.35	13.79	33.82	32.96	91.92
Amortization of deferred commissions	13.19	13.83	13.11	14.15	21.89	12.18	3.46	3.68	3.96	3.93	15.05	-	-	-	-	-	-	-	-	-	-
Capital loss from disposal of fixed assets	-	9.07	12.83	15.10	10.79	10.98	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Revaluation of fair value of warrants to convertible preferred stock	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Changes in assets and liabilities:																					
Accounts receivable	(7.63)	8.17	(19.08)	(22.95)	(18.80)	(33.14)	65.13	(26.13)	7.53	(99.09)	(92.55)	87.15	(11.64)	11.79	(145.14)	(57.86)	86.41	16.18	40.51	(163.63)	(20.53)
Prepaid expenses and other assets	(1.93)	(1.23)	(0.54)	(0.51)	(6.16)	(21.46)	11.08	(9.45)	2.78	3.05	7.26	8.99	(8.33)	(1.09)	0.09	(9.34)	19.24	(12.82)	(22.68)	3.39	(12.89)
Deferred Commissions	(15.31)	(19.13)	(19.13)	(21.15)	(22.03)	(21.96)	(13.80)	(21.99)	(22.14)	(33.14)	(80.87)	(14.50)	(16.99)	(27.14)	(31.14)	(89.87)	(15.60)	(11.99)	(32.14)	(29.14)	(88.87)
Accounts payable	1.95	(1.62)	(0.33)	4.47	(2.36)	(2.29)	1.96	0.84	(2.05)	0.47	1.23	(2.27)	0.26	0.20	0.23	(1.59)	0.11	0.14	0.18	0.16	0.89
Accrued compensation and other expenses	9.91	(0.89)	16.06	5.85	(9.12)	(5.28)	(16.73)	32.68	7.47	29.41	52.83	(27.61)	32.51	6.73	39.50	51.12	(22.79)	18.92	10.97	43.94	50.94
Deferred revenue	14.12	7.22	(5.17)	5.42	68.69	68.69	5.99	26.06	16.05	97.87	148.07	4.48	10.69	(12.58)	115.12	122.71	(14.91)	(2.68)	(25.69)	125.10	81.09
Other liabilities	(1.20)	6.40	6.97	2.99	1.97	(6.10)	0.47	(0.36)	1.29	(0.23)	1.27	(1.40)	(12.78)	3.75	1.26	(4.13)	6.91	16.12	1.82	1.72	9.05
Net cash provided (used) by operating activities	33.55	(19.85)	(5.84)	7.18	11.81	88.4	68.0	21.3	33.4	24.7	147.4	61.7	17.2	14.9	22.0	115.8	61.1	29.8	28.7	36.8	170.2
Cash flows from investing activities:																					
Capital expenditures	(9.56)	(25.36)	(10.12)	(10.49)	(11.43)	(5.10)	(2.34)	(3.36)	(4.45)	(1.43)	(12.63)	(3.13)	(3.37)	(3.55)	(3.75)	(13.80)	(3.86)	(3.96)	(4.15)	(4.20)	(16.25)
Net change in marketable securities and restricted cash	(30.61)	68.70	(44.63)	(4.87)	(85.01)	379.97	(3.77)	75.48	253.27	45.89	364.96	-	-	-	-	-	-	-	-	-	-
Net cash provided (used) by investing activities	(40.16)	53.33	(54.75)	54.4	(73.4)	(145.1)	(26.0)	76.0	(81.7)	35.5	(9.8)	(3.1)	(3.4)	(3.8)	(3.8)	(13.8)	(3.9)	(4.0)	(4.1)	(4.3)	(16.2)
Cash flows from financing activities:																					
Proceeds from issuance of stock/options	8.11	(2.40)	-	9.79	510.11	(19.14)	-	-	-	-	(115.00)	-	-	-	-	(45.00)	-	-	-	-	-
Payments for repurchase of stock	-	-	-	-	-	-	-	-	-	-	-	(15.00)	(15.00)	(15.00)	-	-	-	-	-	-	-
Proceeds (payments) from issuance of debt	-	-	245.31	-	-	-	-	-	-	-	(0.14)	-	-	-	-	-	-	-	-	-	-
Principal payments under capital lease obligations	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Tax benefit from exercise of stock options	-	-	-	-	-	-	(21.30)	(8.44)	(5.63)	(0.73)	(29.16)	-	-	-	-	-	-	-	-	-	-
Purchase of Shares	-	-	-	-	(56.44)	(43.52)	(61.20)	(36.15)	(29.85)	(14.75)	(44.6)	-	-	-	-	-	-	-	-	-	-
Other financing activities	-	-	(29.30)	-	-	-	(61.20)	(36.15)	(29.85)	(14.75)	(44.6)	-	-	-	-	-	-	-	-	-	-
Net cash provided (used) by financing activities	8.11	(2.40)	(29.30)	516.11	(75.8)	(63.4)	(62.26)	(45.2)	(8.8)	(1.3)	(129.7)	(15.6)	(15.6)	(15.6)	0.0	(45.0)	0.0	0.0	0.0	0.0	0.0

Source: Jefferies, Company data

Chart 45 - VRNS DCF Base Case

Varonis Systems (VRNS)
Discounted Cash Flow Analysis
\$ in millions, except per share data

	Year 1	Transition	Terminal
Current risk-free rate of return	3.5%		3.5%
Historical risk-free rate of return	5.3%	5.3%	5.3%
Beta	1.18		1.00
Market rate of return	11.8%	11.8%	11.8%
Cost of equity	11.2%		10.0%
Growth rate	As modeled		5.0%

Last reported results as of:	12/31/2025
Current price/share	\$ 24.53
Cash and Cash Equivalents	1,108.2
Total Debt	0.0
Net Cash and Cash Equivalents	1,108.2
LTM Revenues	623.5
Shares Outstanding (m)	133.3
Net Cash/Share - 10% of Revenue	\$ 7.85

Scenario 2: Varonis continues to grow and is a leader in the emerging space but has yet to establish itself as the industry standard

	HISTORICALS											FORECAST PERIOD				TRANSITIONARY PERIOD						TERMINAL
	2015A	2016A	2017A	2018A	2019A	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	Perpetuity
Period					0	0	0	0	0	0	0	1	2	3	4	5	6	7	8	9	10	
Current risk-free rate of return	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%
Historical risk-free rate of return	5.3%	5.3%	5.3%	5.3%	5.3%	5.3%	5.3%	5.3%	5.3%	5.3%	5.3%	5.3%	5.3%	5.3%	5.3%	5.3%	5.3%	5.3%	5.3%	5.3%	5.3%	5.3%
Beta	1.18	1.18	1.18	1.18	1.18	1.18	1.18	1.18	1.18	1.18	1.18	1.18	1.18	1.18	1.15	1.13	1.10	1.08	1.05	1.03	1.00	1.00
Market return of equity	11.8%	11.8%	11.8%	11.8%	11.8%	11.8%	11.8%	11.8%	11.8%	11.8%	11.8%	11.8%	11.8%	11.8%	11.8%	11.8%	11.8%	11.8%	11.8%	11.8%	11.8%	11.8%
Cost of equity	11.2%	11.2%	11.2%	11.2%	11.2%	11.2%	11.2%	11.2%	11.2%	11.2%	11.2%	11.2%	11.2%	11.2%	11.0%	10.8%	10.7%	10.5%	10.3%	10.2%	10.0%	10.0%
FCF growth rate	-23%	NM	213%	27%	-358%	-56%	-79%	-114%	11335%	100%	22%	-23%	51%	20%	18%	16%	14%	11%	9%	7%	5%	
Discount Factor				1.000	1.000	1.000	1.000	1.000	1.000	1.000	1.000	0.900	0.809	0.728	0.659	0.598	0.544	0.497	0.455	0.418		
Free cash flow to Enterprise (\$mm)	(7.3)	3.5	11.0	14.0	(36.1)	(16.0)	(3.3)	0.5	54.3	108.5	131.9	102.0	153.9	184.7	217.6	251.8	286.0	318.6	348.1	372.9	391.4	7,781.4
Diluted Shares Outstanding							118.6	126.0	126.1	135.1	133.3	135.5	139.5	140.9	142.1	143.2	144.0	144.6	145.0	145.2		
Share Growth %								6%	0%	7%	-1%	2%	3%	1%	1%	1%	1%	0%	0%	0%	0%	
Free cash flow to Enterprise per share							(0.03)	0.00	0.43	0.80	0.99	0.75	1.10	1.31	1.53	1.76	1.99	2.20	2.40	2.57		53.58
NPV of free cash flow (\$mm)											1.0	0.7	0.9	1.0	1.0	1.1	1.1	1.1	1.1	1.1	1.1	22.4
Cumulative NPV of FCF (\$mm)											1.0	1.7	2.6	3.5	4.5	5.6	6.7	7.7	8.8	9.9		32.3
Cumulative NPV of FCF (\$mm)																						32.3
Net cash/share - 10% of revenue																						\$ 7.85
Total NPV per share																						\$ 40.18

Source: Jefferies, Company data

Chart 46 - AVPT Non-GAAP Income Statement

AVEPOINT, INC.
Income Statement, Non-GAAP
\$ in millions, except per share data

	FY20A		FY21A		FY22A		FY23A		FY24A		FY25A					FY26E					FY27E				
	YearA	YearA	YearA	YearA	YearA	YearA	YearA	YearA	YearA	YearA	Mar-25A	Jun-25A	Sep-25A	Dec-25A	YearA	Mar-26E	Jun-26E	Sep-26E	Dec-26E	YearE	Mar-27E	Jun-27E	Sep-27E	Dec-27E	YearE
Total ARR	122.0	167.2	214.7	264.5	327.0						345.5	367.6	390.0	416.8	416.8	435.3	462.2	492.9	528.2	528.2	548.2	578.6	611.3	647.5	647.5
<i>yo change</i>	33%	37%	28%	23%	24%						28%	27%	28%	27%	27%	28%	28%	28%	27%	27%	28%	25%	24%	23%	23%
<i>qo change</i>											6%	6%	6%	7%		4%	6%	7%	7%		4%	6%	6%	6%	
Revenue																									
SaaS	52.1	85.6	117.2	161.0	230.7	68.9	77.3	84.0	88.9	319.2	93.8	99.2	106.8	115.1	414.9	120.0	125.6	133.4	141.7	620.7					
<i>yo change</i>	-	64%	37%	37%	43%	34%	44%	38%	37%	38%	36%	28%	27%	29%	30%	28%	27%	25%	23%	25%	28%	27%	25%	23%	25%
<i>qo change</i>						6%	12%	9%	6%	0%	5%	6%	8%	8%	0%	5%	6%	8%	8%	0%	4%	5%	6%	6%	0%
% of total revenue	34%	45%	50%	59%	70%	74%	70%	77%	78%	78%	81%	81%	80%	81%	81%	81%	81%	81%	81%	81%	84%	84%	83%	82%	83%
Term License	38.9	51.0	57.2	52.7	44.6	11.2	8.9	11.1	10.1	41.4	8.6	8.2	10.0	9.3	36.2	9.0	6.9	8.7	10.0	34.6					
<i>yo change</i>	-	31%	12%	-8%	-16%	12%	-19%	-21%	7%	-7%	-23%	-8%	-10%	-8%	-13%	4%	-15%	-13%	7%	-4%					
<i>qo change</i>						19%	-20%	25%	-9%		-15%	-5%	23%	-7%		-3%	-23%	25%	15%						
% of total revenue	26%	27%	25%	19%	13%	12%	9%	10%	9%	10%	7%	7%	8%	7%	7%	6%	5%	5%	6%	6%					
Services	31.2	29.5	40.5	44.8	44.0	10.9	14.5	13.8	14.7	53.8	12.9	14.9	16.1	17.5	61.3	13.6	17.3	18.8	20.4	70.1					
<i>yo change</i>	-	-6%	37%	11%	-2%	4%	38%	27%	20%	22%	18%	3%	17%	19%	14%	6%	16%	17%	17%	14%					
<i>qo change</i>						-11%	32%	-5%	6%		-12%	16%	8%	9%		-22%	28%	9%	8%						
% of total revenue	21%	15%	17%	16%	13%	12%	14%	13%	13%	13%	11%	12%	12%	12%	12%	10%	12%	12%	12%	11%					
Maintenance	26.4	23.4	16.7	13.3	11.2	2.0	1.3	0.8	1.9	5.1	0.6	0.4	0.3	0.3	0.5	0.2	0.1	0.1	0.1	0.5					
<i>yo change</i>	-	-11%	-29%	-20%	-16%	-27%	-54%	-72%	-63%	-54%	-70%	-70%	-70%	-70%	-70%	-70%	-70%	-70%	-70%	-70%					
<i>qo change</i>						-25%	-35%	-35%	17%		-39%	-35%	-35%	17%		-39%	-35%	-35%	17%						
% of total revenue	17%	12%	7%	5%	3%	2%	1%	1%	1%	1%	1%	0%	0%	0%	0%	1%	0%	0%	0%	0%					
Total Revenues	151.5	191.9	232.3	271.8	330.5	93.1	102.0	109.7	114.7	419.5	115.9	122.7	133.2	142.2	513.9	142.8	150.0	160.9	172.2	628.8					
<i>yo change</i>	-	27%	21%	17%	22%	25%	31%	24%	29%	27%	24%	20%	21%	24%	23%	23%	22%	21%	21%	22%					
<i>qo change</i>						4%	10%	8%	5%		1%	6%	8%	7%		0%	5%	7%	7%						
Total Cost of Revenue	40.1	49.5	63.0	73.3	80.3	23.2	25.7	27.4	29.6	106.9	29.0	30.7	33.3	35.5	128.5	35.7	37.5	40.2	43.0	156.5					
<i>yo change</i>	-	24%	27%	68%	38%	20%	38%	34%	35%	127%	25%	19%	22%	20%	86%	23%	22%	21%	21%	87%					
<i>qo change</i>						8%	11%	7%	8%		-2%	6%	8%	7%		0%	5%	7%	7%						
Non-GAAP Gross Profit	111.5	142.4	169.3	198.5	250.2	69.8	76.3	82.4	85.1	313.6	86.9	92.1	99.9	106.6	385.4	107.1	112.5	120.7	129.1	469.4					
Non-GAAP Gross Margin	74%	74%	73%	73.0%	76%	75.0%	74.8%	75.1%	74.2%	75%	75.0%	75.0%	75.0%	75.0%	75%	75.0%	75.0%	75.0%	75.0%	75%					
Research & Development	12.2	16.1	27.6	32.3	40.4	10.5	10.6	11.9	11.4	44.4	12.7	13.5	14.6	15.6	56.5	15.7	16.5	17.7	18.9	68.8					
<i>yo change</i>	32%	71%	71%	17%	20%	18%	8%	11%	7%	10%	21%	27%	27%	27%	23%	23%	22%	21%	21%	22%					
% of total revenue	8%	8%	12%	11.9%	12%	11.3%	10.4%	10.8%	10.0%	11%	11.0%	11.0%	11.0%	11.0%	11%	11.0%	11.0%	11.0%	11.0%	11%					
Sales & Marketing	56.9	85.0	98.9	102.1	113.4	32.1	32.8	32.8	35.8	133.4	39.4	40.5	43.0	46.9	169.8	47.1	48.0	50.7	53.4	199.2					
<i>yo change</i>	49%	16%	3%	11%	16%	16%	16%	18%	19%	18%	23%	24%	31%	31%	27%	20%	18%	18%	14%	17%					
% of total revenue	38%	44%	43%	38%	34%	34.5%	32.1%	29.9%	31.2%	32%	34.0%	33.0%	32.3%	33.0%	33%	33.0%	32.0%	31.5%	31.0%	32%					
General & Administrative	24.1	35.3	45.7	41.9	48.7	13.9	14.1	13.6	15.0	56.6	14.8	15.3	16.6	17.8	64.6	17.8	18.7	20.1	21.5	78.2					
<i>yo change</i>	47%	29%	-8%	16%	17%	12%	12%	24%	16%	7%	9%	23%	18%	14%		20%	22%	21%	21%	21%					
% of total revenue	16%	18%	20%	15.4%	15%	14.9%	13.9%	12.4%	13.1%	14%	12.8%	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%					
Non-GAAP Total Operating Expenses	93.1	136.4	172.2	176.3	202.6	56.5	57.6	58.2	62.2	234.5	67.0	69.3	74.3	80.3	290.9	80.7	83.2	86.5	93.8	346.2					
<i>yo change</i>	46%	26%	2%	15%	16%	15%	14%	15%	18%	16%	19%	20%	28%	29%	24%	20%	20%	19%	19%	19%					
Non-GAAP Net Operating Income	18.3	6.0	(2.9)	22.2	47.8	13.4	18.8	24.1	22.9	79.2	18.9	22.7	25.6	28.3	94.5	18.4	28.4	29.2	32.2	35.3	123.1				
Non-GAAP Operating Margin	12%	3%	-1%	8%	14.4%	14.4%	18.4%	22.0%	19.9%	18.9%	17.2%	18.5%	19.2%	18.5%	18.4%	18.5%	19.2%	19.2%	20.0%	20.5%	19.7%				

Source: Jefferies, Company data

Chart 47 - AVPT Balance Sheet

AVEPOINT, INC.
Balance Sheet, GAAP
\$ in millions, except per share data

in millions, except per share data

	FY23A	FY24A	FY25A					FY26E					FY27E				
	YearA	YearA	Mar-25A	Jun-25A	Sep-25A	Dec-25A	YearA	Mar-26E	Jun-26E	Sep-26E	Dec-26E	YearE	Mar-27E	Jun-27E	Sep-27E	Dec-27E	YearE
Assets																	
Current Assets:																	
Cash and cash equivalents	223.2	290.7	351.5	429.8	471.6	481.1	481.1	459.0	459.0	472.0	496.4	496.4	520.7	520.7	545.2	576.9	576.9
Short-term investments	3.7	0.2	0.3	0.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Accounts receivable	85.9	87.4	80.1	93.3	90.9	124.5	124.5	119.7	129.6	125.8	134.3	134.3	134.8	145.0	141.3	149.2	149.2
Prepaid expenses and other current assets	12.8	16.5	14.7	16.4	18.2	19.7	19.7	17.4	17.4	20.0	25.6	25.6	21.4	21.3	24.1	31.0	31.0
Total Current Assets	325.6	394.8	446.6	539.8	580.7	625.3	625.3	596.1	606.0	617.7	656.2	656.2	676.9	686.9	710.6	757.1	757.1
Long-Term Assets:																	
Property and equipment, net	5.1	5.3	6.0	6.2	6.1	6.0	6.0	5.7	5.2	4.5	3.6	3.6	2.8	1.6	0.1	(1.7)	(1.7)
Goodwill	19.2	17.7	36.8	38.8	37.9	38.0	38.0	38.0	38.0	38.0	38.0	38.0	38.0	38.0	38.0	38.0	38.0
Other intangible assets, net	10.5	8.9	11.5	11.6	12.3	12.1	12.1	12.7	13.4	14.0	14.7	14.7	15.3	16.0	16.6	17.3	17.3
Operating lease right-of-use assets	13.9	16.0	17.8	18.3	18.4	16.8	16.8	16.8	16.8	16.8	16.8	16.8	16.8	16.8	16.8	16.8	16.8
Deferred contract costs	54.7	59.8	59.9	63.3	65.3	71.3	71.3	78.8	77.8	82.6	84.5	84.5	84.8	76.8	81.1	85.4	85.4
Other assets	13.6	16.6	20.2	22.1	22.7	19.7	19.7	17.4	17.4	20.0	20.0	20.0	21.4	21.3	24.1	24.1	24.1
Total Long-Term Assets	117.0	124.3	152.2	160.3	162.8	163.9	163.9	169.4	168.6	175.9	177.5	177.5	179.1	170.5	176.8	179.9	179.9
Total Assets	442.6	519.1	598.8	700.1	743.5	789.2	789.2	765.5	774.6	793.6	833.7	833.7	856.0	857.4	887.4	937.0	937.0
Liabilities																	
Current Liabilities:																	
Accounts payable	1.4	2.4	2.3	1.8	2.5	3.8	3.8	1.0	2.7	3.0	5.9	5.9	3.2	3.3	3.6	4.8	4.8
Accrued expenses and other liabilities	53.8	76.1	56.2	68.0	83.2	84.2	84.2	74.2	78.6	85.2	91.0	91.0	91.4	96.0	103.0	110.2	110.2
Current portion of unearned revenue	121.5	144.5	149.8	158.5	159.1	185.7	185.7	176.4	185.2	199.0	219.4	219.4	208.2	218.9	235.8	259.3	259.3
Total Current Liabilities	176.7	223.0	208.2	228.2	244.9	273.7	273.7	251.5	266.5	277.6	316.4	316.4	303.0	318.2	342.3	374.3	374.3
Long-Term Liabilities:																	
Long-term operating lease liabilities	9.4	9.9	11.6	11.6	11.3	9.9	9.9	9.9	9.9	9.9	9.9	9.9	9.9	9.9	9.9	9.9	9.9
Long-term portion of unearned revenue	7.7	8.8	10.8	11.8	15.1	15.3	15.3	14.5	13.8	13.1	12.4	12.4	11.8	11.2	10.7	10.1	10.1
Share-based awards classified as liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Earn-out liabilities	18.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other non-current liabilities	5.6	6.4	8.7	5.4	5.4	11.6	11.6	11.6	11.6	11.6	11.6	11.6	11.6	11.6	11.6	11.6	11.6
Total Long-Term Liabilities	41.1	25.2	29.2	26.8	31.9	36.8	36.8	36.0	35.3	34.6	34.9	34.0	33.3	32.7	32.2	31.7	31.7
Total Liabilities	217.7	248.1	237.4	255.0	276.7	310.5	310.5	287.6	301.8	322.3	350.3	350.3	336.3	351.0	374.5	405.9	405.9
Stockholders' Equity:																	
Total mezzanine equity	6.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Common stock	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Additional paid-in capital	667.9	779.0	873.3	953.4	970.9	980.4	980.4	988.3	996.3	1004.4	1012.4	1012.4	1020.1	1027.7	1035.3	1043.0	1043.0
Treasury stock, at cost	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Accumulated other comprehensive income (loss)	3.2	0.6	1.7	7.6	6.7	8.4	8.4	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Accumulated deficit	(460.5)	(510.4)	(515.5)	(517.9)	(510.9)	(510.1)	(510.1)	(510.4)	(523.5)	(533.0)	(529.0)	(529.0)	(500.4)	(521.2)	(522.4)	(512.0)	(512.0)
Noncontrolling interest	8.2	1.8	2.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total Stockholders' Equity	218.8	270.9	361.5	443.1	466.8	478.7	478.7	478.0	472.8	471.3	483.4	483.4	519.7	506.4	512.9	531.1	531.1
Total Liabilities, Mezzanine Equity and Stockholders' Equity	442.6	519.1	598.8	700.1	743.5	789.2	789.2	765.5	774.6	793.6	833.7	833.7	856.0	857.4	887.4	937.0	937.0

Chart 48 - AVPT Statement of Cash Flows

AVEPOINT, INC.
Cash Flow Statement
\$ in millions, except per share data

	FY23A	FY24A	FY25A					FY26E					FY27E				
	YearA	YearA	Mar-25A	Jun-25A	Sep-25A	Dec-25A	YearA	Mar-26E	Jun-26E	Sep-26E	Dec-26E	YearE	Mar-27E	Jun-27E	Sep-27E	Dec-27E	YearE
Cash Flows From Operating Activities:																	
GAAP Net Income (Loss)	(21.5)	(29.1)	3.6	2.9	13.0	15.6	35.1	7.9	10.1	12.3	12.9	43.3	13.4	15.7	18.0	20.5	67.7
Reconciling Adjustments:																	
Depreciation & Amortization	4.7	5.4	1.5	1.6	1.5	1.6	6.2	1.5	1.3	1.2	1.0	5.0	1.1	0.8	0.6	0.3	2.8
Operating Lease Right-of-Use Assets Expenses	6.2	6.3	1.8	2.5	2.1	2.2	8.6	1.5	1.5	1.5	1.5	6.0	1.5	1.5	1.5	1.5	6.0
Foreign Currency Remeasurement Loss (Gain)	0.0	0.9	0.5	3.5	0.2	0.2	4.5	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Stock-Based Compensation	36.0	39.1	9.6	11.1	10.7	7.9	39.3	8.0	7.9	8.1	8.1	32.0	7.7	7.6	7.7	7.7	30.6
Deferred Income Taxes	(0.9)	0.5	(0.1)	(0.1)	(3.5)	1.4	(2.2)	1.4	1.4	1.4	1.4	5.5	1.4	1.4	1.4	1.4	5.5
Allowance for Credit Loss on Notes Receivables	0.0	0.0	0.0	0.0	4.0	0.0	4.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other	1.1	(0.1)	1.1	0.0	(1.0)	0.4	0.5	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Change in Value of Earn-out and Warrant Liabilities	11.5	37.3	(0.5)	0.1	0.0	0.0	(0.4)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Changes in Assets and Liabilities:																	
Accounts receivable	(19.4)	(4.9)	9.2	(8.9)	1.9	(33.5)	(31.3)	4.8	(9.8)	3.8	(8.5)	(9.8)	(0.5)	(10.1)	3.7	(7.9)	(14.9)
Prepaid expenses and other current assets	(2.8)	(3.4)	1.9	0.7	(3.6)	(1.7)	(2.7)	(2.3)	(0.0)	(2.5)	(5.6)	(10.6)	(4.2)	0.1	(2.8)	(6.8)	(13.8)
Deferred contract costs and other assets	(7.7)	(8.5)	(2.6)	(2.8)	(3.2)	(2.7)	(11.3)	(5.2)	1.0	(4.8)	(1.9)	(10.8)	(1.8)	8.0	(4.3)	(4.3)	(2.4)
Accounts payable, accrued expenses, op lease liabilities & other	0.6	16.0	(29.8)	5.9	7.7	10.9	(5.3)	(2.8)	1.8	0.2	3.0	2.1	(2.8)	0.2	0.2	1.2	(1.1)
Deferred revenue	26.9	29.4	4.2	3.8	4.8	27.3	40.1	(2.0)	8.1	13.6	19.3	39.0	(1.8)	9.8	16.3	23.0	47.4
Accrued rent obligation	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net Cash Provided by (Used in) Operating Activities	34.7	88.9	0.5	20.3	34.8	29.7	65.3	12.7	23.3	34.7	31.1	101.8	14.0	35.0	42.2	36.6	127.8
Cash Flows From Investing Activities:																	
Maturities of investments	2.6	5.4	0.0	0.0	0.1	0.0	0.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Purchases of investments	(3.5)	(1.8)	0.0	0.0	(0.1)	(0.0)	(0.2)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Purchase of property and equipment	(2.1)	(3.0)	(1.5)	(1.0)	(0.5)	(0.7)	(3.7)	(0.8)	(0.9)	(0.9)	(1.0)	(3.6)	(1.0)	(1.0)	(1.1)	(1.2)	(4.4)
Purchase of APXT shares	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Cash paid in business combinations & asset acquisitions	0.0	0.0	(14.9)	0.0	0.0	0.0	(14.9)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Investment in notes	(1.3)	(1.8)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other investing activities	0.0	(0.1)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Capitalization of internal use software	(1.4)	(1.2)	(0.5)	(0.4)	(0.4)	(0.5)	(1.6)	(0.5)	(0.4)	(0.4)	(0.4)	(1.7)	(0.4)	(0.4)	(0.4)	(0.4)	(1.6)
Net Cash Provided by (Used in) Investing Activities	(5.6)	(2.6)	(16.9)	(1.3)	(0.9)	(1.2)	(20.2)	(1.3)	(1.3)	(1.4)	(1.4)	(5.3)	(1.4)	(1.5)	(1.5)	(1.6)	(6.0)
Cash Flows From Financing Activities:																	
Payments of capital leases	(0.1)	(0.0)	(0.0)	(0.0)	(0.0)	0.0	(0.0)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Payment of debt issuance costs	(0.1)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Proceeds from stock option exercises	5.6	0.0	0.7	7.3	0.5	0.0	8.5	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Payment of net cash settlement for management options	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Purchase of common stock	(39.0)	(33.1)	(11.9)	(7.0)	(8.4)	(22.4)	(49.8)	(33.5)	(9.0)	(9.0)	(9.0)	(60.5)	(9.0)	(9.0)	(9.0)	(9.0)	(36.0)
Net Cash Provided by (Used in) Financing Activities	(33.7)	(15.5)	76.2	58.5	8.7	(19.3)	124.0	(33.5)	(9.0)	(9.0)	(9.0)	(60.5)	(9.0)	(9.0)	(9.0)	(9.0)	(36.0)
Effect of Exchange Rate on Cash	0.6	(3.2)	0.9	0.9	(0.8)	0.2	1.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Increase (Decrease) in Cash, Cash Equivalents and Restricted Cash	(4.0)	67.6	60.7	78.4	41.8	9.4	190.4	(22.1)	13.0	24.3	20.7	36.0	3.6	24.5	31.7	26.0	86.8
Cash, Cash Equivalents and Restricted Cash at Beginning of Period	227.2	223.2	290.7	351.5	429.9	471.7	290.7	481.1	459.0	472.0	496.4	481.1	517.1	520.7	545.2	576.9	517.1
Cash, Cash Equivalents and Restricted Cash at End of Period	223.2	290.7	351.5	429.9	471.7	481.1	481.1	459.0	472.0	496.4	517.1	517.1	520.7	545.2	576.9	602.9	602.9

Source: Jefferies, Company data

Chart 49 - AVPT DCF Base Case

Avepoint
Discounted Cash Flow Analysis
\$ in millions, except per share data

	Year 1	Transition	Terminal
Current risk-free rate of return	3.5%		3.5%
Historical risk-free rate of return	5.0%	5.0%	5.0%
Beta	0.89		1.00
Market rate of return	11.5%	11.5%	11.5%
Cost of equity	9.3%		10.0%
Growth rate	As modeled		5.0%

Last reported results as of:	12/31/2025
Cash and Cash Equivalents	481.1
Total Debt	0.0
Net Cash and Cash Equivalents	481.1
LTM Revenues	419.5
Shares Outstanding (m)	231.2
Net Cash/Share - 10% of Revenue	\$ 1.90

Scenario 2, Base Case:

	HISTORICALS							FORECAST PERIOD			TRANSITIONARY PERIOD					TERMINAL
	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E Perpetuity
Period								1	2	3	4	5	6	7	8	9
Current risk-free rate of return	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%
Historical risk-free rate of return	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%
Beta	0.89	0.89	0.89	0.89	0.89	0.89	0.89	0.89	0.89	0.89	0.91	0.93	0.95	0.96	0.98	1
Market return of equity	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%
Cost of equity	9.3%	9.3%	9.3%	9.3%	9.3%	9.3%	9.3%	9.3%	9.3%	9.3%	9.4%	9.5%	9.6%	9.8%	9.9%	10.0%
FCF growth rate	-	-	7%	-200%	-251%	109%	19%	36.0%	26.3%	22.0%	19%	16%	13%	11%	8%	5.0%
Discount Factor	1.000	1.000	1.000	1.000	1.000	1.000	1.000	0.897	0.804	0.721	0.647	0.580	0.520	0.467	0.419	
Free cash flow to Enterprise (\$mm)		17.7	18.9	(19.0)	28.6	59.7	71.0	96.5	121.8	148.6	177.1	206.0	233.7	258.6	278.8	
Diluted Shares Outstanding 4Q		98.1	218.1	216.7	215.1	186.6	231.2	232.7	236.3	238.6	240.6	242.2	243.4	244.2	244.6	
Share Growth %			122%	-1%	-1%	-13%	24%	1%	2%	1%	1%	1%	1%	0%	0%	0%
Free cash flow to Enterprise per share		0.18	0.09	(0.09)	0.13	0.32	0.31	0.41	0.52	0.62	0.74	0.85	0.96	1.06	1.14	1.1963
NPV of free cash flow per share		0.18	0.09	(0.09)	0.13	0.32	0.31	0.37	0.41	0.45	0.48	0.49	0.50	0.49	0.48	9.96
Cumulative NPV of FCF per share								0.37	0.79	1.24	1.71	2.21	2.70	3.20	3.68	13.63
Cumulative NPV of FCF (\$mm)																13.6
Net cash/share - 10% of revenue																\$ 1.90
Total NPV per share																\$ 16.00

Source: Jefferies, Company data

Chart 50 - RPD Non-GAAP Income Statement

RAPID07 INC Non-GAAP Income Statement	FY20A YearA	FY21A YearA	FY22A YearA	FY23A YearA	FY24A YearA	Mar-25A	Jun-25A	FY25E Sep-25A	Dec-25A	YearA	Mar-26E	Jun-26E	FY26E Sep-26E	Dec-26E	YearE	Mar-27E	Jun-27E	FY27E Sep-27E	Dec-27E	YearE
Total Revenues	411.5	535.4	685.1	777.7	844.0	210.3	214.2	218.0	217.4	859.8	208.0	208.9	211.1	210.9	839.0	208.6	208.9	211.2	210.9	839.5
yoy change	26%	30%	28%	14%	9%	3%	3%	2%	1%	2%	-1%	-2%	-3%	-3%	-2%	0%	0%	0%	0%	0%
qoq change						-3%	2%	2%	0%	2%	-4%	0%	1%	0%		-1%	0%	1%	0%	0%
Total Cost of Revenue	108.5	147.1	185.5	202.7	221.7	52.8	56.1	58.1	60.8	227.7	58.1	58.4	59.0	58.9	234.5	58.3	58.4	59.0	58.9	234.6
yoy change	32%	36%	26%	9%	9%	-2%	4%	4%	4%	3%	10%	4%	2%	-3%	3%	0%	0%	0%	0%	0%
qoq change						-10%	6%	4%	5%	2%	-5%	0%	1%	0%		-1%	0%	1%	0%	0%
Non-GAAP Gross Profit	303.0	388.3	499.6	575.1	622.3	157.5	158.1	159.9	156.6	632.1	149.9	150.5	152.1	151.9	604.5	150.3	150.5	152.1	151.9	604.9
Non-GAAP Gross Margin	74%	73%	73%	74%	74%	75%	74%	73%	72%	74%	72%	72%	72%	72%	72%	72%	72%	72%	72%	72%
Non-GAAP R&D	84.1	114.1	140.0	138.8	135.5	37.5	37.0	37.5	39.3	151.3	37.4	37.6	38.0	38.0	151.0	37.5	37.6	38.0	38.0	151.1
yoy change	32%	36%	23%	-1%	-2%	12%	18%	7%	10%	12%	0%	2%	1%	-3%	0%	0%	0%	0%	0%	0%
qoq change						9%	-1%	1%	2%	5%	-4%	-8%	-7%	-7%		7%	0%	-5%	1%	0%
% of total revenue						18%	17%	17%	18%	18%	18%	18%	18%	18%	18%	18%	18%	18%	18%	18%
Non-GAAP S&M	178.9	221.9	273.5	280.7	267.5	71.5	71.1	71.9	73.4	287.9	77.0	73.1	69.7	68.3	288.1	73.0	73.1	69.7	67.5	283.3
yoy change	23%	24%	23%	3%	-5%	9%	2%	7%	12%	8%	8%	3%	-3%	-7%	0%	-5%	0%	0%	-1%	-2%
qoq change						9%	-1%	1%	2%	3%	5%	-5%	-5%	-2%	3%	35%	35%	33%	32%	34%
% of total revenue						34%	33%	33%	34%	33%	37%	35%	33%	32%	34%	35%	35%	33%	32%	34%
Non-GAAP G&A	37.9	44.7	55.7	53.4	55.8	16.1	13.7	13.6	13.8	57.2	15.5	12.5	12.7	12.7	53.4	12.5	12.5	12.7	12.7	50.4
yoy change	15%	18%	25%	-4%	5%	33%	-2%	4%	-16%	2%	-4%	-8%	-7%	-9%	-7%	-19%	0%	0%	0%	-6%
qoq change						-4%	-15%	-1%	2%	2%	12%	-19%	1%	0%		-1%	0%	1%	0%	0%
% of total revenue						8%	6%	6%	6%	7%	7%	6%	6%	6%	6%	6%	6%	6%	6%	6%
Non-GAAP Total Operating Expense	300.9	380.7	469.2	472.8	458.8	125.1	121.8	123.0	126.5	496.4	129.9	123.3	120.3	118.9	492.5	123.1	123.2	120.4	118.1	484.8
yoy change	24%	27%	23%	1%	-3%	13%	6%	7%	3%	8%	4%	1%	2%	-6%	-1%	-5%	0%	0%	1%	-2%
Non-GAAP Income from Operations	2.0	7.6	30.4	102.2	163.5	32.4	36.3	36.9	30.1	135.7	20.0	27.3	31.8	33.0	112.0	27.2	27.3	31.8	33.9	120.1
Non-GAAP Operating Margin	0%	1%	4%	13.1%	19.4%	15.4%	17.0%	16.9%	13.9%	15.8%	9.6%	13.1%	15.1%	15.7%	13.4%	13.1%	13.1%	15.1%	16.1%	14.3%
Interest Expense (Expense), Net	(22.7)	(13.9)	(9.2)	(54.5)	12.9	5.8	2.9	6.2	5.6	20.4	5.0	5.0	5.0	5.0	20.0	5.0	5.0	5.0	5.0	20.0
Other Expense, Net	(0.1)	(1.9)	(1.5)	(14.5)	(6.5)	(0.9)	4.0	(2.8)	(2.1)	(1.8)	(2.2)	(2.2)	(3.2)	(3.2)	(10.8)	(3.2)	(3.2)	(3.2)	(3.2)	(12.8)
Pre-tax Non-GAAP Income	(3.2)	7.4	25.3	109.6	185.4	39.8	45.6	42.7	36.0	164.2	24.8	32.4	35.9	37.1	130.2	31.4	31.4	35.9	38.0	136.6
Provision for Income Taxes	2.0	10.4	2.4	(0.5)	15.9	2.7	2.0	(0.5)	2.6	6.8	1.7	2.3	2.5	2.6	9.1	2.2	2.2	2.5	2.7	9.6
Implied Tax Rate					9%	7%	4%	-1%	7%	4%	7%	7%	7%	7%	7%	7%	7%	7%	7%	7%
Non-GAAP Net Income (Loss)	(5.2)	(3.0)	22.9	110.2	169.4	37.1	43.6	43.2	33.4	157.4	23.0	30.1	33.4	34.5	121.1	29.2	29.2	33.4	35.3	127.1
Non-GAAP Diluted EPS	(0.10)	(0.05)	0.35	1.59	2.27	0.49	0.58	0.57	0.44	2.08	0.30	0.39	0.43	0.44	1.55	0.37	0.36	0.41	0.43	1.57
Basic Shares Outstanding	51.0	55.3	58.5	60.7	62.7	63.8	64.4	65.0	65.6	64.7	66.4	67.1	67.8	68.5	67.5	69.2	69.9	70.6	71.3	70.3
Diluted Shares Outstanding	52.0	56.4	65.6	69.1	74.5	75.4	75.4	75.6	76.3	75.7	77.1	77.8	78.5	79.2	78.2	79.9	80.6	81.3	82.0	80.9

Source: Jefferies, Company data

Chart 51 - RPD Balance Sheet

RAPID7 INC Balance Sheet (\$M)	FY22A YearA	FY23A YearA	FY24A YearA	Mar-25A	Jun-25A	FY25E Sep-25A	Dec-25A	YearA	Mar-26E	Jun-26E	FY26E Sep-26E	Dec-26E	YearE	Mar-27E	Jun-27E	FY27E Sep-27E	Dec-27E	YearE
Current Assets:																		
Cash and Cash Equivalents	207.3	213.6	334.7	291.5	261.3	130.6	246.7	246.7	270.2	314.0	345.8	374.7	374.7	1.3	46.8	77.9	111.1	111.1
Short Term Investments	84.2	169.5	187.0	202.0	250.4	276.5	228.0	228.0	228.0	228.0	228.0	228.0	228.0	28.0	28.0	28.0	28.0	28.0
Accounts Receivable	152.0	164.9	168.2	140.5	150.7	141.3	167.0	167.0	117.9	132.3	129.0	174.5	174.5	126.3	141.6	143.1	187.4	187.4
Deferred Contract Acquisition and Fulfillment Costs	34.9	45.0	52.1	50.7	49.3	47.6	48.4	48.4	49.6	50.8	52.1	54.7	54.7	56.1	57.5	58.9	61.7	61.7
Prepaid Expenses and Other Current Assets	31.9	41.4	44.0	48.0	42.8	39.0	47.2	47.2	49.9	54.3	50.7	61.1	61.1	64.7	68.9	63.3	75.9	75.9
Total Current Assets	510.3	634.5	786.1	732.6	754.5	635.0	737.3	737.3	715.6	779.5	805.5	893.1	893.1	276.3	342.7	371.3	464.3	464.3
Long Term Investments	9.8	56.2	37.3	99.1	88.0	227.4	184.1	184.1	184.1	184.1	184.1	184.1	184.1	184.1	184.1	184.1	184.1	184.1
Property and Equipment, Net	57.9	39.6	32.2	31.7	29.6	32.0	32.0	32.0	32.5	32.7	32.4	31.8	31.8	32.2	32.5	32.3	31.7	31.7
Operating Lease Right-of-Use Assets	79.3	54.7	48.9	46.4	43.7	47.5	45.5	45.5	45.5	45.5	45.5	45.5	45.5	45.5	45.5	45.5	45.5	45.5
Deferred Contract Acquisition and Fulfillment Costs	68.2	76.6	73.7	69.8	66.7	64.1	67.0	67.0	65.6	64.3	65.6	66.9	66.9	65.6	64.3	65.6	66.9	66.9
Goodwill	515.6	536.4	575.3	575.3	575.3	575.3	575.3	575.3	575.3	575.3	575.3	575.3	575.3	575.3	575.3	575.3	575.3	575.3
Intangible Assets, Net	101.3	94.5	85.7	79.8	75.0	69.9	65.1	65.1	61.2	57.3	53.4	49.5	49.5	45.7	41.8	38.0	34.1	34.1
Other Assets	16.6	12.9	12.9	10.1	16.0	15.2	20.2	20.2	18.7	18.8	19.0	19.0	19.0	18.8	18.8	19.0	19.0	19.0
Total Assets	1,359.0	1,505.3	1,652.0	1,644.8	1,648.7	1,666.4	1,726.5	1,726.5	1,698.5	1,757.5	1,780.8	1,865.2	1,865.2	1,243.5	1,305.0	1,331.0	1,420.9	1,420.9
Current Liabilities:																		
Accounts Payable	10.3	15.8	18.9	12.3	15.9	15.6	11.0	11.0	9.0	13.6	8.5	5.2	5.2	1.9	9.1	6.6	3.3	3.3
Accrued Expenses and Other Current Liabilities	80.3	85.0	88.8	69.5	78.1	80.5	97.0	97.0	72.8	83.6	86.6	107.5	107.5	83.4	94.0	97.1	120.2	120.2
Operating Lease Liabilities, Current Portion	12.4	13.5	15.5	13.6	15.2	16.0	16.2	16.2	16.2	16.2	16.2	16.2	16.2	16.2	16.2	16.2	16.2	16.2
Deferred Revenue, Current Portion	426.6	455.5	461.1	447.8	446.7	422.9	451.2	451.2	433.1	450.4	445.9	481.6	481.6	462.3	480.8	476.0	514.1	514.1
Other Current Liabilities	1.7	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Convertible Senior Notes, Net	-	-	45.9	46.0	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Current Liabilities	531.3	569.8	630.2	589.2	555.9	535.0	575.4	575.4	531.1	563.8	557.2	610.6	610.6	563.9	600.1	595.9	653.8	653.8
Convertible Senior Notes, Net	815.9	930.0	888.4	889.3	890.3	891.3	892.3	892.3	892.3	892.3	892.3	892.3	892.3	292.3	292.3	292.3	292.3	292.3
Operating Lease Liabilities	85.9	81.1	68.4	65.5	62.2	63.6	59.9	59.9	59.9	59.9	59.9	59.9	59.9	59.9	59.9	59.9	59.9	59.9
Deferred Revenue	31.0	32.6	27.1	27.5	29.2	28.3	30.0	30.0	30.6	31.2	32.1	33.7	33.7	34.4	35.1	36.1	37.9	37.9
Other Long Term Liabilities	14.9	10.0	20.2	20.6	20.7	21.0	14.2	14.2	14.2	14.2	14.2	14.2	14.2	14.2	14.2	14.2	14.2	14.2
Total Liabilities	1,479.1	1,623.5	1,634.3	1,592.1	1,558.3	1,539.2	1,571.7	1,571.7	1,528.1	1,561.4	1,555.7	1,610.7	1,610.7	964.7	1,001.6	998.4	1,058.1	1,058.1
Stockholders' Deficit:																		
Preferred Stock (\$0.01 par value per share)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Common Stock (\$0.01 par value per share)	0.6	0.6	0.6	0.6	0.6	0.7	0.7	0.7	0.7	0.7	0.7	0.7	0.7	0.7	0.7	0.7	0.7	0.7
Treasury Stock	(4.8)	(4.8)	(4.8)	(4.8)	(4.8)	(4.8)	(4.8)	(4.8)	(4.8)	(4.8)	(4.8)	(4.8)	(4.8)	(4.8)	(4.8)	(4.8)	(4.8)	(4.8)
Additional Paid In Capital	746.2	898.2	1,011.1	1,042.4	1,068.6	1,096.7	1,121.0	1,121.0	1,121.0	1,121.0	1,121.0	1,121.0	1,121.0	1,121.0	1,121.0	1,121.0	1,121.0	1,121.0
Accumulated Other Comprehensive (Loss) Income	(11.4)	1.3	(1.2)	0.4	3.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5
Accumulated Deficit	(860.1)	(1,013.6)	(1,171.7)	(985.9)	(977.6)	(967.8)	(964.7)	(964.7)	(948.9)	(932.3)	(904.2)	(854.6)	(854.6)	(840.6)	(816.0)	(786.8)	(756.6)	(756.6)
Total Stockholders' Deficit	(120.1)	(118.2)	(117.2)	(52.7)	(90.4)	(127.2)	(154.7)	(154.7)	(170.4)	(196.1)	(225.1)	(254.6)	(254.6)	(278.8)	(303.4)	(332.6)	(362.8)	(362.8)
Total Liabilities and Stockholders' Deficit	1,359.0	1,505.3	1,652.0	1,644.8	1,648.7	1,666.4	1,726.5	1,726.5	1,698.5	1,757.5	1,780.8	1,865.2	1,865.2	1,243.5	1,305.0	1,331.0	1,420.9	1,420.9

Chart 52 - RPD Statement of Cash Flows

RAPID7 INC	FY21A	FY22A	FY23A	FY24A	Mar-25A	Jun-25A	FY25E	Dec-25A	YearA	Mar-26E	Jun-26E	FY26E	Dec-26E	YearE	Mar-27E	Jun-27E	FY27E	Dec-27E	YearE
Statement of Cash Flows (\$M)	YearA	YearA	YearA	YearA			Sep-25A					Sep-26E					Sep-27E		
Cash Flows from Operating Activities:																			
Net Income (Loss)	(146.3)	(124.7)	(150.2)	25.5	2.1	8.3	9.8	3.1	23.4	(4.8)	3.7	7.7	9.8	16.4	4.7	4.7	8.6	10.6	28.5
Adjustments to Reconcile Net Income to Net Cash Provided by Operating Activities:																			
Depreciation and Amortization	33.5	41.0	45.9	44.9	11.7	11.4	11.2	11.2	45.4	10.9	11.3	11.7	12.0	46.0	11.0	11.1	11.6	12.0	45.7
Amortization of Debt Issuance Costs	4.0	4.1	4.1	4.4	1.0	1.0	1.1	1.1	4.2	1.1	1.1	1.1	1.1	4.4	1.1	1.1	1.1	1.1	4.4
Stock-Based Compensation Expense	102.6	119.9	109.0	108.0	27.2	27.6	26.3	23.3	104.3	22.0	20.2	19.4	18.6	80.1	18.4	18.4	18.6	18.6	73.9
Deferred Income Taxes	0.5	(1.4)	(5.6)	0.8	-	-	-	(0.4)	(0.4)	-	-	-	(0.4)	(0.4)	-	-	-	(0.4)	(0.4)
Impairment of Long Lived Assets	-	-	30.8	-	-	-	(1.3)	-	(1.3)	-	-	-	-	-	-	-	-	-	-
Other	4.7	(0.2)	69.9	(1.5)	(1.2)	(3.5)	(0.0)	(1.6)	(6.4)	(1.5)	0.1	0.2	(0.0)	(1.3)	(0.2)	0.0	0.2	(0.0)	0.0
Changes in assets and liabilities:																			
Accounts Receivable	(25.5)	(9.1)	(14.0)	(5.5)	27.7	(10.2)	8.4	(24.2)	1.7	49.1	(14.4)	3.3	(45.5)	(7.5)	48.2	(15.2)	(1.6)	(44.3)	(12.9)
Deferred Contract Acquisition and Fulfillment Costs	(22.5)	(15.9)	(18.5)	(4.2)	5.3	4.5	4.5	(3.7)	10.5	0.1	0.1	(2.6)	(3.9)	(6.3)	(0.0)	(0.1)	(2.7)	(4.3)	(7.1)
Prepaid Expenses and Other Assets	(3.4)	(2.2)	(4.1)	2.8	(2.0)	(3.8)	4.5	(8.9)	(10.2)	(2.7)	(4.4)	3.7	(10.5)	(13.9)	(3.5)	(4.3)	5.6	(12.6)	(14.8)
Accounts Payable	(2.1)	8.0	5.4	2.8	(6.6)	3.6	(0.8)	(5.1)	(8.9)	(2.0)	4.6	(5.1)	(3.3)	(5.8)	(3.3)	7.1	(2.5)	(3.3)	(2.0)
Accrued Expenses	19.2	3.7	2.4	(9.8)	(20.3)	7.1	1.7	20.9	9.3	(24.2)	10.8	3.0	21.0	10.5	(24.1)	10.5	3.1	23.1	12.7
Deferred Revenue	85.6	52.5	30.5	(0.8)	(12.9)	0.5	(24.6)	28.5	(8.4)	(17.4)	17.9	(3.6)	37.3	34.2	(18.6)	19.2	(3.8)	39.5	36.7
Other Liabilities	3.7	2.5	(1.3)	4.3	(2.2)	1.0	(2.3)	(6.6)	(10.2)	-	-	-	-	-	-	-	-	-	-
Other Investments	(3.0)	(1.0)	2.7	0.4	1.3	-	0.5	(5.5)	(3.7)	-	-	-	-	-	-	-	-	-	-
Net Cash Provided by Operating Activities	53.9	78.2	104.3	171.7	29.8	47.5	38.2	37.6	153.1	30.6	50.9	38.9	36.1	156.4	33.6	52.6	38.3	40.3	164.7
Cash Flows from Investing Activities:																			
Business Acquisitions, Net of Cash Acquired	(358.4)	-	(34.8)	(37.3)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Purchases of Property and Equipment	(9.0)	(20.4)	(4.4)	(3.4)	(1.4)	(0.9)	(4.1)	(1.2)	(7.6)	(2.0)	(2.0)	(2.0)	(2.0)	(8.0)	(2.0)	(2.0)	(2.0)	(2.0)	(8.0)
Capitalization of Internal Use Software	(9.9)	(17.1)	(15.9)	(14.2)	(3.7)	(4.3)	4.0	(4.1)	(16.1)	(4.5)	(4.5)	(4.5)	(4.5)	(18.0)	(4.5)	(4.5)	(4.5)	(4.5)	(18.0)
Purchases of Investments	(93.1)	(122.8)	(276.8)	(242.5)	(144.5)	(87.6)	(271.0)	(80.3)	(533.3)	-	-	-	-	-	-	-	-	-	-
Sales and Maturities of Investments	148.0	121.3	150.5	250.5	69.0	51.5	107.0	123.8	351.3	-	-	-	-	-	200.0	-	-	-	200.0
Other Investments	(3.0)	(1.0)	2.7	0.4	1.3	-	0.5	(5.5)	(3.7)	-	-	-	-	-	-	-	-	-	-
Net Cash Used in Investing Activities	(325.4)	(40.0)	(178.8)	(46.5)	(79.2)	(41.3)	(171.7)	82.7	(209.4)	(6.4)	(6.5)	(6.5)	(6.5)	(26.0)	193.5	(6.5)	(6.5)	(6.5)	174.0
Cash Flows from Financing Activities:																			
Payments Related to Business Acquisitions	(12.1)	(0.3)	(2.3)	(0.7)	-	-	(0.4)	(4.1)	(4.5)	-	-	-	-	-	-	-	-	-	-
Taxes Paid Related to Net Share Settlement of Equity Awards	(16.0)	(7.3)	(5.6)	(4.5)	(1.3)	(0.6)	(0.5)	(0.8)	(3.0)	(0.6)	(0.6)	(0.6)	(0.6)	(2.3)	(0.6)	(0.6)	(0.6)	(0.6)	(2.3)
Proceeds from Employee Stock Purchase Plan	9.3	11.9	11.3	9.2	4.4	-	3.3	-	7.7	-	-	-	-	-	-	-	-	-	-
Proceeds from Stock Option Exercises	4.3	3.3	3.1	1.6	1.6	-	-	-	1.6	-	-	-	-	-	-	-	-	-	-
Payments Related to Debt	(306.3)	(0.1)	(236.6)	-	-	(1.3)	-	-	(1.3)	-	-	-	-	-	(600.0)	-	-	-	(600.0)
Proceeds from Debt	585.0	-	17.5	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Proceeds from Follow On Offering & Other	-	-	292.1	-	-	(45.2)	-	-	(45.2)	-	-	-	-	-	-	-	-	-	-
Net Cash Provided by Financing Activities	264.1	7.4	79.6	5.6	4.7	(47.1)	2.3	(4.7)	(44.7)	(0.6)	(0.6)	(0.6)	(0.6)	(2.3)	(600.6)	(0.6)	(0.6)	(0.6)	(602.3)
Effect of Exchange Rate Changes	(1.3)	(2.8)	1.2	(2.8)	1.3	3.5	0.4	0.4	5.7	-	-	-	-	-	-	-	-	-	-
Net Decrease in Cash, Cash Equivalents and Restricted Cash	(8.6)	42.8	6.3	128.0	(43.4)	(37.4)	(130.7)	116.1	(95.4)	23.6	43.8	31.8	29.0	128.1	(373.5)	45.5	31.1	33.2	(263.6)
Cash, Cash Equivalents and Restricted Cash, Beginning of Period	173.6	165.0	207.8	214.1	342.1	298.7	261.3	130.6	342.1	246.7	270.2	314.0	345.8	246.7	374.7	1.3	46.8	77.9	374.7
Cash, Cash Equivalents and Restricted Cash, End of Period	165.0	207.8	214.1	342.1	298.7	261.3	130.6	246.7	246.7	270.2	314.0	345.8	374.7	374.7	1.3	46.8	77.9	111.1	111.1

Source: Jefferies, Company data

Chart 53 - RPD DCF Base Case

Rapid7 Inc

Discounted Cash Flow Analysis

\$M, except per share data

	Year 1	Transition	Terminal
Current risk-free rate of return	3.5%		3.5%
Historical risk-free rate of return	5.0%	5.0%	5.0%
Beta	0.99		1.00
Market rate of return	11.5%	11.5%	11.5%
Cost of equity	9.9%		10.0%
Growth rate	As modeled		5.0%

Last reported results as of: 12/31/2025

Cash and Cash Equivalents	475
Total Debt	892
Net Cash and Cash Equivalents	(418)
LTM Revenues	860
Shares Outstanding (m)	76
Net Cash/Share - 10% of Revenue	(6.60)

Scenario 1, Base Case:

	HISTORICALS						FORECAST PERIOD			TRANSITIONARY PERIOD					TERMINAL	
	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E Perpetuity
Period								1	2	3	4	5	6	7	8	9
Current risk-free rate of return	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%
Historical risk-free rate of return	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%
Beta	0.99	0.99	0.99	0.99	0.99	0.99	0.99	0.99	0.99	0.99	0.99	0.99	1.00	1.00	1.00	1.00
Market return of equity	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%
Cost of equity	9.9%	9.9%	9.9%	9.9%	9.9%	9.9%	9.9%	9.9%	9.9%	9.9%	9.9%	10.0%	10.0%	10.0%	10.0%	10.0%
FCF growth rate	211%	-109%	1503%	4%	165%	13%	-21%	1%	7%	-19.0%	-15%	-11%	-7%	-3%	1%	5.0%
Discount Factor	1.000	1.000	1.000	1.000	1.000	1.000	1.000	0.897	0.804	0.721	0.647	0.580	0.520	0.467	0.419	
Free cash flow to Enterprise (\$mm)	(31)	3	46	48	127	144	113	115	123	100	85	75	70	68	69	
Diluted Shares Outstanding 4Q	53	52	57	70	74	75	76	79	82	83	84	84	84	85	85	
Share Growth %		-1%	9%	23%	6%	2%	2%	4%	4%	1%	1%	1%	1%	0%	0%	
Free cash flow to Enterprise per share								1.45	1.50	1.20	1.01	0.90	0.83	0.80	0.81	0.85
NPV of free cash flow per share								1.30	1.21	0.87	0.66	0.52	0.43	0.37	0.34	7.05
Cumulative NPV of FCF per share								1.30	2.50	3.37	4.03	4.55	4.98	5.35	5.69	12.74
Cumulative NPV of FCF (\$mm)																
Net cash/share - 10% of revenue																
Total NPV per share																

Source: Jefferies, Company data

Chart 54 - GEN Non-GAAP Income Statement

Gen Digital Non-GAAP Income Statement (\$ in millions, except per share data)	FY22 FY22	FY23 FY23	FY24 FY24	Jun '24	Sep '24	FY25 Dec '24	Mar '25	FY25	Jun '25	Sep '25	FY26E Dec '25	Mar '26	FY26E	Jun '26	Sep '26	FY27E Dec '26	Mar '27	FY27E
Total Revenue	2,796	3,338	3,800	965	974	986	1,010	3,935	1,257	1,220	1,240	1,250	4,967	1,265	1,306	1,332	1,340	5,243
qoq % change				0%	1%	1%	2%		24%	(3%)	2%	1%		1%	3%	2%	1%	
yoy % change				2%	3%	4%	5%		30%	25%	26%	24%		1%	7%	7%	7%	
yoy % change (CC)																		
Cost of revenues	367	450	498	132	135	136	142	545	200	199	205	212	816	215	222	226	228	891
Gross profit	2,429	2,888	3,302	833	839	850	868	3,390	1,057	1,021	1,035	1,037	4,150	1,050	1,084	1,105	1,113	4,352
Gross margin (%)	87%	87%	87%	86%	86%	86%	86%	86%	84%	84%	83%	83%	84%	83%	83%	83%	83%	83%
Operating expenses:																		
Sales and marketing	603	648	697	174	175	173	184	706	270	278	286	275	1,109	278	287	280	281	1,127
qoq % change				0%	1%	(1%)	6%		47%	3%	3%	(4%)		1%	3%	(3%)	1%	
yoy % change	-	7%	8%	1%	(1%)	(1%)	6%	1%	55%	59%	65%	49%	57%	3%	3%	(2%)	2%	2%
% of total revenue	22%	19%	18%	18%	18%	18%	18%	18%	21%	23%	23%	22%	22%	22%	22%	21%	21%	21%
Research and development	234	282	293	72	74	75	71	292	95	87	83	87	352	92	95	97	97	380
qoq % change				1%	3%	1%	(5%)		34%	(8%)	(5%)	5%		5%	3%	2%	1%	
yoy % change	-	21%	4%	(9%)	(1%)	10%	0%	(0%)	32%	18%	11%	23%	21%	(3%)	9%	16%	11%	8%
% of total revenue	8%	8%	7%	8%	8%	8%	7%	7%	8%	7%	7%	7%	7%	7%	7%	7%	7%	7%
General and administrative	123	125	104	23	23	25	23	94	42	33	37	37	149	38	39	40	40	156
qoq % change				10%	0%	9%	(8%)		83%	(21%)	12%	1%		1%	3%	2%	1%	
yoy % change	-	2%	(17%)	(21%)	(13%)	(7%)	10%	(9%)	83%	43%	48%	62%	59%	(10%)	18%	7%	7%	5%
% of total revenue	4%	4%	3%	2%	2%	3%	2%	2%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%
Amortization of intangible assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
qoq % change	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
yoy % change	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
% of total revenue	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%
Restructuring and other costs	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Impairment of intangible assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total operating expenses	960	1,055	1,094	269	272	273	278	1,092	407	398	406	400	1,611	408	421	416	419	1,663
% of total revenue	34%	32%	29%	28%	28%	28%	28%	28%	32%	33%	33%	32%	32%	32%	32%	31%	31%	32%
Operating income (loss)	1,469	1,833	2,209	564	567	577	590	2,298	650	623	629	637	2,539	642	663	689	694	2,688
Operating margin (%)	53%	55%	58%	58%	58%	59%	58%	58%	52%	51%	51%	51%	51%	51%	51%	52%	52%	51%
Interest expense	(118)	(384)	(642)	(146)	(143)	(134)	(129)	(552)	(149)	(139)	(131)	(129)	(548)	(129)	(129)	(129)	(129)	(516)
Other income (expense), net	(2)	5	37	12	6	6	8	32	9	12	8	8	37	8	8	8	8	32
Income (loss) before income taxes	1,349	1,454	1,604	430	430	449	469	1,778	510	496	506	516	2,028	521	542	568	573	2,204
Income tax expense (benefit)	326	335	(197)	95	94	99	103	391	112	109	112	114	447	115	120	126	127	488
GAAP Tax Rate	24%	23%	-12%	22%	22%	22%	22%	22%	22%	22%	22%	22%	22%	22%	22%	22%	22%	22%
Net income (loss)	1,023	1,119	1,801	335	336	350	366	1,387	398	387	394	402	1,581	406	422	443	446	1,716
Net income (loss) per share	1.73	1.79	2.80	0.53	0.54	0.56	0.59	2.22	0.84	0.62	0.64	0.65	2.55	0.66	0.68	0.71	0.72	2.77
yoy % change	-	4%	56%	(10%)	(49%)	(3%)	3%	(21%)	19%	15%	13%	11%	15%	3%	10%	12%	11%	9%
Basic shares outstanding	582	614	637	621	616	616	616	617	617	616	611	612	614	612	613	613	614	613
Diluted shares outstanding	592	624	642	627	622	623	624	624	624	624	618	619	621	619	620	620	621	620

Source: Jefferies, Company data

Chart 55 - GEN Balance Sheet

Gen Digital Balance Sheet (\$ in millions, except per share data)	FY22 FY22	FY23 FY23	FY24 FY24	Jun '24	Sep '24	FY25 Dec '24	Mar '25	FY25	Jun '25	Sep '25	FY26E Dec '25	Mar '26	FY26E	Jun '26	Sep '26	FY27E Dec '26	Mar '27	FY27E
Current Assets:																		
Cash and cash equivalents	1,887	750	846	644	737	883	1,006	1,006	828	701	619	1,083	1,083	1,355	1,445	1,834	2,263	2,263
Accounts receivable, net	120	168	163	152	164	152	171	171	314	309	361	375	375	351	363	429	447	447
Other current assets	193	284	334	300	297	262	245	245	249	254	257	237	237	202	157	113	87	87
Assets held for sale	60	31	15	15	24	23	22	22	37	25	16	16	16	16	16	16	16	16
Total current assets	2,260	1,233	1,358	1,111	1,222	1,320	1,444	1,444	1,428	1,289	1,253	1,711	1,711	1,925	1,980	2,393	2,813	2,813
Property and equipment, net	60	76	72	69	60	61	60	60	64	68	69	71	71	73	75	77	79	79
Operating lease assets	74	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Intangible assets, net	1,023	3,097	2,638	2,537	2,442	2,336	2,267	2,267	2,499	2,377	2,212	2,212	2,212	2,212	2,212	2,212	2,212	2,212
Goodwill	2,873	10,217	10,210	10,205	10,235	10,171	10,237	10,237	10,817	10,829	10,847	10,847	10,847	10,847	10,847	10,847	10,847	10,847
Other long-term assets	653	1,324	1,515	1,506	1,512	1,475	1,487	1,487	1,552	1,488	1,450	1,461	1,461	1,479	1,527	1,557	1,567	1,567
Total assets	6,943	15,947	15,793	15,428	15,471	15,363	15,495	15,495	16,360	16,051	15,831	16,302	16,302	16,536	16,641	17,086	17,519	17,519
Current liabilities:																		
Accounts payable	63	77	66	83	99	102	94	94	90	81	83	77	77	57	49	59	50	50
Accrued compensation and benefits	81	102	78	57	74	93	105	105	85	98	116	125	125	101	118	140	147	147
Current portion of long-term debt	1,000	233	175	1,332	1,391	1,396	291	291	288	280	240	240	240	240	240	240	240	240
Contract liabilities	1,264	1,708	1,808	1,745	1,749	1,777	1,846	1,846	1,783	1,768	1,822	1,840	1,840	1,822	1,804	1,804	1,840	1,840
Current operating lease liabilities	18	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total current liabilities	639	729	599	535	509	396	515	515	612	325	427	430	430	436	450	459	462	462
Total current liabilities	3,065	2,849	2,726	3,752	3,822	3,764	2,851	2,851	2,858	2,552	2,688	2,712	2,712	2,655	2,659	2,701	2,738	2,738
Long-term debt	2,736	9,529	8,429	7,190	7,137	7,080	7,968	7,968	8,575	8,421	8,167	8,167	8,167	8,167	8,167	8,167	8,167	8,167
Long-term contract liabilities	42	80	76	74	78	72	77	77	90	94	84	90	90	88	91	98	107	107
Deferred income tax liabilities	75	395	261	253	248	223	222	222	234	229	220	223	223	220	219	219	225	225
Long-term income taxes payable	996	820	1,490	1,504	1,396	1,385	1,420	1,420	1,509	1,548	1,583	1,649	1,649	1,708	1,737	1,811	1,890	1,890
Long-term operating lease liabilities	75	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other long-term liabilities	47	74	671	685	692	688	688	688	729	750	757	862	862	822	801	613	603	603
Total liabilities	7,036	13,747	13,653	13,458	13,373	13,212	13,226	13,226	13,995	13,594	13,499	13,703	13,703	13,661	13,473	13,609	13,730	13,730
Total stockholders' equity (deficit)	(93)	2,200	2,140	1,970	2,098	2,151	2,269	2,269	2,365	2,457	2,332	2,599	2,599	2,875	3,168	3,477	3,789	3,789
Total liabilities and stockholders' equity	6,943	15,947	15,793	15,428	15,471	15,363	15,495	15,495	16,360	16,051	15,831	16,302	16,302	16,536	16,641	17,086	17,519	17,519

Source: Jefferies, Company data

Chart 56 - GEN Statement of Cash Flows

Gen Digital Cash Flow Statement (\$ in millions, except per share data)	FY22 FY22	FY23 FY23	FY24 FY24	FY25					FY26E					FY27E				
	Jun '24	Sep '24	Dec '24	Mar '25	FY25	Jun '25	Sep '25	Dec '25	Mar '26	FY26E	Jun '26	Sep '26	Dec '26	Mar '27	FY27E			
Operating Activities:																		
Net income (loss)	836	1,349	607	181	161	159	142	643	135	134	192	222	683	210	224	245	248	927
Adjustments:																		
Amortization and depreciation	140	329	485	106	105	104	104	419	123	125	126	126	500	126	126	126	126	505
Impairments and write-offs of current and long-lived assets	13	25	(3)	-	3	(1)	5	7	-	-	-	-	-	-	-	-	-	-
Stock-based compensation expense	70	134	138	31	33	33	36	133	66	56	53	52	227	66	69	70	70	275
Loss on sale of Instacash advances	-	-	-	-	-	-	-	-	36	55	55	55	201	55	55	55	55	220
Deferred income taxes	(81)	(145)	(982)	(10)	(27)	(13)	18	(32)	11	(17)	6	3	-	(2)	(2)	1	5	2
Gain on sale of properties	(170)	-	(9)	-	-	-	-	-	-	(16)	-	-	(16)	-	-	-	-	-
Non-cash operating lease expense	20	23	18	3	4	4	5	16	4	5	4	-	13	-	-	-	-	-
Impairment on non-marketable equity investments	-	-	40	-	-	30	-	30	-	-	10	-	10	-	-	-	-	-
Legal contract dispute cost	-	-	-	-	-	42	24	66	-	69	-	-	69	-	-	-	-	-
Other	(1)	11	22	(2)	10	(12)	15	11	97	14	11	-	122	-	-	-	-	-
Changes in operating assets and liabilities, net of acquisitions:																		
Accounts receivable, net	(9)	11	7	9	(7)	(36)	(19)	(53)	10	(13)	(63)	(14)	(80)	23	(11)	(66)	(18)	(72)
Accounts payable	10	(8)	(12)	17	12	6	(9)	26	(48)	(9)	5	(6)	(58)	(20)	(8)	11	(10)	(27)
Accrued compensation and benefits	(26)	(6)	(24)	(21)	16	21	11	27	(21)	12	20	9	20	(24)	16	22	8	22
Contract liabilities	67	(5)	47	(56)	(15)	44	63	36	(69)	(3)	71	24	23	(20)	(16)	7	45	16
Income taxes payable	(78)	(128)	446	81	(260)	33	56	(80)	51	(226)	51	66	(47)	58	29	74	79	240
Instacash advances held for sale	-	-	-	-	-	-	-	-	(47)	(44)	(57)	(57)	(205)	(50)	(50)	(55)	(55)	(210)
Other assets	(7)	(696)	862	17	47	11	11	86	58	7	7	8	80	17	(2)	14	16	44
Other liabilities	190	(137)	432	(92)	66	(99)	11	(114)	(7)	(50)	66	109	118	(35)	(207)	21	(6)	(228)
Net cash provided by (used in) operating activities	974	757	2,064	264	158	326	473	1,221	409	116	541	597	1,663	406	223	524	563	1,716
Investing Activities:																		
Purchases of property and equipment	(6)	(6)	(20)	(2)	(2)	(8)	(3)	(15)	(4)	(9)	(6)	(6)	(25)	(6)	(6)	(6)	(6)	(25)
Purchase of non-marketable equity investments	-	-	-	-	(4)	-	-	(4)	-	4	9	-	13	-	-	-	-	-
Payments for acquisitions, net of cash acquired	(39)	(6,547)	-	-	-	-	(84)	(84)	(876)	-	-	-	(876)	-	-	-	-	-
Proceeds from the sale of properties & ST investments	370	4	25	-	-	-	-	-	9	-	52	-	61	-	-	-	-	-
Other	1	2	(3)	-	(2)	1	4	3	(2)	(2)	3	-	(1)	-	-	-	-	-
Net cash provided by (used in) investing activities	326	(6,547)	2	(2)	(8)	(7)	(83)	(100)	(873)	(7)	58	(6)	(828)	(6)	(6)	(6)	(6)	(25)
Financing Activities:																		
Repayments of debt and related equity component	(541)	(3,047)	(1,183)	(88)	-	(59)	(1,164)	(1,311)	(191)	(169)	(300)	-	(660)	-	-	-	-	-
Proceeds from issuance of debt, net of issuance costs	512	8,954	-	-	-	-	941	941	741	-	-	-	741	-	-	-	-	-
Net proceeds from sales of common stock under employee stock incentive plans	13	8	7	-	6	-	5	11	-	7	-	-	7	-	-	-	-	-
Tax payments related to vesting of stock units	(14)	(16)	(21)	(24)	(1)	-	(1)	(26)	(44)	(9)	(5)	-	(52)	-	-	-	-	-
Dividends and dividend equivalents paid	(303)	(314)	(323)	(82)	(77)	(77)	(77)	(313)	(82)	(77)	(77)	(77)	(313)	(77)	(77)	(78)	(78)	(310)
Repurchases of common stock	-	(904)	(441)	(272)	-	-	-	(272)	(134)	-	(300)	(50)	(484)	(50)	(50)	(50)	(50)	(200)
Net cash provided by (used in) financing activities	(333)	4,681	(1,961)	(466)	(72)	(136)	(296)	(970)	290	(242)	(682)	(127)	(761)	(127)	(127)	(128)	(128)	(510)

Source: Jefferies, Company data

Chart 57 - GEN DCF Base Case

Gen Digital
Discounted Cash Flow Analysis

	Year 1	Transition	Terminal
Current risk-free rate of return	3.50%		3.50%
Historical risk-free rate of return	5.00%	5.00%	5.00%
Beta	0.98		1.00
Equity Risk Premium	6.50%		6.50%
Market rate of return	11.50%	11.50%	11.50%
Cost of equity	9.87%		10.00%

Scenario 1: Base Case.

	HISTORICALS			FORECAST				TRANSITIONARY PERIOD					TERMINAL	
	2023A	2024A	2025A	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	Perpetuity
Period	0.00	0.00	0.00	1.00	2.00	3.00	4.00	5.00	6.00	7.00	8.00	9.00	10.00	
Current risk-free rate of return	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%
Historical risk-free rate of return	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%
Beta	0.98	0.98	0.98	0.98	0.98	0.98	0.98	0.98	0.99	0.99	0.99	1.00	1.00	1.00
Risk Premium	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%
Market rate of return	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%
Cost of equity	9.9%	9.9%	9.9%	9.9%	9.9%	9.9%	9.9%	9.9%	9.9%	9.9%	10.0%	10.0%	10.0%	10.0%
WACC	9.9%	9.9%	9.9%	9.9%	9.9%	9.9%	9.9%	9.9%	9.9%	9.9%	10.0%	10.0%	10.0%	10.0%
FCF Growth Rate (incl. stock buyback related to dilution)	-	N/A	-23.1%	15.6%	-6.5%	-8.0%	-8.0%	-3.5%	-2.0%	-0.5%	1.0%	2.5%	4.0%	4.0%
Discount factor	1.00	1.00	1.00	1.10	1.21	1.33	1.46	1.60	1.76	1.94	2.14	2.35	2.59	
Free cash flow to the enterprise (incl. stock buyback related to dilution)	(916)	2,341	1,799	2,081	1,946	1,790	1,700	1,641	1,608	1,600	1,616	1,656	1,723	28,711
NPV of Free cash flow (\$M)	(916)	2,341	1,799	1,894	1,612	1,350	1,167	1,024	912	824	756	704	11,070	
Cumulative NPV of FCFE (\$M)				1,894	3,506	4,855	6,022	7,046	7,958	8,782	9,539	10,242	21,312	
Cumulative NPV of FCFE (\$ M)	21,312													
Shares outstanding (M)	618.0													
NPV/Share of FCFE	\$ 34.49													
Cash and Cash Equivalents	619													
Total Debt	8,407													
Net Cash and Cash Equivalents	(7,788)													
Net cash/ Share - 10% of revenue *	\$ (13.37)													
Total NPV/Share	\$ 21.12													

Source: Jefferies, Company data

Chart 58 - TENB Non-GAAP Income Statement

TENABLE HOLDINGS		FY22A		FY23A		FY24A		FY25A					FY26E					FY27E				
Income Statement, Non-GAAP		YearA		YearA		YearA		Mar-25A	Jun-25A	Sep-25A	Dec-25A	YearA	Mar-26E	Jun-26E	Sep-26E	Dec-26E	YearE	Mar-27E	Jun-27E	Sep-27E	Dec-27E	YearE
\$ in millions, except per share amounts																						
Total Revenues		683.2		798.7		900.0		239.1	247.3	252.4	260.5	999.4	258.4	265.6	269.1	276.9	1,070.1	276.3	282.6	288.0	295.3	1,142.1
yoy change		26.3%		16.9%		12.7%		10.7%	11.8%	11.2%	10.5%	11.0%	8.0%	7.4%	6.6%	6.3%	7.1%	6.9%	6.4%	7.0%	6.6%	6.7%
qoq change								10.7%	11.8%	11.2%	10.5%		8.0%	7.4%	6.6%	6.3%		6.9%	6.4%	7.0%	6.6%	
Total Cost of Revenue		135.0		158.5		167.5		43.3	44.4	46.5	45.1	179.3	49.1	50.5	51.1	52.6	203.3	52.5	53.7	54.7	56.1	217.0
yoy change		41.4%		17.3%		5.7%		4.8%	9.0%	10.0%	4.2%	7.0%	13.4%	13.6%	10.0%	16.7%	13.4%	6.9%	6.4%	7.0%	6.6%	6.7%
qoq change								4.8%	9.0%	10.0%	4.2%		13.4%	13.6%	10.0%	16.7%		6.9%	6.4%	7.0%	6.6%	
Non-GAAP Gross Profit		548.1		640.2		732.5		195.9	202.9	206.0	215.5	820.1	209.3	215.2	218.0	224.3	866.7	223.8	228.9	233.3	239.2	925.1
Non-GAAP Gross Margin		80.2%		80.2%		81.4%		81.9%	82.0%	81.6%	82.7%	82.1%	81.0%	81.0%	81.0%	81.0%	81.0%	81.0%	81.0%	81.0%	81.0%	81.0%
Non-GAAP Research & Development		112.0		113.1		134.0		39.0	43.4	42.1	40.8	165.3	40.3	42.5	41.7	42.9	167.4	42.5	42.4	42.9	42.8	170.7
yoy change		17.0%		0.9%		18.5%		19.7%	30.1%	18.3%	25.8%	23.4%	3.3%	-2.1%	-0.9%	5.1%	1.3%	5.5%	-0.3%	2.9%	-0.2%	1.9%
% of total revenue		16.4%		14.2%		14.9%		16.3%	17.6%	16.7%	15.7%	16.5%	15.6%	16.0%	15.5%	15.5%	15.6%	15.4%	15.0%	14.9%	14.5%	14.9%
Non-GAAP Sales & Marketing		300.0		331.6		332.6		85.5	89.0	82.9	89.4	346.8	93.0	91.6	88.8	86.9	360.4	99.5	101.7	97.9	100.4	399.5
yoy change		24.7%		10.5%		0.3%		1.2%	5.0%	-0.3%	11.6%	4.3%	8.8%	3.0%	7.2%	-2.8%	3.9%	6.9%	11.0%	10.2%	15.5%	10.8%
% of total revenue		43.9%		41.5%		37.0%		35.8%	36.0%	32.8%	34.3%	34.7%	36.0%	34.5%	33.0%	31.4%	33.7%	36.0%	36.0%	34.0%	34.0%	35.0%
Non-GAAP General & Administrative		68.4		74.6		81.8		22.7	22.7	22.1	21.5	89.0	21.4	22.0	22.3	23.0	88.8	22.9	23.5	23.9	24.5	94.8
yoy change		17.3%		9.0%		9.7%		10.2%	16.3%	4.5%	4.7%	8.8%	-5.4%	-3.1%	1.2%	6.8%	-0.2%	6.9%	6.4%	7.0%	6.6%	6.7%
% of total revenue		10.0%		9.3%		9.1%		9.5%	9.2%	8.7%	8.3%	8.9%	8.3%	8.3%	8.3%	8.3%	8.3%	8.3%	8.3%	8.3%	8.3%	8.3%
Non-GAAP Total Operating Expenses		480.5		519.2		548.4		147.2	155.2	147.1	151.8	601.2	154.8	156.2	152.9	152.8	616.7	164.9	167.6	164.7	167.7	664.9
yoy change		21.7%		8.1%		5.6%		6.9%	12.7%	5.2%	14.0%	9.6%	5.2%	0.7%	4.0%	0.7%	2.6%	6.6%	7.3%	7.8%	9.7%	7.8%
Non-GAAP Income from Operations		67.7		121.0		184.1		48.7	47.7	58.9	63.7	219.0	54.5	59.0	65.1	71.4	250.1	58.8	61.3	68.5	71.5	260.2
Non-GAAP Operating Margin		9.9%		15.1%		20.5%		20.4%	19.3%	23.3%	24.4%	21.9%	21.1%	22.2%	24.2%	25.8%	23.4%	21.3%	21.7%	23.8%	24.2%	22.8%
Interest Income (Expense), Net		(0.9)		24.7		23.3		4.9	4.1	3.6	3.4	16.0	2.9	2.5	2.5	2.5	10.4	2.5	2.5	2.5	2.5	10.0
Other Expense, Net		(16.6)		(39.9)		(35.4)		(6.5)	(7.1)	(7.9)	(8.2)	(29.8)	(6.4)	(6.5)	(6.5)	(6.5)	(25.9)	(6.5)	(6.5)	(6.5)	(6.5)	(26.0)
Pretax Non-GAAP Income		50.2		105.8		172.1		47.1	44.7	54.6	58.9	205.2	51.0	55.0	61.1	67.4	234.6	54.8	57.3	64.5	67.5	244.2
Provision for Income Taxes		5.9		8.6		13.5		2.8	3.2	3.1	1.6	10.8	3.1	3.4	3.4	3.4	13.3	2.7	2.7	3.7	4.6	13.7
Effective Tax Rate		12%		8%		8%		6%	7%	6%	3%	5%	6%	6%	6%	5%	6%	5%	5%	6%	7%	6%
Non-GAAP Net Income (Loss)		44.3		97.2		158.6		44.3	41.4	51.4	57.3	194.4	47.9	51.6	57.7	64.1	221.3	52.1	54.6	60.9	62.8	230.4
Non-GAAP Net Income Margin		6.5%		12.2%		17.6%		18.5%	16.8%	20.4%	22.0%	19.5%	18.5%	19.4%	21.5%	23.1%	20.7%	18.9%	19.3%	21.1%	21.3%	20.2%
Non-GAAP Diluted EPS		0.38		0.80		1.29		0.36	0.34	0.42	0.48	1.59	0.41	0.44	0.49	0.54	1.87	0.44	0.47	0.53	0.55	1.99
Basic Shares Outstanding		111.3		115.4		118.8		120.1	121.0	120.5	119.0	120.1	118.0	118.0	118.0	118.0	118.0	117.1	116.2	115.3	114.4	115.8
Diluted Shares Outstanding		117.5		120.7		123.4		124.2	122.9	122.0	119.0	122.0	118.0	118.0	118.0	118.0	118.0	117.1	116.2	115.3	114.4	115.8

Source: Jefferies, Company data

Chart 59 - TENB Balance Sheet

TENABLE HOLDINGS		FY21A		FY22A		FY23A		FY24A		FY25A					FY26E					FY27E				
Balance Sheet, GAAP		YearA		YearA		YearA		YearA		Mar-25A	Jun-25A	Sep-25A	Dec-25A	YearA	Mar-26E	Jun-26E	Sep-26E	Dec-26E	YearE	Mar-27E	Jun-27E	Sep-27E	Dec-27E	YearE
\$ in millions, except per share data																								
Current Assets:																								
Cash and Cash Equivalents	278.0	300.9	237.1	328.6	233.4	175.0	171.9	187.8	187.8	230.1	204.9	194.5	222.3	222.3	230.1	204.9	194.5	222.3	222.3	262.2	247.9	242.8	275.6	275.6
Short-Term Investments	234.3	266.6	236.8	248.5	226.8	211.5	211.7	214.4	214.4	214.4	214.4	214.4	214.4	214.4	214.4	214.4	214.4	214.4	214.4	214.4	214.4	214.4	214.4	214.4
Accounts Receivable, Net	136.6	187.3	220.1	258.7	167.8	181.1	201.0	279.2	279.2	180.9	206.6	239.2	296.3	296.3	180.9	206.6	239.2	296.3	296.3	184.2	213.5	246.4	301.8	301.8
Deferred Commissions	40.3	44.3	49.6	51.8	51.2	50.8	50.6	52.9	52.9	76.7	75.6	73.8	72.9	72.9	76.7	75.6	73.8	72.9	72.9	81.5	83.3	81.0	83.0	83.0
Prepaid Expenses and Other Current Assets	60.2	58.1	61.9	53.0	67.1	54.1	44.2	39.3	39.3	38.8	18.6	5.4	11.1	11.1	38.8	18.6	5.4	11.1	11.1	41.4	19.8	5.8	11.8	11.8
Total Current Assets	749.4	857.2	805.5	940.7	746.4	672.5	679.3	773.6	773.6	740.8	720.1	727.4	817.0	817.0	740.8	720.1	727.4	817.0	817.0	783.7	778.9	790.3	886.7	886.7
Property and Equipment, Net																								
Property and Equipment, Net	36.8	46.7	45.4	39.3	41.3	42.6	40.5	40.1	40.1	41.3	42.6	43.8	45.0	45.0	41.3	42.6	43.8	45.0	45.0	45.7	46.3	46.9	47.5	47.5
Deferred Commissions (Net of Current Portion)	59.6	67.2	72.4	67.9	65.6	64.3	64.5	71.7	71.7	29.8	29.3	28.4	27.8	27.8	29.8	29.3	28.4	27.8	27.8	31.8	32.6	31.3	32.1	32.1
Operating Lease Right-of-Use Assets	38.5	38.5	34.8	45.1	41.0	36.9	35.5	35.6	35.6	35.6	35.6	35.6	35.6	35.6	35.6	35.6	35.6	35.6	35.6	35.6	35.6	35.6	35.6	
Other Assets	31.2	38.0	23.2	13.3	14.2	13.7	12.8	13.6	13.6	18.1	18.6	18.8	19.4	19.4	16.6	17.0	17.3	17.7	17.7	16.6	17.0	17.3	17.7	17.7
Acquired Intangible Assets, Net	71.5	75.4	107.0	94.5	128.6	128.9	122.1	115.3	115.3	108.5	101.9	95.3	88.4	88.4	101.5	101.9	95.3	88.4	88.4	81.5	74.5	67.4	60.1	60.1
Goodwill	261.6	316.5	518.5	556.3	541.3	507.8	507.9	507.9	507.9	507.9	507.9	507.9	507.9	507.9	507.9	507.9	507.9	507.9	507.9	507.9	507.9	507.9	507.9	507.9
Total Assets	1,248.8	1,439.5	1,606.9	1,742.1	1,693.6	1,656.6	1,652.6	1,747.7	1,747.7	1,671.9	1,646.0	1,647.1	1,731.1	1,731.1	1,671.9	1,646.0	1,647.1	1,731.1	1,731.1	1,692.7	1,682.7	1,686.6	1,777.6	1,777.6
Current Liabilities:																								
Accounts Payable & Accrued Expenses	16.3	18.7	16.9	20.0	17.7	18.8	20.1	21.9	21.9	7.1	8.4	5.7	16.4	16.4	7.1	8.4	5.7	16.4	16.4	8.7	17.9	18.2	28.1	28.1
Accrued Compensation	54.1	52.6	66.5	55.8	51.4	55.6	48.4	69.2	69.2	51.7	53.1	53.8	55.4	55.4	51.7	53.1	53.8	55.4	55.4	55.3	56.5	57.6	59.1	59.1
Deferred Revenue	407.5	502.1	580.8	650.4	633.2	624.5	639.6	706.9	706.9	679.3	668.6	684.2	761.7	761.7	679.3	668.6	684.2	761.7	761.7	733.3	723.9	737.5	820.3	820.3
Operating Lease Liabilities	2.3	5.0	6.0	6.8	6.3	7.1	8.3	9.6	9.6	9.6	9.6	9.6	9.6	9.6	9.6	9.6	9.6	9.6	9.6	9.6	9.6	9.6	9.6	
Other Current Liabilities	3.9	5.2	6.7	5.2	6.3	7.2	3.9	5.4	5.4	1.3	1.3	1.3	1.4	1.4	1.3	1.4	1.4	1.4	1.4	1.4	1.4	1.5	1.5	
Total Current Liabilities	483.9	584.2	675.8	738.1	715.0	713.3	720.3	812.9	812.9	749.0	741.1	754.6	844.4	844.4	749.0	741.1	754.6	844.4	844.4	808.2	809.3	824.3	918.5	918.5
Deferred Revenue (Net of Current Portion)																								
Deferred Revenue (Net of Current Portion)	123.4	162.5	169.7	182.7	175.2	173.3	170.9	192.4	192.4	184.7	184.7	184.7	201.3	201.3	184.7	184.7	184.7	201.3	201.3	193.3	193.3	193.3	210.7	210.7
Term Loan, Net of Issuance Costs (Net of Current Portion)	364.7	362.0	359.3	356.7	356.1	355.4	354.8	354.2	354.2	354.2	354.2	354.2	354.2	354.2	354.2	354.2	354.2	354.2	354.2	354.2	354.2	354.2	354.2	354.2
Operating Lease Liabilities (Net of Current Portion)	55.0	52.6	48.1	56.2	54.6	54.1	52.1	50.9	50.9	50.9	50.9	50.9	50.9	50.9	50.9	50.9	50.9	50.9	50.9	50.9	50.9	50.9	50.9	
Other Liabilities	6.5	7.4	7.6	8.3	9.6	9.8	10.2	10.8	10.8	10.8	10.8	10.8	10.8	10.8	10.8	10.8	10.8	10.8	10.8	10.8	10.8	10.8	10.8	
Total Liabilities	1,033.5	1,168.7	1,260.5	1,342.2	1,310.4	1,305.9	1,308.2	1,421.3	1,421.3	1,349.6	1,341.7	1,353.3	1,461.7	1,461.7	1,349.6	1,341.7	1,353.3	1,461.7	1,461.7	1,417.5	1,418.5	1,433.5	1,545.1	1,545.1
Stockholders' Equity:																								
Common Stock	1.1	1.1	1.2	1.2	1.2	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3
Additional Paid in Capital	869.1	1,017.8	1,185.1	1,541.0	1,440.8	1,489.4	1,540.6	1,586.7	1,778.3	1,683.3	1,679.9	1,727.5	1,776.5	1,966.2	1,683.3	1,679.9	1,727.5	1,776.5	1,966.2	1,825.3	1,875.2	1,926.2	1,978.4	2,180.3
Accumulated Other Comprehensive Income	(0.3)	(1.4)	(14.9)	(114.6)	(174.3)	(241.2)	(200.8)	(384.2)	(364.2)	(364.2)	(364.2)	(364.2)	(364.2)	(364.2)	(364.2)	(364.2)	(364.2)	(364.2)	(364.2)	(364.2)	(364.2)	(364.2)	(364.2)	
Accumulated Deficit	(654.5)	(746.8)	(825.0)	(925.0)	(884.3)	(898.7)	(896.7)	(897.5)	(1,089.0)	(947.8)	(1,012.8)	(1,072.7)	(1,144.2)	(1,310.3)	(947.8)	(1,012.8)	(1,072.7)	(1,144.2)	(1,310.3)	(1,187.1)	(1,246.2)	(1,310.2)	(1,383.0)	(1,584.9)
Total Stockholders' Equity	215.3	270.9	346.3	400.0	383.2	350.7	344.4	326.4	326.4	322.3	304.3	291.9	269.4	269.4	322.3	304.3	291.9	269.4	269.4	275.3	264.1	253.1	232.5	232.5
Total Liabilities and Stockholders' Equity	1,248.8	1,439.5	1,606.9	1,742.1	1,693.6	1,656.6	1,652.6	1,747.7	1,747.7	1,671.9	1,646.0	1,647.1	1,731.1	1,731.1	1,671.9	1,646.0	1,647.1	1,731.1	1,731.1	1,692.7	1,682.7	1,686.6	1,777.6	1,777.6

Chart 60 - TENB Statement of Cash Flows

TENABLE HOLDINGS Statement of Cash Flow \$ in millions, except per share amounts	FY2024		FY2025		FY2026		FY2027		FY2028		FY2029		FY2030		FY2031		FY2032		FY2033		FY2034		FY2035	
	YearA	YearB	YearA	YearB	YearA	YearB	YearA	YearB	YearA	YearB	YearA	YearB	YearA	YearB	YearA	YearB	YearA	YearB	YearA	YearB	YearA	YearB	YearA	YearB
Cash Flows from Operating Activities:																								
Net Loss	(73.5)	(99.0)	(42.7)	(46.7)	(92.2)	(78.3)	(36.3)	(22.9)	(14.7)	2.3	(0.7)	(36.1)	(9.6)	(1.9)	3.6	8.4	0.4			(3.6)	(2.3)	2.9	3.3	0.3
Adjustments to Reconcile Net Loss to Net Cash Used in Operating Activities:																								
Depreciation and Amortization	6.2	6.9	10.6	16.2	22.2	27.1	33.2	9.9	10.8	11.1	10.1	42.0	10.0	9.8	10.0	10.3	40.0			10.4	10.6	10.8	11.0	42.8
Stock-Based Compensation	22.9	41.6	59.6	79.4	120.6	145.3	163.5	35.9	46.5	44.9	44.5	191.8	46.2	47.0	47.6	48.9	189.7			48.8	49.9	50.9	52.2	201.9
Other	0.5	1.5	1.2	(6.6)	2.7	0.7	3.3	0.1	0.1	1.1	0.9	2.2	(4.5)	(0.5)	(0.2)	(0.5)	(5.8)			2.8	(0.4)	(0.3)	(0.4)	1.7
Changes in Operating Assets and Liabilities:																								
Accounts Receivable	(17.4)	(25.9)	(20.0)	(17.2)	(51.3)	(30.0)	(38.7)	93.0	(13.2)	(20.0)	(78.0)	(18.2)	98.3	(25.7)	(32.6)	(37.0)	(17.1)			132.1	(29.3)	(32.9)	(5.4)	(5.6)
Prepaid Expenses, Other Current & Non-Current Assets, Deferred Commissions	(15.2)	(19.4)	(19.4)	(46.2)	(2.9)	1.7	26.2	(9.9)	15.0	11.9	(4.1)	12.8	0.6	20.2	13.2	(5.7)	28.3			(30.4)	21.7	14.0	(6.1)	(8.7)
Accounts Payable, Accrued Expenses & Compensation	11.4	10.5	(5.3)	24.3	0.4	7.1	(8.3)	(8.5)	4.4	(5.7)	21.9	12.1	(14.8)	1.3	(2.7)	10.7	(5.5)			(7.6)	9.1	0.3	9.8	11.7
Deferred Revenue	64.1	72.8	71.4	92.5	132.6	81.8	82.6	(32.5)	(10.6)	12.7	88.8	58.4	(27.5)	(10.7)	15.6	77.5	54.8			(26.5)	(9.4)	13.5	82.9	58.6
Other Current & Non-Current Liabilities	(15.5)	(6.3)	8.8	1.0	(7.9)	(6.5)	(8.1)	7.5	4.2	(6.5)	(0.4)	1.5	(4.5)	0.0	0.0	0.0	(4.0)			(0.9)	0.0	0.0	0.0	0.1
Net Cash Used in Operating Activities	(2.8)	(13.2)	64.2	96.9	131.2	149.9	217.5	87.4	42.5	53.9	69.0	266.8	94.5	39.4	54.3	92.6	288.8			194.1	50.0	59.3	97.3	310.3
Cash Flows from Investing Activities:																								
Purchases of Property and Equipment	(5.7)	(20.7)	(20.3)	(3.9)	(9.4)	(1.7)	(4.2)	(6.6)	(4.3)	(0.9)	(0.3)	(12.1)	(2.6)	(2.7)	(2.7)	(2.8)	(10.9)			(2.3)	(2.4)	(2.5)	(2.5)	(9.7)
Capitalized Software Development Costs	-	-	-	(2.7)	(9.8)	(7.1)	(6.3)	(0.6)	(0.7)	(1.4)	(1.8)	(4.5)	(1.8)	(1.8)	(1.8)	(4.0)	-			(1.8)	(1.8)	(1.8)	(1.8)	(4.8)
Purchases of Short-Term Investments	(117.5)	(242.1)	(184.5)	(287.4)	(276.7)	(278.2)	(289.0)	(38.4)	(44.9)	(33.3)	(28.7)	(145.3)	-	-	-	-	-			-	-	-	-	-
Sales and Maturities of Short-Term Investments	-	224.6	209.1	160.9	234.6	317.7	287.5	62.0	61.0	33.2	26.5	182.7	-	-	-	-	-			-	-	-	-	-
Business Combination, Net of Cash Acquired	-	(74.8)	(0.3)	(258.5)	(66.6)	(243.3)	(29.2)	(148.5)	(87.7)	-	-	(196.2)	-	-	-	-	-			-	-	-	-	-
Proceeds from other investments	-	-	-	-	-	-	-	-	0.9	-	-	-	-	-	-	-	-			-	-	-	-	-
Net Cash Used in Investing Activities	(123.2)	(113.1)	4.1	(191.6)	(128.9)	(212.6)	(61.4)	(152.1)	(58.6)	(1.5)	(4.3)	(174.6)	(3.6)	(3.7)	(3.7)	(3.8)	(14.9)			(3.3)	(3.4)	(3.5)	(3.5)	(13.3)
Cash Flows from Financing Activities:																								
Principal Payments Under Finance Lease Obligations	-	-	-	-	-	-	(3.8)	-	(1.9)	(0.9)	(0.9)	(3.8)	(0.9)	(0.9)	(0.9)	(3.7)	(0.9)			(0.9)	(0.9)	(0.9)	(0.9)	(3.7)
Proceeds (Payments) on Term Loans	-	-	2.0	375.0	(3.8)	(3.8)	-	(0.9)	0.9	-	-	-	-	-	-	-	-			-	-	-	-	-
Proceeds from Stock Issued in Connection with the Employee Stock Purchase Plan	-	15.1	13.0	13.7	14.8	16.2	16.3	9.7	0.0	5.8	-	15.5	-	-	-	-	-			-	-	-	-	-
Proceeds from the Exercise of Stock Options	1.7	19.0	21.7	18.3	11.7	5.5	8.1	0.3	1.8	0.2	1.2	3.6	-	-	-	-	-			-	-	-	-	-
Other Financing, Net	263.2	(0.0)	(0.3)	(9.4)	0.6	0.2	(1.9)	(0.0)	(1.3)	(0.6)	(0.6)	(2.0)	(60.0)	(60.0)	(60.0)	(60.0)	(240.0)			(60.0)	(60.0)	(60.0)	(60.0)	(240.0)
Repayment of Corporate Stock	(6.0)	-	-	-	-	-	(100.0)	(60.0)	(60.0)	(60.0)	(60.0)	(240.0)	-	-	-	-	-			-	-	-	-	-
Net Cash Provided by Financing Activities	264.7	34.2	36.4	397.6	23.3	1.3	(79.4)	(58.9)	(65.4)	(54.9)	(62.9)	(234.1)	(68.9)	(68.9)	(68.9)	(68.9)	(243.7)			(64.9)	(68.9)	(68.9)	(68.9)	(243.3)

Source: Jefferies, Company data

Chart 61 - TENB DCF Base Case

Tenable Holdings
Discounted Cash Flow Analysis
\$ in millions, except per share data

	Year 1	Transition	Terminal
Current risk-free rate of return	3.5%		3.5%
Historical risk-free rate of return	5.0%	5.0%	5.0%
Beta	0.86		1.00
Market rate of return	11.5%	11.5%	11.5%
Cost of equity	9.1%		10.0%
Growth rate	As modeled		5.0%

Last reported results as of:	12/31/2025
Cash and Cash Equivalents	402
Total Debt	354
Net Cash and Cash Equivalents	48
LTM Revenues	999
Shares Outstanding (m)	119
Net Cash/Share - 10% of Revenue	(0.44)

Scenario 2, Base Case:																									
Period	HISTORICALS							FORECAST PERIOD				TRANSITIONAL PERIOD					TERMINAL								
	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E		2029E	2030E	2031E	2032E	2033E	2034E	Perpetuity							
Current risk-free rate of return	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%		3.5%	3.5%	3.5%	3.5%	3.5%		3.5%							
Historical risk-free rate of return	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%		5.0%	5.0%	5.0%	5.0%	5.0%		5.0%							
Beta	0.86	0.86	0.86	0.86	0.86	0.86	0.86	0.86	0.86	0.86		0.88	0.91	0.93	0.95	0.98		1.00							
Market return of equity	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%		11.5%	11.5%	11.5%	11.5%	11.5%		11.5%							
Cost of equity	9.1%	9.1%	9.1%	9.1%	9.1%	9.1%	9.1%	9.1%	9.1%	9.1%		9.2%	9.4%	9.5%	9.7%	9.8%		10.0%							
FCF growth rate		-230%	105%	24%	26%	47%	21%	6%	12%	-3%		-1%	0%	1%	2%	4%		5%							
Discount Factor	1.000	1.000	1.000	1.000	1.000	1.000	0.897	0.804	0.721	0.647		0.580	0.520	0.467	0.419	0.375									
Free cash flow to Enterprise (\$mm)	(34)	44	90	112	141	207	250	266	297	290		286	286	289	297	308									
Diluted Shares Outstanding 4Q	98	113	116	118	122	124	119	118	114	116		116	117	118	118	118									
Share Growth %		15%	3%	1%	4%	1%	-4%	-1%	-3%	1%		1%	1%	1%	0%	0%		0%							
Free cash flow to Enterprise per share	(0.35)	0.39	0.77	0.95	1.16	1.67	2.10	2.25	2.60	2.51		2.45	2.44	2.46	2.51	2.60		2.73							54.21
NPV of free cash flow per share	(0.35)	0.39	0.77	0.95	1.16	1.67	1.89	1.81	1.87	1.62		1.42	1.27	1.15	1.05	0.98		20.35							
Cumulative NPV of FCF per share		0.04	1.16	1.73	2.11	2.83	3.56	3.70	3.69	3.49		3.05	2.69	2.42	2.20	2.03		22.38							
Cumulative NPV of FCF (\$mm)							22.4																		
Net cash/share - 10% of revenue							\$																		
Total NPV per share							\$																		

Source: Jefferies, Company data

Chart 62 - QLYS Non-GAAP Income Statement

	FY2022	FY2023	FY2024	FY2025				FY2025	FY2026				FY2026	FY2027				FY2027
(\$ in million except per share data)	FY2022	FY2023	FY2024	Q1	Q2	Q3	Q4	FY2025	Q1	Q2	Q3	Q4	FY2026	Q1	Q2	Q3	Q4	FY2027
Qualys	FY2022	FY2023	FY2024	FY2025				FY2025	FY2026				FY2026	FY2027				FY2027
(\$ in million except per share data)	FY2022	FY2023	FY2024	Q1	Q2	Q3	Q4	FY2025	Q1	Q2	Q3	Q4	FY2026	Q1	Q2	Q3	Q4	FY2027
Fiscal year ending Jan 31	FY2022	FY2023	FY2024	Mar-25A	Jun-25A	Sep-25A	Dec-25A	FY2025	Mar-26E	Jun-26E	Sep-26E	Dec-26E	FY2026	Mar-27E	Jun-27E	Sep-27E	Dec-27E	FY2027
Income Statement Non-GAAP																		
Total Revenues	489.7	554.5	607.6	159.9	164.1	169.9	175.3	669.1	173.6	177.8	182.7	187.1	721.2	188.3	190.9	194.1	199.0	772.4
yoy % growth	19%	13%	10%	10%	10%	10%	10%	10%	9%	8%	8%	7%	8%	8%	7%	6%	6%	7%
qo % growth				0%	3%	4%	3%		-1%	2%	3%	2%		1%	1%	2%	3%	
Cost of Revenue	92.1	97.2	100.5	26.2	26.3	25.0	26.2	103.7	27.8	28.4	29.2	29.9	115.4	30.1	30.5	31.1	31.8	123.6
Gross Profit	397.6	457.3	507.1	133.7	137.8	144.9	149.0	565.4	145.8	149.3	153.4	157.2	605.8	158.2	160.4	163.1	167.2	648.8
Gross Margin %	81.2%	82.5%	83.5%	83.6%	84.0%	85.3%	85.0%	84.5%	84.0%	84.0%	84.0%	84.0%	84.0%	84.0%	84.0%	84.0%	84.0%	84.0%
Operating Expenses																		
Sales & Marketing	87.4	99.5	113.6	29.5	32.7	31.8	35.7	129.7	35.6	36.4	37.4	38.4	147.8	38.6	39.1	39.8	40.8	158.3
qo % growth				(3.1%)	11.1%	(2.9%)	12.4%		(0.4%)	2.4%	2.7%	2.5%		0.6%	1.4%	1.7%	2.5%	
yoy % growth	24.5%	13.8%	14.2%	14.8%	14.8%	9.5%	17.5%	14.2%	20.8%	11.4%	17.8%	7.4%	14.0%	8.5%	7.4%	6.3%	6.3%	7.1%
% of total rev	17.8%	17.9%	18.7%	18.4%	19.9%	18.7%	20.4%	19.4%	20.5%	20.5%	20.5%	20.5%	20.5%	20.5%	20.5%	20.5%	20.5%	20.5%
Research & Development	86.3	89.3	90.6	24.1	25.3	23.7	24.2	97.2	26.5	27.1	27.9	28.5	110.0	28.7	29.1	29.6	30.3	117.8
qo % growth				4.5%	5.1%	(6.2%)	1.9%		9.5%	2.4%	2.7%	2.5%		0.6%	1.4%	1.7%	2.5%	
yoy % growth	22.6%	3.5%	1.5%	8.3%	15.3%	1.2%	5.0%	7.3%	10.1%	7.2%	17.4%	18.1%	13.1%	8.5%	7.4%	6.3%	6.3%	7.1%
% of total rev	17.6%	16.1%	14.9%	15.0%	15.4%	14.0%	13.8%	14.5%	15.3%	15.3%	15.3%	15.3%	15.3%	15.3%	15.3%	15.3%	15.3%	15.3%
General & Administrative	34.3	33.3	35.6	9.0	9.7	9.3	9.0	37.0	9.7	10.3	11.0	11.2	42.2	10.5	11.1	11.6	11.9	45.2
qo % growth				2.0%	8.0%	(3.7%)	(3.4%)		7.7%	6.1%	6.3%	2.5%		(6.7%)	5.0%	5.2%	2.5%	
yoy % growth	16.1%	(3.0%)	7.0%	0.4%	13.7%	0.1%	2.5%	4.0%	8.3%	6.3%	17.3%	24.4%	14.0%	8.5%	7.4%	6.3%	6.3%	7.1%
% of total rev	7.0%	6.0%	5.9%	5.6%	5.9%	5.5%	5.1%	5.5%	5.6%	5.8%	6.0%	6.0%	5.9%	5.6%	5.8%	6.0%	6.0%	5.9%
Total Operating Expenses	207.9	222.0	239.8	62.5	67.7	64.9	68.9	264.0	71.8	73.9	76.3	78.1	300.0	77.9	79.3	81.0	83.1	321.3
yoy % growth	22%	7%	8%	10%	15%	5%	11%	10%	15%	9%	18%	13%	14%	8%	7%	6%	6%	7%
Operating Profit (Loss)	189.6	235.2	267.2	71.2	70.1	80.0	80.1	301.5	74.0	75.5	77.2	79.1	305.7	80.3	81.0	82.0	84.1	327.5
Operating Margin %	38.7%	42.4%	44.0%	44.5%	42.7%	47.1%	45.7%	45.1%	42.7%	42.5%	42.3%	42.3%	42.4%	42.7%	42.5%	42.3%	42.3%	42.4%
Interest Income (net)	5.2	16.9	25.8	6.2	6.4	6.3	6.3	25.3	6.3	5.0	5.0	5.0	21.3	5.0	5.0	5.0	5.0	20.0
Other Income (Expense)	(2.0)	(1.3)	(3.2)	0.3	1.0	(0.9)	(0.8)	(0.4)	0.3	(1.0)	(1.0)	(1.0)	(2.7)	0.3	(1.0)	(1.0)	(1.0)	(2.7)
Total Other Income	3.2	15.6	22.6	6.6	7.4	5.3	5.6	24.9	6.7	4.0	4.0	4.0	18.7	5.3	4.0	4.0	4.0	17.3
Pretax Income (Loss)	192.8	250.8	289.9	77.8	77.5	85.4	85.7	326.4	80.7	79.5	81.2	83.1	324.4	85.6	85.0	86.0	88.1	344.8
Pretax Income Margin																		
Tax Provision	(46.3)	(52.7)	(60.9)	(16.3)	(16.3)	(17.9)	(18.0)	(68.5)	(16.1)	(15.9)	(16.2)	(16.6)	(64.9)	(17.1)	(17.0)	(17.2)	(17.6)	(69.0)
Non-GAAP Tax Rate	(24.0%)	(21.0%)	(21.0%)	(21.0%)	(21.0%)	(21.0%)	(21.0%)	(21.0%)	(20.0%)	(20.0%)	(20.0%)	(20.0%)	(20.0%)	(20.0%)	(20.0%)	(20.0%)	(20.0%)	(20.0%)
Net Income	146.5	198.1	229.0	61.4	61.2	67.4	67.7	257.8	64.6	63.6	64.9	66.5	259.5	68.5	68.0	68.8	70.5	275.8
Net Income Margin	29.9%	35.7%	37.7%	38.4%	37.3%	39.7%	38.6%	38.5%	37.2%	35.8%	35.6%	35.5%	36.0%	36.4%	35.6%	35.4%	35.4%	35.7%
Diluted EPS, Non-GAAP	3.72	5.27	6.13	1.67	1.68	1.86	1.87	7.08	1.79	1.78	1.84	1.91	7.32	1.98	1.98	2.01	2.07	8.03
Basic Shares Outstanding	38.5	36.9	36.8	36.5	36.3	36.0	35.8	36.1	35.7	35.3	34.9	34.5	35.1	34.3	34.1	33.9	33.7	34.0
Diluted Shares Outstanding	39.3	37.6	37.3	36.8	36.5	36.3	36.1	36.4	36.0	35.6	35.2	34.8	35.4	34.6	34.4	34.2	34.0	34.3

Source: Jefferies, Company data

Chart 63 - QLYS Balance Sheet

Analysis	FY2018	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025				FY2026				FY2027						
(\$ in million except per share data)	FY2018	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	Q1	Q2	Q3	Q4	FY2025	Q1	Q2	Q3	Q4	FY2026	Q1	Q2	Q3	Q4	FY2027
Fiscal year ending Jan 31	FY2018	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	Mar-25A	Jun-25A	Sep-25A	Dec-25A	FY2025	Mar-26E	Jun-26E	Sep-26E	Dec-26E	FY2026	Mar-27E	Jun-27E	Sep-27E	Dec-27E	FY2027
Balance Sheet																						
Assets																						
Current Assets																						
Cash and Cash Equivalents	41.0	87.6	74.1	137.3	173.7	203.7	232.2	290.7	194.0	225.3	250.3	250.3	354.8	389.9	474.2	551.2	551.2	660.0	701.1	795.5	880.2	880.2
Restricted Cash	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Short-Term Marketable Securities	248.1	211.3	281.9	268.0	147.6	221.9	149.2	150.2	176.0	193.3	195.7	195.7	195.7	195.7	195.7	195.7	195.7	195.7	195.7	195.7	195.7	195.7
Accounts Receivable	75.8	78.0	100.2	109.0	121.8	146.2	164.6	121.6	128.7	138.4	171.0	171.0	122.4	132.4	125.8	174.7	174.7	127.6	131.5	128.4	170.3	170.3
Deferred Tax Assets, Current	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Prepaid Expenses and Other	14.0	18.7	19.1	32.1	30.2	26.7	39.7	39.5	44.3	49.7	40.7	40.7	45.1	49.8	56.6	43.0	43.0	45.2	49.6	52.4	43.8	43.8
Total Current Assets	379.9	395.6	475.3	546.4	475.3	600.0	585.7	601.9	543.0	596.7	657.6	657.6	719.1	767.7	852.4	964.6	964.6	1028.5	1077.9	1173.0	1289.9	1289.9
Non-Current Assets																						
Long-Term Marketable Securities	76.7	119.5	98.5	111.2	59.2	56.6	193.9	199.0	251.2	245.0	250.9	250.9	250.9	250.9	250.9	250.9	250.9	250.9	250.9	250.9	250.9	250.9
Restricted Cash	1.2	12.2	1.2	1.2	2.7	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2
Long-Term Investments	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Property and Equipment	61.4	60.6	64.9	61.9	47.4	32.6	30.3	28.3	26.2	24.8	23.2	23.2	21.5	21.0	20.6	20.3	20.3	19.7	19.2	18.9	18.6	18.6
Operating Leases - Right of Use Asset	0.0	40.6	44.8	37.0	33.8	22.4	41.0	41.3	48.7	48.0	46.0	46.0	46.0	46.0	46.0	46.0	46.0	46.0	46.0	46.0	46.0	46.0
Deferred Tax Assets	26.4	18.8	15.8	25.1	45.4	62.8	81.3	86.1	91.6	76.3	74.5	74.5	75.5	74.6	73.9	75.4	75.4	75.1	73.9	73.8	75.3	75.3
Intangible Assets	22.0	16.8	12.0	6.5	12.8	9.7	6.8	6.2	5.5	4.9	4.3	4.3	4.3	4.3	4.3	4.3	4.3	4.3	4.3	4.3	4.3	4.3
Goodwill	7.2	7.4	7.4	7.4	7.4	7.4	7.4	7.4	7.4	7.4	7.4	7.4	7.4	7.4	7.4	7.4	7.4	7.4	7.4	7.4	7.4	7.4
Other Non-Current Assets	11.8	15.1	16.9	17.8	18.0	19.9	25.9	25.1	24.8	27.7	30.0	30.0	24.3	24.9	25.6	26.2	26.2	26.4	26.7	27.2	27.9	27.9
Total Non-Current Assets	206.7	280.0	261.5	268.2	227.6	212.6	387.8	394.5	456.5	435.3	437.5	437.5	431.1	430.2	429.8	431.7	431.7	430.9	429.6	429.6	431.6	431.6
Total Assets	585.7	675.6	736.8	814.6	700.9	812.6	973.5	996.5	999.5	1032.0	1095.1	1095.1	1150.2	1197.9	1282.1	1396.3	1396.3	1459.4	1507.5	1602.6	1721.4	1721.4
Liabilities and Stockholders' Equity																						
Current Liabilities																						
Accounts Payable	5.6	0.8	0.7	1.3	2.8	1.0	1.3	1.3	2.0	1.8	1.2	1.2	1.7	1.7	1.8	1.8	1.8	1.8	1.9	1.9	1.9	1.9
Accrued Liabilities	26.7	29.8	29.8	32.5	42.6	43.1	45.9	52.9	52.8	51.1	57.7	57.7	57.3	53.3	51.1	61.8	61.8	67.8	63.0	62.1	67.8	67.8
Deferred Liabilities	164.6	192.2	213.5	257.9	293.7	333.3	371.5	366.8	355.0	371.5	401.1	401.1	382.4	376.9	397.8	431.3	431.3	417.1	398.5	424.4	461.3	461.3
Operating Lease Liabilities	0.0	7.7	12.6	11.6	13.1	11.9	9.7	11.0	7.1	7.3	7.3	7.3	7.3	7.3	7.3	7.3	7.3	7.3	7.3	7.3	7.3	7.3
Capital Lease	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Capital Lease Obligations	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total Current Liabilities	196.9	223.5	255.7	304.3	352.2	389.2	428.4	432.0	416.8	431.8	467.3	467.3	458.6	439.3	458.0	502.2	502.2	494.1	470.7	495.7	540.2	540.2
Non-Current Liabilities																						
Deferred revenues, noncurrent	20.4	20.9	30.5	32.8	29.3	31.7	24.3	22.1	19.2	16.3	16.3	16.3	15.8	15.8	12.6	12.4	12.4	12.0	12.0	9.6	9.4	9.4
Operating lease liability, noncurrent	0.0	44.0	45.7	35.9	23.1	16.9	37.5	37.7	48.2	47.3	45.0	45.0	45.0	45.0	45.0	45.0	45.0	45.0	45.0	45.0	45.0	45.0
Income taxes payable, noncurrent	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other noncurrent liabilities	10.4	0.4	0.4	4.9	7.0	6.7	6.3	6.7	7.0	7.2	5.3	5.3	6.9	7.1	7.3	7.5	7.5	7.5	7.6	7.8	8.0	8.0
Capital lease obligations, noncurrent	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total Non-Current Liabilities	30.8	65.3	76.6	73.6	59.6	55.2	68.0	66.4	74.5	70.8	66.6	66.6	67.7	67.9	64.9	64.8	64.8	64.5	64.6	62.3	62.3	62.3
Total Liabilities	227.7	288.8	332.3	377.8	411.8	444.4	496.4	498.4	491.3	502.6	533.9	533.9	526.3	507.2	522.9	567.1	567.1	558.6	535.3	558.1	602.6	602.6
Stockholders' Equity																						
Preferred Stock	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Common Stock	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Additional Paid-in Capital	330.6	362.4	401.4	477.3	512.5	597.9	664.9	677.5	691.9	710.5	731.8	731.8	747.0	767.7	789.1	811.0	811.0	832.6	854.6	877.1	900.4	900.4
Accumulated Other Comprehensive Loss	-0.6	-1.2	-0.5	-1.0	-1.9	-1.7	-1.4	-0.1	-4.1	-4.2	-4.0	-4.0	-4.0	-4.0	-4.0	-4.0	-4.0	-4.0	-4.0	-4.0	-4.0	-4.0
Retained Earnings	23.2	22.1	22.1	22.1	22.1	22.1	22.1	22.1	22.1	22.1	22.1	22.1	22.1	22.1	22.1	22.1	22.1	22.1	22.1	22.1	22.1	22.1
Total Stockholders' Equity	358.0	386.8	404.5	436.7	289.1	368.2	477.1	498.0	508.2	529.4	561.2	561.2	623.8	690.7	759.2	829.2	829.2	900.8	972.2	1044.6	1118.9	1118.9
Total Liabilities and Stockholders' Equity	585.7	675.6	736.8	814.6	700.9	812.6	973.5	996.5	999.5	1032.0	1095.1	1095.1	1150.2	1197.9	1282.1	1396.3	1396.3	1459.4	1507.5	1602.6	1721.4	1721.4

Chart 64 - QLYS Statement of Cash Flows

Qualys																								
(\$ in million except per share data)	FY2018	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025				FY2026				FY2027								
Fiscal year ending Jan 31								Q1	Q2	Q3	Q4	FY2025	Q1	Q2	Q3	Q4	FY2026	Q1	Q2	Q3	Q4	FY2027		
Cash Flow Statement								Mar-25A	Jun-25A	Sep-25A	Dec-25A		Mar-26E	Jun-26E	Sep-26E	Dec-26E		Mar-27E	Jun-27E	Sep-27E	Dec-27E			
Cash Flows from Operating Activities																								
Net income	57.3	69.3	91.6	71.0	108.0	151.6	173.7	47.5	47.3	50.3	53.2	198.3	47.5	46.2	47.1	48.1	188.8	50.1	49.4	49.8	51.0	200.3		
Depreciation and Amortization Expense	28.9	31.2	32.8	35.9	34.6	27.0	18.5	4.2	4.0	3.2	3.1	14.5	4.1	3.9	3.8	3.7	15.5	3.7	3.6	3.5	3.5	14.3		
Write off of Noncurrent Asset	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Provision for Credit Losses	0.1	0.2	0.5	0.4	0.6	0.5	0.8	0.2	0.6	0.3	0.1	1.2	0.1	0.1	0.1	0.1	0.5	0.1	0.1	0.1	0.1	0.5		
Loss on Disposal of Property and Equipment	0.0	0.2	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Loss on Non-Marketable Securities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Stock-Based Compensation	30.1	34.9	40.0	67.6	53.4	69.1	77.1	18.8	18.0	19.4	20.7	77.0	19.9	20.4	21.0	21.5	82.8	21.6	21.9	22.3	22.9	88.7		
Amortization of Premiums & Accretion of Discounts on Ir	(1.1)	(1.6)	0.8	3.9	0.8	(5.7)	(6.7)	(1.1)	(0.9)	(0.8)	(0.6)	(3.4)	(1.0)	(1.0)	(1.0)	(1.0)	(4.0)	(1.0)	(1.0)	(1.0)	(1.0)	(4.0)		
Excess Tax Benefits from SRC	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Deferred Income Taxes	(2.5)	7.1	3.5	(9.7)	(20.3)	(16.6)	(19.5)	(4.4)	(4.2)	15.3	1.7	8.4	(1.0)	0.9	0.7	(1.6)	(0.9)	0.3	1.2	0.1	(1.5)	0.1		
Other Operating Activities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Changes in Operating Assets and Liabilities:																								
Accounts Receivable	(11.5)	(2.5)	(22.6)	(9.2)	(13.4)	(25.0)	(19.1)	42.8	(7.8)	(0.0)	(42.7)	(7.7)	47.6	(8.9)	6.5	(48.8)	(3.7)	47.0	(3.9)	2.1	(40.8)	4.4		
Prepaid Expenses and Other Assets	(6.0)	(2.3)	(15.7)	3.9	(3.4)	(14.7)	0.2	(4.8)	(8.8)	5.6	(7.8)	(4.4)	(4.7)	(6.8)	13.6	(2.4)	(2.2)	(4.4)	(2.8)	8.6	(0.7)	0.0		
Restricted Cash	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Accounts Payable	3.5	(1.1)	(0.4)	(0.0)	2.1	(1.6)	0.2	(0.1)	0.8	(0.1)	(0.6)	0.0	0.5	0.0	0.0	0.0	0.6	0.0	0.0	0.0	0.0	0.1		
Accrued Liabilities & Other	0.7	1.5	9.3	3.9	0.5	2.9	8.3	(4.6)	(2.1)	5.6	7.2	(0.4)	(3.9)	(2.2)	10.6	4.1	6.0	(4.8)	(0.9)	7.5	7.5	7.9		
Deferred Revenues	24.7	28.1	30.9	46.6	25.2	47.7	30.8	(6.8)	(14.7)	11.6	29.6	21.7	(9.3)	(15.4)	17.7	33.3	26.3	(14.6)	(18.6)	23.5	36.7	27.0		
Income Taxes Payable	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other Noncurrent Liabilities	(0.5)	(0.0)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	1.6	0.2	0.2	0.2	2.1	0.0	0.1	0.1	0.2	0.5		
Net Cash Provided by Operating Activities	125.5	160.6	180.1	200.6	198.9	244.6	244.1	109.6	33.8	90.4	75.7	309.4	105.2	37.7	87.1	79.8	309.8	111.2	43.6	97.0	87.2	339.0		
Cash Flow from Investing Activities																								
Purchases of Marketable Securities	(339.9)	(331.1)	(391.7)	(368.5)	(178.8)	(306.8)	(368.3)	(55.5)	(128.0)	(91.8)	(73.8)	(349.2)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Sales and Maturities of Investments	285.2	328.4	341.9	363.9	347.8	242.4	309.2	50.5	50.2	81.6	65.9	248.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Purchases of Property and Equipment	(22.8)	(27.6)	(30.0)	(24.4)	(15.4)	(8.8)	(12.3)	(2.0)	(1.3)	(0.9)	(0.7)	(5.0)	(1.8)	(2.7)	(2.7)	(2.8)	(10.0)	(2.4)	(2.5)	(2.5)	(2.6)	(10.0)		
Purchases of Intangible Assets	(13.6)	(4.1)	(1.5)	(1.2)	(8.6)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Business Acquisitions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other Investing Activities	(2.5)	(0.6)	0.4	0.6	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Net Cash Provided by Investing Activities	(93.5)	(35.0)	(80.9)	(29.5)	145.1	(73.2)	(71.4)	(7.0)	(79.1)	(11.2)	(8.6)	(105.9)	(1.8)	(2.7)	(2.7)	(2.9)	(10.0)	(2.4)	(2.5)	(2.5)	(2.6)	(10.0)		
Cash Flow from Financing Activities																								
Excess Tax Benefits from SRC	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Payments for Taxes (net share settlement of equity award	(14.9)	(15.7)	(20.2)	(27.8)	(17.6)	(22.3)	(28.4)	(10.8)	(4.4)	(4.9)	(4.8)	(25.0)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Proceeds from Issuance of Common Stock (ESOP)	0.0	0.0	0.0	0.0	4.4	6.1	6.9	3.8	0.0	2.9	0.0	6.8	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Principal Payments under Capital Lease Obligations	(1.6)	(1.7)	(0.1)	(0.1)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Repurchase of Common Stock	(85.0)	(86.4)	(126.7)	(130.0)	(317.3)	(170.8)	(139.9)	(99.7)	(49.9)	(49.2)	(44.7)	(183.4)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Non-Contingent Payment Related to Acquisition	0.0	0.0	0.0	0.0	0.0	0.0	(1.5)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Payment of Consideration Related to Acquisition	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Proceeds from Exercise of Stock Options	24.1	24.8	34.5	50.0	24.5	45.6	17.3	2.6	3.0	3.3	7.4	16.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Proceeds from Early Exercise of Stock Options	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Proceeds from Issuance of Series C Preferred Stock	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Net Cash Provided by Financing Activities	(77.5)	(79.0)	(112.6)	(107.9)	(306.0)	(141.5)	(145.7)	(44.1)	(51.4)	(47.9)	(42.1)	(185.4)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Source: Jefferies, Company data

Chart 65 - QLYS DCF Base Case

Qualys

Discounted Cash Flow Analysis

\$ in millions, except per share data

	Year 1	Transition	Terminal
Current risk-free rate of return	3.5%		3.5%
Historical risk-free rate of return	5.0%	5.0%	5.0%
Beta	0.49		1.00
Market return of equity	11.5%	11.5%	11.5%
Cost of equity	6.7%		10.0%
Growth rate	As modeled		5.0%

Last reported results as of:

	12/31/2025
Cash and Cash Equivalents	445.9
Total Debt	0.0
Net Cash and Cash Equivalents	445.9
LTM Revenues	669
Shares Outstanding (m)	36.4
Net Cash/Share - 10% of Revenue	\$ 10.40

Scenario 2, Base Case: Company continues to have robust but moderating new business growth - maintains its current gross retention rate of 94%

	HISTORICALS										FORECAST PERIOD			TRANSITIONARY PERIOD					TERMINAL	
	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	Perpetuity	
Current risk-free rate of return	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	
Historical risk-free rate of return	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	
Beta	0.49	0.49	0.49	0.49	0.49	0.49	0.49	0.49	0.49	0.49	0.49	0.49	0.58	0.66	0.75	0.83	0.92	1.00		
Market return of equity	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	
Cost of equity	6.7%	6.7%	6.7%	6.7%	6.7%	6.7%	6.7%	6.7%	6.7%	6.7%	6.7%	6.7%	7.2%	7.8%	8.3%	8.9%	9.4%	10.0%		
FCF growth rate	NM	44.7%	29.9%	14.2%	17.5%	4.2%	28.5%	-1.7%	31.3%	-1.5%	9.7%	-23%	-17.9%	-13.3%	-8.8%	-4.2%	0.4%	5.0%		
Discount Factor	1.000	1.000	1.000	1.000	1.000	1.000	1.000	1.000	1.000	0.937	0.879	0.824	0.756	0.687	0.618	0.551	0.486			
Free cash flow to Enterprise (\$mm)	69.8	101.1	131.3	149.9	176.1	183.5	235.8	231.8	304.4	299.8	328.9	254.9	209.3	181.4	165.5	158.6	159.3			
Diluted Shares Outstanding 4Q	41.2	41.6	40.9	40.4	40.0	38.5	37.7	37.0	36.1	34.8	34.3	34.5	34.7	34.8	34.9	34.9	34.9			
Share Growth %		1.0%	-1.6%	-1.2%	-1.0%	-3.9%	-1.9%	-2.0%	-2.3%	-3.6%	-1.4%	0.5%	0.4%	0.3%	0.2%	0.2%	0.1%	0%		
Free cash flow to Enterprise per share										8.6	9.6	7.4	6.0	5.2	4.7	4.5	4.6	4.8	95.7	
NPV of free cash flow per share										8.1	8.4	6.1	4.6	3.6	2.9	2.5	2.2		46.5	
Cumulative NPV of FCF per share										8.1	16.5	22.6	27.1	30.7	33.6	36.2	38.4		84.8	
Cumulative NPV of FCF (\$mm)	84.8																			
Net cash/share - 10% of revenue	\$	10.40																		
Total NPV per share	\$	95.25																		

Chart 66 - RDWR Non-GAAP Income Statement

Income Statement, Non-GAAP		FY20		FY21	FY22	FY23	FY24	FY25					FY26					FY27				
\$ in millions, except per share data		FY20	FY20	FY21	FY22	FY23	FY24	Mar Q1'25	Jun Q2'25	Sep Q3'25	Dec Q4'25	FY25	MarE Q1'26	JunE Q2'26	SepE Q3'26	DecE Q4'26	FY26	MarE Q1'27	JunE Q2'27	SepE Q3'27	DecE Q4'27	FY27
Revenue		250.0	286.5	293.4	261.3	274.9		72.1	74.2	75.3	80.2	301.9	78.6	80.5	81.7	86.7	327.5	84.9	87.0	88.2	93.6	353.7
yoy change		-1%	15%		-11%	5%		10.7%	10%	8%	10%	10%	9.0%	9%	9%	8%	8%	8%	8%	8%	8%	8%
qoq change								-1%	3%	1%	7%		-2%	2%	1%	6%		-2%	2%	1%	6%	
Cost of Goods Sold		43.0	50.4	49.8	47.2	48.9		12.9	13.2	13.4	14.3	53.8	14.1	14.3	14.5	15.4	58.3	15.3	15.7	15.9	16.8	63.7
Gross Profit		207.0	236.1	243.6	214.1	226.0		59.2	61.0	61.9	65.9	248.1	64.4	66.2	67.2	71.3	269.1	69.6	71.3	72.4	76.8	290.0
Gross Margin (%)		83%	82%	83%	82%	82%		82%	82%	82%	82%	82%	82%	82%	82%	82%	82%	82%	82%	82%	82%	82%
R&D		62.4	68.7	79.3	74.1	68.6		17.6	18.1	18.4	19.3	73.3	18.9	20.1	20.4	21.7	81.1	19.9	20.4	20.7	22.0	83.1
yoy change		6%	10%	15%	-7%	-7%		2%	5%	7%	13%	7%	7%	12%	11%	12%	11%	6%	2%	2%	2%	3%
qoq change								3%	3%	2%	5%		-2%	7%	1%	6%		-6%	2%	1%	6%	
% of Revenue		25%	24%	27%	28%	25%		24%	24%	24%	24%	24%	24%	25%	25%	25%	25%	24%	24%	24%	24%	24%
S&M		104.7	111.0	115.3	111.8	111.6		28.2	28.6	28.9	29.7	115.5	30.6	31.6	32.1	33.4	127.7	32.7	32.6	33.1	34.6	133.0
yoy change		2%	6%	4%	-3%	0%		4%	6%	4%	1%	4%	9%	11%	11%	12%	11%	7%	3%	3%	4%	4%
qoq change								-4%	2%	1%	3%		3%	3%	1%	4%		-2%	0%	1%	5%	
% of Revenue		42%	39%	39%	43%	41%		39%	39%	38%	37%	38%	39%	39%	39%	39%	39%	39%	38%	38%	37%	38%
G&A		14.8	17.6	19.4	18.8	19.0		4.8	4.8	4.9	5.0	19.6	5.0	5.2	5.3	5.6	21.2	5.4	5.4	5.4	5.6	21.8
yoy change		3%	18%	11%	-3%	1%		2%	2%	3%	6%	3%	3%	9%	8%	12%	8%	8%	4%	1%	0%	3%
qoq change								2%	-1%	2%	3%		-1%	5%	1%	6%		-1%	1%	-1%	4%	
% of Revenue		6%	6%	7%	7%	7%		7%	6%	7%	6%	6%	6%	7%	7%	7%	6%	6%	6%	6%	6%	6%
Total Operating Expenses		182.0	197.3	214.0	204.8	199.2		50.6	51.5	52.3	54.1	208.4	54.5	57.0	57.8	60.7	230.0	58.0	58.5	59.2	62.2	237.9
% of Revenue		73%	69%	73%	78%	72%		70%	69%	69%	67%	69%	69%	71%	71%	70%	70%	68%	67%	67%	67%	67%
Operating Income		25.1	38.9	29.7	9.3	26.8		8.6	9.5	9.6	11.9	39.6	9.9	9.2	9.4	10.6	39.2	11.6	12.8	13.1	14.5	52.1
Operating Margin (%)		10%	14%	10%	4%	9.8%		11.9%	12.8%	12.8%	14.8%	13.1%	12.7%	11.5%	11.5%	12.3%	12.0%	13.7%	14.8%	14.9%	15.5%	14.7%
Financial Income		10.3	6.2	6.8	13.7	17.8		5.4	5.4	5.3	5.1	21.1	5.0	5.0	5.0	5.0	20.0	5.0	5.0	5.0	5.0	20.0
Income (loss) before taxes on income		35.4	45.1	36.4	23.0	44.6		14.0	14.9	14.9	17.0	60.8	14.9	14.2	14.4	15.6	59.2	16.6	17.8	18.1	19.5	72.1
Taxes on Income		4.6	6.8	5.1	4.1	6.9		2.2	2.3	2.3	2.5	9.3	2.2	2.1	2.1	2.3	8.8	2.5	2.7	2.7	2.9	10.7
Tax Rate		13%	15%	14%	18%	15%		15%	15%	15%	15%	15%	15%	15%	15%	15%	15%	15%	15%	15%	15%	15%
Net Income		30.8	38.3	31.3	18.9	37.7		11.8	12.6	12.6	14.5	51.5	12.7	12.1	12.3	13.3	50.4	14.1	15.2	15.4	16.6	61.3
Non-GAAP EPS		0.64	0.81	0.69	0.44	0.87		0.27	0.28	0.28	0.32	1.15	0.28	0.27	0.28	0.30	1.13	0.32	0.34	0.35	0.37	1.39
Basic Sharecount		46.5	45.9	44.9	42.9	42.0		42.7	42.7	42.8	43.3	42.9	43.0	42.7	42.4	42.1	42.5	42.2	42.3	42.4	42.5	42.4
Diluted Sharecount		47.7	47.5	45.5	43.3	43.3		44.2	44.5	45.0	45.1	44.7	44.8	44.5	44.3	44.0	44.4	44.1	44.2	44.3	44.4	44.2

Source: Jefferies, Company data

Chart 67 - RDWR Balance Sheet

Radware Ltd		FY21	FY22	FY23	FY24	FY25					FY26					FY27				
Balance Sheet		FY21	FY22	FY23	FY24	Mar Q1'25	Jun Q2'25	Sep Q3'25	Dec Q4'25	FY25	MarE Q1'26	JunE Q2'26	SepE Q3'26	DecE Q4'26	FY26	MarE Q1'27	JunE Q2'27	SepE Q3'27	DecE Q4'27	FY27
\$ in millions, except per share data																				
Assets																				
Cash and cash equivalents		92.5	46.2	70.5	98.7	114.2	103.8	87.3	105.1	105.1	118.0	118.6	107.3	107.1	107.1	131.8	145.4	150.4	163.4	163.4
Marketable securities		39.5	44.2	86.4	73.0	55.1	35.4	25.2	15.9	15.9	15.9	15.9	15.9	15.9	15.9	15.9	15.9	15.9	15.9	15.9
Short-term bank deposits		155.9	207.7	173.7	104.1	122.4	134.2	128.6	136.3	136.3	136.3	136.3	136.3	136.3	136.3	136.3	136.3	136.3	136.3	136.3
Accounts Receivable, net		13.2	17.8	20.3	16.8	25.0	22.9	30.0	35.0	35.0	29.7	30.4	30.0	34.7	34.7	30.2	31.9	32.4	34.3	34.3
Other receivables and prepaid expenses		8.0	7.2	9.5	14.2	9.6	13.7	14.7	11.0	11.0	12.6	14.5	14.7	13.9	13.9	17.0	16.5	16.8	17.8	17.8
Inventories		11.6	11.4	15.5	14.0	13.5	13.3	13.3	13.2	13.2	14.1	14.3	14.5	15.4	15.4	15.3	15.7	15.9	16.8	16.8
Current Assets		320.7	334.4	375.9	320.9	339.9	323.4	299.1	316.5	316.5	326.6	330.0	318.7	323.2	323.2	346.4	361.7	367.5	384.6	384.6
Marketable securities		98.2	90.1	33.1	29.5	31.2	56.4	65.6	71.4	71.4	71.4	71.4	71.4	71.4	71.4	71.4	71.4	71.4	71.4	71.4
Long-term bank deposits		79.7	43.8	0.0	114.4	125.0	129.2	147.9	131.9	131.9	131.9	131.9	131.9	131.9	131.9	131.9	131.9	131.9	131.9	131.9
Other Assets		2.5	2.1	2.2	2.2	2.2	2.4	2.6	2.8	2.8	2.8	2.8	2.8	2.8	2.8	2.8	2.8	2.8	2.8	2.8
Long-term Investments		180.4	136.1	35.3	146.0	158.4	188.0	216.1	206.2	206.2	206.2	206.2	206.2	206.2	206.2	206.2	206.2	206.2	206.2	206.2
Property and equipment, net		20.2	21.1	18.2	15.6	14.6	15.4	15.4	16.5	16.5	16.3	16.3	16.5	16.9	16.9	16.6	16.5	16.7	17.0	17.0
Goodwill and Intangibles		51.9	87.7	106.0	79.8	68.0	68.0	76.8	75.8	75.8	75.8	75.8	75.8	75.8	75.8	75.8	75.8	75.8	75.8	75.8
Other assets		62.2	64.3	36.5	56.4	64.8	63.7	54.0	56.3	56.3	55.1	56.5	57.3	60.8	60.8	59.5	61.0	61.9	65.6	65.6
Total assets		635.4	643.6	571.9	618.7	645.7	658.5	661.5	671.2	671.2	679.9	684.7	674.4	682.7	682.7	704.4	721.1	728.1	749.2	749.2
LIABILITIES																				
Accounts Payable		4.3	6.5	4.3	5.6	3.6	4.1	5.6	7.2	7.2	5.0	5.2	5.3	5.6	5.6	5.4	5.7	5.8	6.6	6.6
Deferred Revenue, ST		99.9	108.2	105.0	106.3	119.3	119.7	107.5	112.1	112.1	110.9	115.4	108.4	105.2	105.2	104.1	108.3	104.0	100.9	100.9
Other payables and accrued expenses		61.7	49.3	45.7	56.6	60.3	60.7	65.1	74.4	74.4	76.2	78.1	79.3	88.4	88.4	89.1	89.6	91.8	99.2	99.2
Current Liabilities		165.9	164.0	155.0	168.5	183.3	184.5	178.2	193.7	193.7	192.2	198.7	193.0	199.2	199.2	198.7	203.6	201.6	206.6	206.6
Deferred Revenue, LT		67.1	72.2	60.5	64.7	69.5	67.8	67.8	65.8	65.8	77.6	74.5	69.3	67.2	67.2	79.3	76.1	70.8	68.7	68.7
Other non-current liabilities		32.4	38.9	33.1	28.4	26.8	26.6	25.7	21.0	21.0	27.5	28.2	28.6	30.3	30.3	29.7	30.4	30.9	32.8	32.8
Total Liabilities		265.4	275.1	248.6	261.6	279.6	278.8	271.8	280.5	280.5	297.3	301.4	290.9	296.8	296.8	307.7	310.2	303.3	308.1	308.1
Non-controlling Interest		0.0	36.3	39.2	40.8	41.0	41.2	41.3	41.3	41.3	41.3	41.3	41.3	41.3	41.3	41.3	41.3	41.3	41.3	41.3
EQUITY																				
Stockholders' Equity		370.0	332.2	284.1	316.3	325.1	338.6	348.4	349.4	349.4	341.3	342.0	342.2	344.6	344.6	355.4	369.6	383.5	399.8	399.8
Total Liabilities and Shareholders Equity		635.4	643.6	571.9	618.7	645.7	658.5	661.5	671.2	671.2	679.9	684.7	674.4	682.7	682.7	704.4	721.1	728.1	749.2	749.2

Source: Jefferies, Company data

Chart 68 - RDWR Statement of Cash Flows

Radware Ltd	FY20		FY21		FY22		FY23		FY24		FY25					FY26					FY27				
Cash Flow Statement	FY20	FY21	FY22	FY23	FY24	Mar	Jun	Sep	Dec	FY25	MarE	JunE	SepE	DecE	FY26	MarE	JunE	SepE	DecE	FY26	MarE	JunE	SepE	DecE	FY27
\$ in millions, except per share data																									
OPERATING ACTIVITIES																									
Net Income	9.6	7.8	(0.2)	(21.6)	6.0	4.3	4.2	5.7	6.0	20.3	4.3	3.5	3.5	4.1	15.5	5.1	5.9	6.1	6.7	23.8					
Depreciation and amortization	10.6	10.2	11.7	12.2	11.8	3.2	2.8	2.8	2.9	11.7	3.5	3.4	3.2	3.3	13.4	3.8	3.7	3.4	3.5	14.4					
Stock based compensation	16.5	17.6	27.4	34.0	26.0	5.9	5.6	5.4	7.1	24.0	6.9	7.1	7.2	7.7	29.0	7.5	7.7	7.8	8.3	31.3					
Gain from sale of available-for-sale marketable securities	(0.9)	(0.4)	(0.1)	0.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0					
Amortization of premiums, accretion of discounts /	0.7	2.7	2.3	1.8	(0.4)	(0.2)	(0.1)	0.2	0.1	0.0	(0.2)	(0.1)	0.2	0.1	0.0	(0.2)	(0.1)	0.2	0.1	0.0					
Accrued interest on bank deposits	(1.2)	2.4	(2.5)	(3.3)	3.4	(1.8)	(2.3)	(1.6)	(2.0)	(7.7)	(1.8)	(2.3)	(1.6)	(2.0)	(7.7)	(1.8)	(2.3)	(1.6)	(2.0)	(7.7)					
Increase in accrued severance pay, net	0.2	0.5	0.2	(0.3)	(0.0)	0.1	0.0	(0.0)	0.1	0.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0					
Changes in deferred income taxes	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0					
Increase in trade receivables, net	5.8	9.9	(4.6)	(1.2)	3.4	(8.2)	2.2	(7.1)	(5.0)	(18.2)	5.3	(0.7)	0.5	(4.7)	0.4	4.5	(1.7)	(0.5)	(2.0)	0.3					
Increase in other assets and prepaid expenses	(4.9)	(7.6)	(5.7)	(0.1)	(0.1)	(0.2)	(1.0)	(2.5)	(0.8)	(4.5)	(1.6)	(1.9)	(0.2)	0.8	(2.9)	(3.1)	0.4	(0.2)	(1.0)	(3.9)					
Decrease (increase) in inventories	0.0	2.4	0.2	(5.5)	1.5	0.5	0.2	(0.0)	0.1	0.8	(0.9)	(0.2)	(0.2)	(0.9)	(2.2)	0.1	(0.4)	(0.2)	(1.0)	(1.5)					
Decrease in trade payables	(2.4)	(0.1)	3.8	(2.2)	1.3	(1.9)	0.5	1.5	1.6	1.7	(2.2)	0.2	0.1	0.3	(1.6)	(0.2)	0.3	0.1	0.7	0.9					
Increase in deferred revenues	16.2	20.1	1.2	(27.7)	(2.0)	17.6	(1.3)	(12.1)	2.5	6.8	10.7	1.3	(12.1)	(5.3)	(5.4)	11.0	1.0	(8.7)	(5.2)	(2.9)					
Increase (decrease) in other payables/accrued exp/other	13.7	5.2	0.0	11.2	20.8	3.2	2.4	3.4	4.5	13.5	1.8	1.9	1.2	9.1	14.0	0.7	0.5	2.2	7.4	10.8					
Tax benefit related to exercise of stock options	0.0	1.2	(1.6)	(1.1)	(0.1)	(0.2)	1.3	0.0	0.4	1.4	(0.2)	1.3	0.0	0.4	1.4	(0.2)	1.3	0.0	0.4	1.4					
Operating lease liabilities, net	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.2	0.0	0.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0					
Net cash provided by (used in) Operating activities	63.9	71.8	32.1	(3.5)	71.6	22.4	14.5	(4.2)	17.3	50.1	25.8	13.5	1.6	12.8	53.8	27.3	16.3	7.6	15.9	67.0					
INVESTING ACTIVITIES																									
Purchase of property and equipment	(8.7)	(5.6)	(8.8)	(5.4)	(5.3)	(1.1)	(2.7)	(1.9)	(2.9)	(8.5)	(2.4)	(2.4)	(2.5)	(2.6)	(9.8)	(2.5)	(2.6)	(2.6)	(2.8)	(10.6)					
Investment in (proceeds from) other long-term assets	(0.1)	0.0	0.0	0.1	0.1	0.1	(0.0)	(0.0)	(0.0)	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0					
Investment in bank deposits, net	(23.9)	24.4	(13.4)	81.0	(48.1)	(27.1)	(13.8)	(11.5)	10.3	(42.0)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0					
Proceeds from available-for-sale securities	0.0	0.0	0.0	0.0	0.0	16.2	0.0	0.0	0.0	16.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0					
Purchase of intangible assets	0.0	0.0	(30.0)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0					
Payments for acquisition of subsidiary+other	0.0	0.0	0.0	0.0	(5.0)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0					
Investment in, redemption of and purchase of marketable s	19.3	(11.0)	(3.9)	17.1	19.6	5.0	(9.2)	1.0	3.5	4.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0					
Net cash provided by (used in) investing activities	(14.4)	7.8	(56.0)	92.8	(39.5)	(6.9)	(21.7)	(12.4)	11.0	(30.1)	(2.4)	(2.4)	(2.5)	(2.6)	(9.8)	(2.5)	(2.6)	(2.6)	(2.8)	(10.6)					
FINANCING ACTIVITIES																									
Proceeds from exercise of stock options	11.9	10.6	2.0	0.4	0.0	0.0	(0.0)	0.0	(0.0)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0					
Excess tax benefit from stock-based compensation	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0					
Repayment of contingent consideration	0.0	0.0	0.0	0.0	(3.1)	0.0	(3.2)	0.0	0.0	(3.2)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0					
Proceeds from issuance of Preferred A shares in	0.0	0.0	35.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0					
Repurchase of shares	(45.3)	(52.5)	(59.5)	(63.2)	(0.8)	0.0	0.0	0.0	(10.5)	(10.5)	(10.5)	(10.5)	(10.5)	(10.5)	(42.0)	0.0	0.0	0.0	0.0	0.0					
Other	(2.1)	0.0	0.0	(2.1)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0					
Net cash provided by (used in) financing activities	(33.4)	(41.9)	(22.5)	(62.9)	(3.9)	0.0	(3.2)	0.0	(16.8)	(13.7)	(10.9)	(10.9)	(10.9)	(10.9)	(42.0)	0.0	0.0	0.0	0.0	0.0					

Source: Jefferies, Company data

Chart 69 - RDWR DCF Base Case

Radware				
Discounted Cash Flow Analysis				
\$ in millions, except per share data				
	Year 1	Transition	Terminal	
Current risk-free rate of return	3.5%			3.5%
Historical risk-free rate of return	5.0%	5.0%		5.0%
Beta	0.97			1.00
Market rate of return	11.5%	11.5%		11.5%
Cost of equity	9.8%			10.0%
Growth rate	As modeled			3.0%
Last reported results as of: 12/31/2025				
Cash and Cash Equivalents	463.4			
Total Debt	0.0			
Net Cash and Cash Equivalents	463.4			
LTM Revenues	301.9			
Shares Outstanding (m)	45.1			
Net Cash/Share - 10% of Revenue	\$ 9.60			

Scenario 2, Base Case:

	HISTORICALS								FORECAST PERIOD				TRANSITIONARY PERIOD				TERMINAL
	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E Perpetuity
Period																	
Current risk-free rate of return	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%
Historical risk-free rate of return	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%
Beta	0.97	0.97	0.97	0.97	0.97	0.97	0.97	0.97	0.97	0.97	0.97	0.97	0.98	0.98	0.99	0.99	1.00
Market return of equity	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	0.12	11.5%
Cost of equity	9.8%	9.8%	9.8%	9.8%	9.8%	9.8%	9.8%	9.8%	9.8%	9.8%	9.8%	9.8%	9.8%	9.9%	9.9%	10.0%	10.0%
FCF growth rate	NM	10.7%	23.5%	19.9%	-64.7%	-138.3%	-842.9%	-37.4%	5.7%	28.3%	12.0%	8.0%	7.0%	6.0%	5.0%	4.0%	3.0%
Discount Factor	1.000	1.000	1.000	1.000	1.000	1.000	1.000	1.000	0.911	0.829	0.755	0.688	0.625	0.568	0.516	0.468	
Free cash flow to Enterprise (\$mm)	40.4	44.7	55.2	66.2	23.3	(8.9)	66.3	41.6	43.9	56.4	63.2	68.2	73.0	77.4	81.2	84.5	
Diluted Shares Outstanding 4Q	48.3	48.3	47.4	47.5	44.6	42.5	43.7	45.1	44.0	44.4	44.8	45.3	45.6	45.9	46.1	46.2	
Share Growth %		0.1%	-1.8%	0.1%	-6.1%	-4.8%	3.0%	3.2%	-2.6%	0.9%	1.0%	1.0%	0.8%	0.6%	0.4%	0.2%	0.0%
Free cash flow to Enterprise per share			0.9	1.2	1.4	0.5	(0.2)	1.5	0.9	1.0	1.3	1.4	1.5	1.6	1.7	1.8	1.9
NPV of free cash flow per share									0.9	1.1	1.1	1.0	1.0	1.0	0.9	0.9	12.6
Cumulative NPV of FCF per share									0.9	2.0	3.0	4.1	5.1	6.0	6.9	7.8	20.4
Cumulative NPV of FCF (\$mm)																	20.4
Net cash/share - 10% of revenue																	9.60
Total NPV per share																	29.98

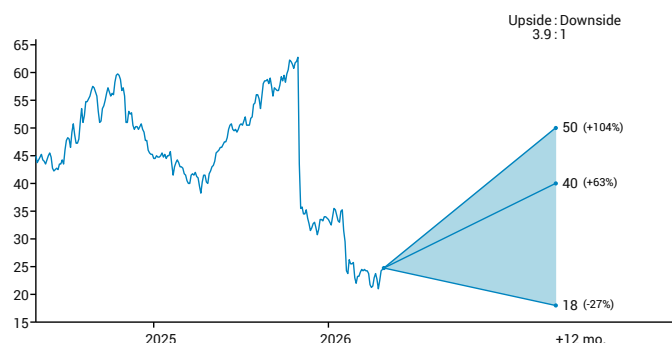
Source: Jefferies, Company data

The Long View: Varonis

Investment Thesis

We believe Varonis is well-positioned in a market opportunity around managing on-premise human-generated unstructured data (e.g., email, spreadsheets, documents, video and audio files). We believe that VRNS is poised to see large tailwinds from Gen AI, which should buoy shares going forward.

Risk/Reward - 12 Month View



Base Case, \$40, +63%

- We continue to like this company, which offers a strong on-premise technology solution but lacks share catalysts in near term.
- Successfully transitions to a SaaS revenue model and then gains leverage in the model, leading to an inflection in FCF.
- \$40 DCF-based price target implies 6x EV/CY26E revenue estimate.

Upside Scenario, \$50, +104%

- Emerges as one of the leaders in the market for managing unstructured human-generated data.
- Successfully transitions to a SaaS revenue model quicker than expected and then gains leverage in the model, leading to an inflection in FCF.
- \$50 DCF-based upside scenario price target implies 8x EV/CY26E revenue estimate.

Downside Scenario, \$18, -27%

- Varonis continues to grow, but the market remains fragmented and no clear leader emerges.
- Needs to make continued investments to remain relevant in the marketplace, further delaying cash flow consistency.
- \$18 DCF-based downside scenario price target implies 2x EV/CY26E revenue estimate.

Sustainability Matters

Top Material Issues: (1) Data Security. Cybersecurity companies play a crucial role both in taking responsibility for maintaining data security and in ensuring customers have access to the products and services required to achieve data security. We expect to see continued focus on data security with a threat landscape that continues to grow. **(2) Employee, Engagement, Diversity & Inclusion.** We see company culture as important in a labor market that continues to be defined by a skill shortage. Additionally, given the known underrepresentation of women and minority groups in the software industry today, a focus on building a diverse workforce is cardinal.

Company Targets: No quantifiable targets have been given.

Q's to Mgmt: (1) When can we expect more definitive targets on how you aim to reduce your impact on the environment? **(2)** Do you view yourself as a direct beneficiary of privacy regulations such as GDPR, California Privacy Act and future ones to come? **(3)** What are some of the definitive actions you are taking to diversify your workforce, do you have any DEI initiatives?

[Software Sector ESG Integration Refresh](#)

Catalysts

- Establishing itself as an industry standard for managing human-generated, unstructured data.
- Continued execution on its land-and-expand growth strategy.
- Increased regulation and security breaches in today's enterprises.
- Successful transition to a subscription revenue model.
- Gen AI adoption

Financials:Varonis

Estimate changes

USD	2024A	2025A	2026E	2027E
Cons. Rev.	551.0	623.5	718.1	852.2
Cons. EPS	0.31	0.18	0.35	0.55
EPS	0.31	0.18	0.08	0.33
Rev. (MM)	551.0	623.5	726.2	856.8
Q1	114.0	136.4	164.8	203.0
Q2	130.3	152.2	177.2	209.7
Q3	148.1	161.6	186.6	218.2
Q4	158.5	173.4	197.5	225.8

Valuation metrics

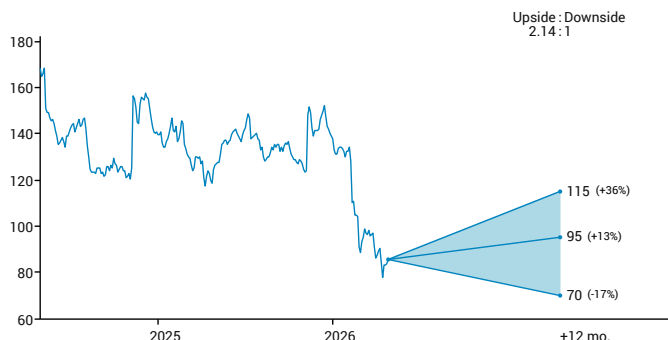
USD	2024A	2025A	2026E	2027E
EV/Rev	3.9x	3.5x	3.0x	2.5x
P/Rev	5.9x	5.2x	4.5x	3.8x
FY P/E	78.9x	NM	NM	74.3x

The Long View: Qualys

Investment Thesis

QLYS' non-GAAP op margins are roughly 2x that of RPD and TENB, which gives QLYS the unique opportunity to invest in S&M while competitors are more focused on increasing profitability. While we see QLYS as one of the undisputed leaders in core vulnerability management, less pressured areas of spend (non-core Vulnerability) make up a smaller portion of the business, which may limit upside.

Risk/Reward - 12 Month View



Base Case, \$95, +13%

- Billings growth 5-10% yoy in the near term
- Remains a Rule of 50 company
- Sees some success selling solutions beyond core vulnerability management
- Price target \$95; target multiple: 4x EV/CY26E revenue

Upside Scenario, \$115, +36%

- Billings growth 10%+ yoy in the near term
- Remains a Rule of 50 company
- Sees better-than-expected traction selling solutions beyond core vulnerability management
- Price target \$115; target multiple: 5x EV/CY26E revenue

Downside Scenario, \$70, -17%

- Billings growth <5% yoy in the near term
- Remains a Rule of 40 company
- Sees limited success selling solutions beyond core vulnerability management
- Price target \$70; target multiple: 3x EV/CY26E revenue

Sustainability Matters

Top Material Issues: (1) Data Security. Cyber security companies play a crucial role both in taking responsibility for maintaining data security and in ensuring their customers have the products and services to achieve data security. We expect to see continued focus on the topic of data security with an ever expanding threat landscape. **(2) Employee, Engagement, Diversity & Inclusion.** We see company culture as important in a labor market that continues to be defined by a skill shortage. Additionally, given the known underrepresentation of women and minority groups in the software industry today, a focus on building a diverse workforce is cardinal.

Company Targets: No targets have been given.

Q's for Management: (1) What processes do you have in place to further reduce the environmental impact of your products? **(2)** What are some of the definitive actions you are taking to diversify your workforce?

[Software Sector ESG Integration Refresh](#)

Catalysts

- Improved demand for core vulnerability management
- Improved macro environment & lower interest rates
- Continued penetration and growth in areas outside of core vulnerability management

Financials:Qualys

Estimate changes

USD	2024A	2025A	2026E	2027E
Cons. Rev.	607.6	669.1	718.2	767.9
EPS	6.13	7.08	7.32	8.03
Rev. (MM)	607.6	669.1	721.2	772.4
Cons. EPS	6.13	7.08	7.42	7.87
Q1	1.45	1.67	1.78	1.87
Q2	1.52	1.68	1.80	1.89
Q3	1.56	1.86	1.91	2.03
Q4	1.60	1.87	1.91	2.05

Valuation metrics

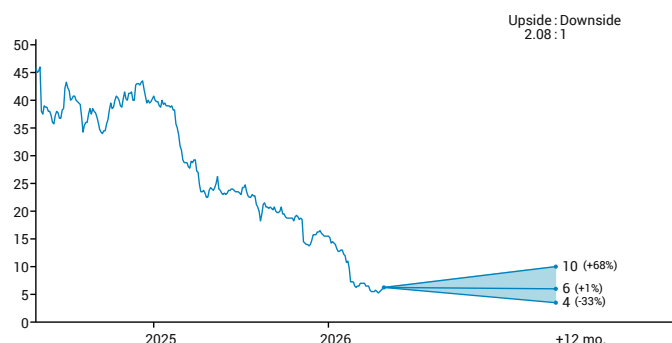
USD	2024A	2025A	2026E	2027E
FY P/E	13.7x	11.9x	11.5x	10.5x
EV/Rev	4.3x	3.9x	3.6x	3.4x
P/Rev	5.1x	4.6x	4.3x	4.0x

The Long View: Rapid7

Investment Thesis

RPD is strategically pivoting to invest behind its faster growing MDR business vs the more constrained VM business. This has caused growth to stall out and while go-to-market changes should ultimately improve execution, it will take time for that to materialize into ARR growth acceleration. We rate RPD a Hold with a PT of \$6.

Risk/Reward - 12 Month View



Base Case, \$6, +1%

- ARR growth roughly flat in the near term
- Continued success selling solutions beyond core vulnerability management including SIEM and cloud although core VM tethers overall growth
- Price target \$6; target multiple: 1.0x EV/CY26E revenue

Upside Scenario, \$10, +68%

- ARR growth 5%+ yoy in the near term and accelerating thereafter
- Makes faster than expected progress towards becoming a Rule of 40 company
- Continued success selling solutions beyond core vulnerability management including SIEM and cloud
- Price target \$10; target multiple: 1.4x EV/CY26E revenue

Downside Scenario, \$4, -33%

- ARR growth declines yoy in the near term
- Makes slower than expected progress towards becoming a Rule of 40 company
- Limited success selling solutions beyond core vulnerability management including SIEM and cloud
- Price target \$4; target multiple: 0.9x EV/CY26E revenue

Sustainability Matters

Top Material Issues: (1) Data Security. Cyber security companies play a crucial role both in taking responsibility for maintaining data security and in ensuring their customers have the products and services to achieve data security. We expect to see continued focus on the topic of data security with an ever expanding threat landscape. **(2) Employee, Engagement, Diversity & Inclusion.** We see company culture as important in a labor market that continues to be defined by a skill shortage. Additionally, given the known underrepresentation of women and minority groups in the software industry today, a focus on building a diverse workforce is cardinal.

Company Targets: (1) Pledged to reduce our carbon footprint by achieving 50% carbon neutrality in 2027 and 100% in 2030, **(2)** for 18% of its US employees to be from historically marginalized communities in terms of race and ethnicity, **(3)** for 35% of its global population to be women

Q's for Management: What initiatives are you running to attract the right talent and to further diversify your workforce?

[Software Sector ESG Integration Refresh](#)

Catalysts

- Improved demand for core vulnerability management
- Improved macro environment & lower interest rates
- Continued penetration and growth in areas outside of core vulnerability management

Financials:Rapid7

Estimate changes

USD	2024A	2025A	2026E	2027E
Cons. EPS	2.27	2.08	1.96	2.07
Rev. (MM)	844.0	859.8	839.0	839.5
Cons. Rev.	844.0	859.8	869.3	895.7
EPS	2.27	2.08	1.55	1.57
Q1	0.55	0.49	0.30	0.37
Q2	0.58	0.58	0.39	0.36
Q3	0.66	0.57	0.43	0.41
Q4	0.48	0.44	0.44	0.43

Valuation metrics

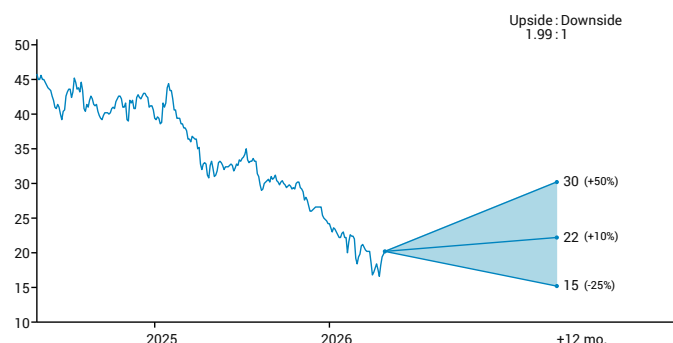
USD	2024A	2025A	2026E	2027E
FY P/E	2.6x	2.9x	3.8x	3.8x
EV/Rev	1.0x	1.0x	1.0x	1.0x
P/Rev	0.5x	0.5x	0.5x	0.5x

The Long View: Tenable

Investment Thesis

TENB has the largest customer base (44K+) among the three exposure management names, which we see as a considerable opportunity as it expands its product offering (cloud, OT and identity). Tenable One presents an opportunity to offset cyclical and moderating core vulnerability management revenues by bundling additional solutions into one unified platform. However, TENB in our view is only in the early stages of moving away from core vulnerability management.

Risk/Reward - 12 Month View



Base Case, \$22, +10%

- Organic billings growth at 5-10% yoy in the near term
- Remains a Rule of 40 company
- Sees some success selling solutions beyond core vulnerability management
- Price target \$22; target multiple: 2x EV/CY26E revenue

Upside Scenario, \$30, +50%

- Billings growth 10-15% in the near term
- Remains a Rule of 40 company
- Sees better-than-expected traction selling solutions beyond core vulnerability management
- Price target \$30; target multiple: 3x EV/CY26E revenue

Downside Scenario, \$15, -25%

- Billings growth <5% in the near term
- Remains a Rule of 40 company
- Sees limited success selling solutions beyond core vulnerability management
- Price target \$15; target multiple: 2x EV/CY26E revenue

Sustainability Matters

Top Material Issues: (1) Data Security. Cyber security companies play a crucial role both in taking responsibility for maintaining data security and in ensuring their customers have the products and services to achieve data security. We expect to see continued focus on the topic of data security with an ever expanding threat landscape. **(2) Employee, Engagement, Diversity & Inclusion.** We see company culture as important in a labor market that continues to be defined by a skill shortage. Additionally, given the known underrepresentation of women and minority groups in the software industry today, a focus on building a diverse workforce is cardinal.

Company Targets: No targets have been given.

Q's for Management: (1) What processes do you have in place to further reduce the environmental impact of your products? (2) What are some of the definitive actions you are taking to diversify your workforce?

[Software Sector ESG Integration Refresh](#)

Catalysts

- Improved demand for core vulnerability management
- Improved macro environment & lower interest rates
- Continued penetration and growth in areas outside of core vulnerability management

Financials:Tenable

Estimate changes

USD	2024A	2025A	2026E	2027E
Cons. EPS	1.29	1.59	1.77	2.00
Rev. (MM)	900.0	999.4	1,070.1	1,142.1
Cons. Rev.	900.0	999.4	1,064.2	1,144.3
EPS	1.29	1.59	1.87	1.99
Q1	0.25	0.36	0.41	0.44
Q2	0.31	0.34	0.44	0.47
Q3	0.32	0.42	0.49	0.53
Q4	0.41	0.48	0.54	0.55

Valuation metrics

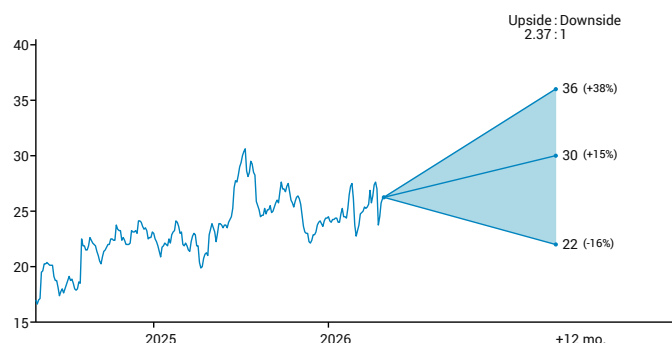
USD	2024A	2025A	2026E	2027E
FY P/E	15.6x	12.6x	10.7x	10.1x
EV/Rev	2.6x	2.3x	2.2x	2.0x
P/Rev	2.6x	2.4x	2.2x	2.1x

The Long View: Radware

Investment Thesis

Radware is a network security player serving large enterprise and carrier customers. Radware competes in the application delivery controllers, web application firewalls, DDOS protection, & bot security markets, which have grown increasingly important in a cloud- and AI-based world. Radware continues investing significantly in the business to accelerate revenue growth. Our \$30 PT represents 2.7x EV/CY26E rev.

Risk/Reward - 12 Month View



Base Case, \$30, +15%

- Economic pressure lifts relative to last year. Enterprises return to more reasonable spending rates.
- OEM sales continue to grow for Radware – albeit still below “materiality” levels for the business.
- New investments in Cloud Data Centers modestly tether margins and profitability.
- Price target \$30; target multiple: 2.7x EV/CY26E revenue

Upside Scenario, \$36, +38%

- 10%+ revenue growth in 2026 and beyond as enterprises work to protect themselves from increasing cyberattack levels.
- Macroeconomic pressure on the business eases.
- OEM sales continue to grow nicely for Radware.
- Cloud subscription business growth accelerates to LT target levels
- Price target \$36; target multiple: 3.5x EV/CY26E revenue

Downside Scenario, \$22, -16%

- A slowing macroeconomic environment slows customer decision-making further.
- Market share loss in the Public Cloud load balancers and DDOS mitigation services offset the benefit from the transition in sales mix.
- New investments in Cloud Data Centers materially tether margins and profitability.
- Cloud subscription business account losses
- Price target \$22; target multiple: 1.6x EV/CY26E revenue

Sustainability Matters

Top Material Issue(s): 1) Data Security is a top priority for cybersecurity and application delivery solution providers. Radware’s Information Security Policy is rooted in our responsibility to preserve the confidentiality, integrity, and accessibility of data belonging to Radware and our customers and provide our stakeholders and customers with a sense of security and trust.

Company Target(s): 1) Annual target of 1.5 liters of water/work hours. **2)** Annual target of 3.50 kWh of electricity/work hours. **3)** Annual target of 0.185 kg of paper/employee. **4)** Committed to near-term SBTi’s targets to reduce emissions over the next 5-10 years.

Qs to Mgmt: 1) How has the internal annual gender pay gap analysis influenced Radware’s compensation programs? **2)** How has the push for increased protection of data affected sales conversations with customers for Radware’s security solutions? **3)** How does Radware ensure the protection of customers’ data?

Catalysts

- Improving macro
- DefensePro X refresh
- Expanding OEM and MSSP partnerships
- Highly publicized DDOS attacks.

Financials:Radware

Estimate changes

USD	2024A	2025A	2026E	2027E
Cons. Rev.	274.9	301.9	328.5	353.1
EPS	0.87	1.15	1.13	1.39
Cons. EPS	0.87	1.15	1.25	1.35
Rev. (MM)	274.9	301.9	327.5	353.7
Q1	65.1	72.1	78.6	84.9
Q2	67.3	74.2	80.5	87.0
Q3	69.5	75.3	81.7	88.2
Q4	73.0	80.2	86.7	93.6

Valuation metrics

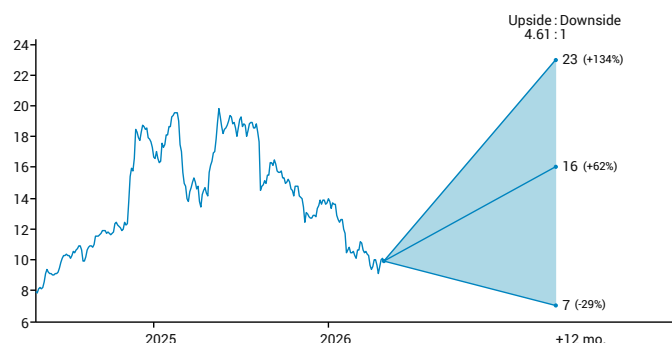
USD	2024A	2025A	2026E	2027E
EV/Rev	2.6x	2.4x	2.2x	2.0x
FY P/E	30.1x	22.7x	23.1x	18.9x

The Long View: AvePoint

Investment Thesis

AvePoint has an established position in the enterprise segment, and has been growing its position in the SMB segment for the data backup & recovery market. It is focusing on increasing its SMB penetration, while maintaining and expanding its enterprise base. AvePoint should be a beneficiary of consolidating data management spend via its platform as enterprise and SMB customers struggle to manage their data sprawl in the wake of AI implementation.

Risk/Reward - 12 Month View



Base Case, \$16, +62%

- Enterprise traction driving GRR upwards
- Increased continued traction towards GAAP profitability
- Continued progress towards long-term goals
- Continued rev growth upwards of 20%+ in 2026
- DCF-based PT of \$16 implies 6x our 2026 Revenue est.

Upside Scenario, \$23, +134%

- Reaching guidance and long-term goals earlier than expected
- Continued strong rev growth at 20%+ for the next five years
- FCF margin trending upwards ahead of expectations
- DCF-based PT of \$23 implies 9x our 2026 Revenue est.

Downside Scenario, \$7, -29%

- Failure to reach guidance and long-term goals
- Revenue growth below 20%
- Profitability and FCF margin progression slower than expected
- Lack of execution towards increasing spend per customer
- DCF-based PT of \$7 implies 2x our 2026 Revenue est.

Sustainability Matters

Top Material Issues: (1) Data Security. Cybersecurity companies play a crucial role both in taking responsibility for maintaining data security and in ensuring customers have access to the products and services required to achieve data security. We expect to see continued focus on data security with a threat landscape that continues to grow. **(2) Employee, Engagement, Diversity & Inclusion.** We see company culture as important in a labor market that continues to be defined by a skill shortage. Additionally, given the known underrepresentation of women and minority groups in the software industry today, a focus on building a diverse workforce is cardinal.

Company Targets: No quantifiable ESG targets have been given.

Q's to Mgmt: (1) When can we expect more definitive targets on how you aim to reduce your impact on the environment? (2) Do you view yourself as a direct beneficiary of privacy regulations such as GDPR, California Privacy Act and future ones to come? (3) What are some of the definitive actions you are taking to diversify your workforce, do you have any DEI initiatives?

Catalysts

- Establishing itself as an industry standard for managing unstructured data in multiple cloud store environments, while maintaining market share in the Microsoft ecosystem
- Continued execution in upselling and cross-selling motions for its product suites
- Copilot and Gen AI tool adoption necessitating continued on prem migration to cloud data stores & requiring data security capabilities

Financials:AvePoint

Estimate changes

USD	2024A	2025A	2026E	2027E
Rev. (MM)	330.5	419.5	513.9	625.8
Cons. Rev.	330.5	419.5	491.1	577.9
Q1	74.5	93.1	111.5	130.9
Q2	78.0	102.0	119.4	139.9
Q3	88.8	109.7	128.0	150.6
Q4	89.2	114.7	130.6	154.9

Valuation metrics

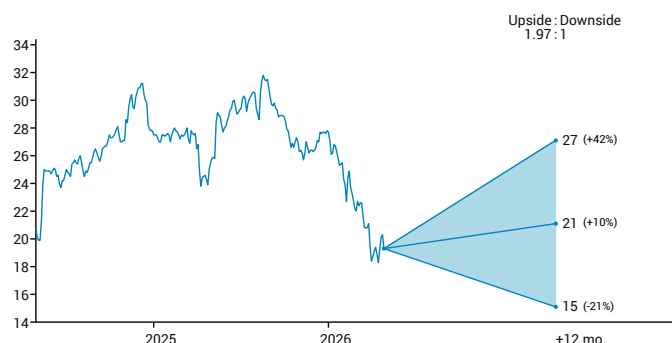
USD	2024A	2025A	2026E	2027E
EV/Rev	5.4x	4.3x	3.5x	2.9x
P/Rev	6.9x	5.4x	4.4x	3.6x

The Long View: Gen Digital

Investment Thesis

GEN has historically held the leading consumer security platform and remains well positioned with industry expectations for 3% consumer security growth. The company's recent acquisition of MoneyLion marks a pivotal expansion into the financial wellness market, which doubles GEN's TAM to \$50B and unlocks higher growth channels. Now a more comprehensive platform, GEN is presented with significant cross-sell opportunities that should offset some integration risks and potential competition from MSFT Defender.

Risk/Reward - 12 Month View



Base Case, \$21, +10%

- Inorganic revenue growth in the range of 22% - 25% in FY26
- MoneyLion revenue to grow 30%+
- Gen excl. MoneyLion to grow MSD
- Healthy new logo adds and cross-sell activity
- Continued improvement in operating and FCF margin
- Deleveraging by end of FY27 sustains share repurchases
- \$21 PT is DCF-derived and implies P/ FY27E EPS of 7x

Upside Scenario, \$27, +42%

- Organic revenue growth above overall market rate
- MoneyLion revenue outperforms expectations
- Gen excl. MoneyLion to grow MSD+
- Better than expected new logo adds and cross-sell activity
- Deleveraging before end of FY27 leads to increased share repurchases
- \$27 PT is DCF-derived and implies P/ FY27E EPS of 9x

Downside Scenario, \$15, -21%

- Organic revenue growth below overall market growth rate
- MoneyLion revenue grows <30%
- Gen excl. MoneyLion to grow MSD
- Stagnation of new logo adds and cross-sell activity
- Leverage remains >3x constraining share repurchases
- \$15 PT is DCF-derived and implies P/ FY27E EPS of 5x

Sustainability Matters

Top Material Issues: (1) Data Security. Cybersecurity companies play a crucial role in both taking responsibility for maintaining data security and ensuring customers have access to the products and services required to achieve data security. We expect to see continued focus on data security with a threat landscape that continues to grow. **(2) Employee Engagement, Diversity, & Inclusion.** We see company culture as important in a labor market that continues to be defined by a skill shortage. Additionally, given the known under representation of women and minority groups in the software industry today, a focus on building a diverse workforce is cardinal.

Company Target: (1) GEN aims to reduce its emissions yoy. **(2)** GEN is a signatory of the United Nations Global Compact (UNGC).

Q's to Mgmt: (1) How has the focus on data security by your customers changed over the past 24 months? **(2)** How has the focus on data security by your customers changed over the past 24 months?

Catalysts

- Strong macro / lower interest rates
- Successful integration of MoneyLion
- Increased cross-sell penetration of existing Gen Digital customers
- Share gains within Consumer Security market
- Mix shift within MoneyLion business drives operating leverage
- Net Leverage to <3x

Financials:Gen Digital

Estimate changes

USD	2024A	2025A	2026E	2027E
EPS Non-GAAP	2.80	2.22	2.55	2.77
Rev. (MM)	3,800.0	3,935.0	4,966.6	5,243.1
Cons. Rev.	3,800.0	3,935.0	4,963.0 <1%	5,249.6 <1%
Previous			4,938.3	5,203.2
Cons. EPS-GAAP	2.80	2.22	2.53	2.85
Q1	0.60	0.53	0.64A	0.69
Q2	1.06	0.54	0.61	0.70
Q3	0.58	0.56	0.63	0.72
Q4	0.57	0.59	0.65	0.74

Valuation metrics

USD	2024A	2025A	2026E	2027E
FY P/EPS Non-GAAP	6.8x	8.6x	7.5x	6.9x
EV/Rev	5.1x	5.0x	3.9x	3.7x
P/Rev	3.1x	3.0x	2.4x	2.2x

Company Description

AvePoint

AvePoint, Inc. operates as a digital collaboration innovator, which provides data management services. It develops, markets, and sells its suite of software solutions and services in North America, Europe, Australia, and Asia. The company was founded on July 24, 2001 and is headquartered in Jersey City, NJ.

Gen Digital

Gen Digital provides consumer-focused cybersecurity and finance solutions. It operates in over 150 countries and has over 500 million users. Originally founded as Symantec in 1982, it sold its information management division in 2016 and its enterprise security division in 2019. Post the sale of its enterprise security division the company was renamed to NortonLifeLock. NortonLifeLock was merged with Avast in 2022, after which the company was rebranded to Gen Digital. The company is headquartered in Tempe, Arizona and Prague, Czech Republic.

Qualys

Qualys was founded in 1999 and is headquartered in Foster City, California. Its Enterprise TruRisk Platform offers security intelligence and allows enterprises to automate vulnerability detection, compliance, and protection for IT systems, workloads and web applications. Qualys has over 10,000 customers in over 130 countries. Qualys became a public company in September, 2012.

Radware

Radware is a global provider of advanced cybersecurity and application delivery solutions for Enterprises and Service Providers. The company's products are deployed within data center environments to improve application availability, latency, and performance. Radware's products specifically address three main market categories: Distributed Denial-of-Service (DDoS) mitigation, Application Delivery Controllers (ADCs), and Web Application Firewalls (WAF). The company's products include hardware appliances deployed at customer locations, as well as virtual software-based versions of these products that can run on industry-standard x86 servers. Lastly, the company makes its DDoS, WAF, and ADC technology available to customers via service/subscription models. Radware completed its IPO on Nasdaq in September 1999. In March 2009, they acquired the assets of Nortel's Layer 4-7 Application Delivery business, called Alteon. The deal became the basis of their current ADC product line. Today, Radware has roughly 1,000 employees and serves more than 10,000 customers globally.

Rapid7

Rapid7 was founded in 2000 by Alan Matthews, Tas Giakouminakis, and Chad Loder and is headquartered in Boston, Massachusetts. Rapid7's Insight Platform is designed to help customers manage vulnerabilities, to investigate and remediate attacks and to automate operations. Rapid7 has approx 11,500 customers today in over 151 countries. Rapid7 became a public company in July 2015.

Tenable

Tenable was founded in 2002 by Ron Gula, "Jack" John Huffard, and Renaud Deraison and is headquartered in Columbia, Maryland. Tenable's exposure management platform provides a unified solution for visibility, insight and remediation across the attack surface. Tenable has over 44,000 customers today in over 170 countries. Tenable became a public company in July 2018.

Varonis

Varonis (VRNS) is a leader in data security. VRNS' cloud-native Data Security Platform continuously discovers and classifies critical data, removes exposures, and detects advanced threats with AI-powered automation. Thousands of organizations worldwide trust Varonis to defend their data wherever it lives — across SaaS, IaaS, and hybrid cloud environments. Customers use Varonis to automate a wide range of security outcomes, including data security posture management (DSPM), data classification, data access governance (DAG), data detection and response (DDR), data loss prevention (DLP), and insider risk management.

Company Valuation/Risks

AvePoint

\$16 DCF-based price target (CoE 10.0%; TG 5.0%). Downside risks include slower upsell and cross-sell of its product suites and increased competition in the data security market.

Gen Digital

Our \$21 price target is based on a DCF and implies 4x EV/CY26E revenue. Downside risks include a competitive environment, integration risk from MoneyLion. Upside risks include better than expected new logo adds and cross-sell activity and deleveraging faster than expected leads to increased share repurchases

Qualys

Our \$95 price target is based on a DCF and implied 4x EV/CY26E revenue. Downside risks include a competitive environment, the landscape within exposure management continues to be dominated by large established vendors, with CRWD potentially slowing QLYS' expansion into categories beyond core vulnerability management. While we see progress in growth areas outside core VM as positive, it will take time to see an acceleration to overall company growth, which could be seen as an upside risk

Radware

Our PT is \$30, or 2.7x our EV/26E revenue estimate. Risks: 1) Radware's product portfolio faces threats of comparable products from NET, CDN players as they offer WAF & DDoS, and AWS for public cloud facing products; 2) inability to meet ambitious LT targets; 3) elevated R&D and cloud investments pressuring margins; and 4) lack of share liquidity.

Rapid7

Our \$6 price target is based on a DCF and implied 1x EV/CY26E revenue. Risks include a competitive environment, the landscape within exposure management continues to be dominated by large established vendors, with CRWD potentially slowing RPD's expansion into categories beyond core vulnerability management.

Tenable

Our \$22 price target is based on a DCF and implied 2x EV/CY26E revenue. Risks include a competitive environment, the landscape within exposure management continues to be dominated by large established vendors, with CRWD potentially slowing TENB's expansion into categories beyond core vulnerability management.

Varonis

\$40 DCF-based price target (CoE 11%; TG 5%). Downside risks include slow market adoption of its products and execution risks related to evangelical sales process. Better-than-expected SaaS transition could be seen as an upside risk.

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Investment Recommendation Record

(Article 3(1)e and Article 7 of MAR)

Recommendation Published
Recommendation Distributed

April 27, 2026 5:27 A.M.
April 27, 2026 5:27 A.M.

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- AvePoint Inc (AVPT: \$9.85, BUY)
- Check Point Software Technologies Ltd. (CHKP: \$134.67, BUY)
- Cloudflare, Inc. (NET: \$207.07, HOLD)
- CrowdStrike Holdings, Inc. (CRWD: \$448.13, BUY)
- Fortinet (FTNT: \$84.34, HOLD)
- Gen Digital Inc. (GEN: \$19.04, HOLD)
- Microsoft Corporation (MSFT: \$424.62, BUY)
- Okta Inc (OKTA: \$75.98, BUY)
- Palo Alto Networks (PANW: \$178.54, BUY)
- Qualys, Inc. (QLYS: \$84.34, HOLD)
- Radware Ltd. (RDWR: \$26.16, HOLD)
- Rapid7, Inc. (RPD: \$5.95, HOLD)
- SailPoint Inc. (SAIL: \$11.95, BUY)
- SentinelOne, Inc. (S: \$14.24, BUY)
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- Varonis Systems, Inc. (VRNS: \$24.53, BUY)
- Zscaler, Inc. (ZS: \$135.50, BUY)

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			IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
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BUY	2181	61.94%	369	16.92%	110	5.04%
HOLD	1182	33.57%	104	8.80%	17	1.44%
UNDERPERFORM	158	4.49%	1	0.63%	1	0.63%

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